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OECD Economic Surveys

Mexico

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OECD ECONOMIC SURVEYS

1999-2000

Mexico

OECD

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF MEXICO

THE LAND

Area (sq. km)	1 967 183
Agricultural area (sq. km) (1990)	394 000

Inhabitants in major cities (thousands, 1990)	
Mexico City	15 048
Guadalajara	3 044
Monterrey	2 651

THE PEOPLE

Population, (thousands, 1998)	95 675
Inhabitants per sq. km (1998)	48.6
Annual population growth (1990-1998)	2.1

Employment (thousands, 1998)	38 617

PRODUCTION

Structure of production, 1999	
(per cent of total, 1993 prices):	
Agriculture	5.3
Industry	26.4
of which: Manufacturing	19.7
Services	68.3

GDP in 1999 (US$ billion)	484.0
GDP per capita in 1999 (US$, using PPPs)	8 358
Gross fixed capital formation in 1999	
(per cent of GDP, 1993 prices)	19.7

THE GOVERNMENT

Public sector indicators (per cent of GDP, 1999)	
Public sector total expenditure	21.7
Federal government current expenditure	8.4
Federal government capital expenditure	1.6
Federal government revenue	14.5
Net debt of public sector (December 1999)	24.8

Composition of Parliament (1999)	Senate	Chamber of Deputies
PRI	77	238
PAN	33	121
PRD	16	126
Other	2	15

FOREIGN TRADE

Exports of merchandise,	
(per cent of GDP, 1999)	32.7
Main exports (per cent of total, 1999)	
Manufactures	90.1
Petroleum products	6.8
Agriculture	3.1

Imports of merchandise,	
(per cent of GDP, 1999)	32.8
Main imports (per cent of total, 1999)	
Intermediate goods	77.0
Capital goods	14.5
Consumer goods	8.5

THE CURRENCY

Monetary unit: Peso

Currency units per US$, average of daily figures:	
Year 1999	9.55
March 2000	9.29

This Survey is based on the Secretariat's study prepared for the annual review of Mexico by the Economic and Development Review Committee on 11 May 2000.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 7 June 2000.

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The previous Survey of Mexico was issued in April 1999.

Assessment and recommendations

Mexico's economic fundamentals have improved…

In contrast to the situation at the time of the previous OECD *Economic Survey of Mexico*, the economy is expanding quite strongly and inflation is falling. In early 1999, economic activity was suffering from the repercussions of the global financial turbulence and the decline in oil prices; the peso had depreciated significantly and inflation had increased. But timely policy action in response to the successive shocks proved effective in restoring confidence; with inflation beginning to fall again, interest rates resumed their downward trend, and the peso exchange rate stabilised. Helped by the continued strength of the United States and the pick-up in global activity, economic activity also rebounded from the second quarter. Private domestic demand strengthened, and as the expansion spread across sectors of activity, labour market outcomes improved. Having widened substantially in 1998, the current account deficit narrowed, to just below 3 per cent of GDP in 1999; and the fact that it has been mainly financed by foreign direct investment may be taken as a reflection of enhanced policy credibility. Increased investor confidence may also have been founded on significant structural reforms which have been introduced in the public and financial sectors, as well as to the decade-long progress achieved by Mexico in product-market liberalisation. Completing the reform agenda and achieving macroeconomic convergence will have to be the priority tasks of the new administration which will take office later in the year.

… and output growth is projected to remain strong, notwithstanding short-term uncertainties

Economic performance is expected to remain broadly favourable over the short-term. The continuation of a positive business climate should underpin private spending, so that as and when the United States economy slows, the growth impulse is likely to shift from the external to the domestic sector. Overall, the momentum built up in the sec-

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ond half of 1999 should help support somewhat faster real GDP growth, of around 4½ to 5 per cent this year and next. As private sector demand strengthens further, broader-based growth should allow a continuing significant rise in employment. This will be matched by a growing labour force, as a result both of demographics and re-entry of workers from the informal economy. Despite some sectoral bottlenecks, the labour market so far has not been a source of tension. According to OECD projections, inflation is projected to come down gradually to around 7½ per cent by the end of 2001, under the assumption of an unchanged nominal exchange rate. This benign scenario, however, could be affected by developments in the United States and international financial markets. If the projected slowdown in the United States requires significantly higher interest rates, that could unsettle financial markets. More generally, the Mexican economy remains vulnerable to confidence effects, in part related to the political transition and associated uncertainty. In recognition of this, initiatives have been taken to shield the economy from possible election-induced volatility (*blindaje*), encompassing actions to secure Mexico's access to foreign financing and to maintain monetary and fiscal policy discipline.

The central bank's disinflationary strategy is ambitious but feasible…

To preserve foreign and domestic confidence and to continue the disinflation process, the authorities have maintained a relatively tight monetary stance. Monetary policy responses are linked to a range of indicators, comprising the exchange rate, inflation expectations, wages, demand and output growth and, on the monetary side, the daily path of base money. The twelve-monthly rate of CPI increase serves as the nominal reference point and from December 1999 to December 2000 this is targeted to fall from 12.3 to at most 10 per cent. Beyond the short term, the aim is gradually to bring down Mexican inflation to be in line with that of its main trading partners by 2003. When expectations about price developments appeared to be out of line with the disinflation objective, monetary policy was tightened at the start of the year 2000 and again in May. The disinflation objective is justified by the fact that the costs of inflation are very high, in terms of distorting national savings, reducing investment horizons and worsening income distribution. It

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should, nevertheless, be emphasised that the timetable for convergence, though feasible, is ambitious. The experience of disinflation in other OECD economies demonstrates that inflation reductions become more difficult to achieve the nearer an economy gets to price stability, so that monetary policy faces a major challenge and will need to be supported by appropriate fiscal policies and further structural reforms.

… and an explicit inflation-targeting strategy can be effective in achieving it

In these circumstances, an explicit inflation-targeting regime could help inflation expectations adjust more rapidly, thus avoiding some of the potential adverse effects on output from real interest and exchange-rate increases. But for such an approach to be sustainable, issues relating to implementation need to be clarified, including the definition of the price index to be adopted as a target. To enhance the communication of its policies, the central bank has begun to publish a quarterly inflation report, increasing transparency and accountability. Meanwhile, ensuring that inflation expectations adapt will require that the central bank stands ready to take remedial action against possible slippage on the inflation front. Only by delivering results consistently and over a period of time, will monetary credibility continue to be enhanced and the longer-run costs of inflation convergence be kept to a minimum.

Disinflation requires the support of a cautious fiscal policy stance

Fiscal restraint has been, and continues to be, an essential element in the disinflation strategy. Thanks to steady and strong fiscal consolidation, which addressed several structural weaknesses, Mexico has enjoyed healthy public finances for several years: the budget deficit has been kept between zero and 1¼ per cent of GDP since the peso crisis; and by 1999, the public debt had been reduced to around 25 per cent of GDP (from 38.5 per cent four years earlier), with a manageable time profile for its external component. Mexico's fiscal commitment has been reflected in a pro-active fiscal policy that has consistently met fiscal targets despite the vulnerability of budget revenue to volatile international oil prices. In 1998, in particular, the government achieved its target by enacting drastic spending cuts, in response to the drop in oil-related revenue. Conversely, when revenue turned out to be higher than budgeted in

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1997 and 1999, spending was increased. However, although this record of fiscal discipline has strengthened credibility in the government's resolve, it has tended to make for short-term volatility in government outlays. Setting up a contingency fund for revenue windfalls – as set out in the budget decree for 2000 – should help to damp the impact of external shocks on revenue, and hence on spending. For this mechanism to be fully effective, however, clear rules need to be established as to the investment and disposal of the accumulated funds.

A medium-term framework for the conduct of policies would help to anchor private sector expectations

The commitment to fiscal discipline has underscored the authorities' intention to maintain strong fundamentals in the face of external vulnerability. However, to make fiscal policy more effective and reassure markets on the maintenance of a responsible fiscal stance in the longer term, it would be useful if multi-year objectives were announced and set in a comprehensive policy framework. A step towards this was taken with the elaboration of a National Programme for Financing Development for 1997-2000. But the authorities have not yet been ready to go beyond a single administration term in their planning. To be useful, the medium-term framework should be updated at regular intervals with a planning horizon of fixed length. Even though subsequent administrations cannot be committed by a predecessor's actions, transparency would be enhanced if a benchmark were established against which to evaluate future actions. The framework should explain the principles guiding macroeconomic policies over a period of several years and the strategy for structural reform that backs it up. In setting out the budgetary requirements needed to establish the basis for sustained development, longer-run fiscal-related challenges will necessarily have to be taken into account to ensure that the budget is maintained in structural balance over time. These include the cost of the social security reform for private sector workers and that of the financial-sector support package, as well as the impact on the federal budget of the new fiscal relations with the states. Altogether these are estimated to amount to some 5 per cent of GDP per year over the next ten or twenty years. There are also future pressures relating to off-budget infrastructure projects contracted out to the private sector

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(PIDIREGAS) and pension liabilities for government employees, where pay-as-you-go schemes are in place. It is important that these elements are integrated into the overall fiscal planning framework.

Public sector reforms and a refocusing of spending have created a leaner and more effective government ...

Fiscal consolidation efforts undertaken since the mid 1980s have been supported by structural reforms which have created a leaner public sector through privatisation and the opening up of sectors previously reserved to state intervention. This process of retrenchment has led to a refocusing of public spending. Primary expenditure was brought down from a peak of just over 30 per cent of GDP in the early 1980s to around 18 per cent in 1999, compared with a present average for the OECD of 40 per cent. The general government now accounts for only 11 per cent of total employment – half the proportion in Europe or Canada – and the wage bill is relatively small relative to GDP. In addition, there has been a rapid decline in interest payments. As public enterprises have been privatised or shut down, federal transfers and subsidies to industry have been gradually eliminated. Subsidies to agriculture have changed in nature, with a shift away from credit and marketing subsidies towards direct income transfers and investment support. There has also been some scaling down of general consumer subsidies. But more progress could be made in this area: the subsidies that are still in place for electricity and water consumption still amount to about 1 per cent of GDP; since they appear to have a regressive impact, there would be both welfare and efficiency gains if they were replaced by targeted transfers and productivity-enhancing investment support.

... but there are important spending needs to create the basis for strong sustainable growth over the medium term

Reducing public spending has not been without cost, since it has implied postponing or curtailing programmes which may have high marginal economic and social benefits. Gross investment by the general government (*i.e.* excluding public enterprises) is low by international standards. There is a considerable backlog in basic infrastructure such as water supply and roads and in the maintenance of school buildings. The education sector has witnessed remarkable achievements in terms of school enrolment and reduction of illiteracy in the adult population, reflecting the increasing

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share of public spending allocated to the sector. But demographics and better completion rates in compulsory schooling are adding to pressures on resources at intermediate levels of education. Meeting these growing needs while modernising the whole education system and further improving quality will continue to require a steady expansion of budget resources. Bringing health outcomes more into line with the rest of the OECD should also form an intrinsic part of any long-term strategy to increase living standards. Much has been done to expand coverage of basic health care. But in the longer run, upward pressures on the system are expected to intensify.

It would be appropriate to increase tax revenue and various options should be considered

The relative scarcity of tax resources and heavy reliance on volatile oil-related revenue have been important factors impeding the development of essential public programmes. In this respect, given the considerable marginal economic and social benefits of increasing spending in the above areas, the 1999 *Economic Survey* suggested that it would be appropriate to raise the low tax-to-GDP ratio over the medium term. Among the measures that could be taken to increase tax revenue without having adverse effects on efficiency, those that reduce the scope of preferential regimes and strengthen tax administration and compliance would be the most appropriate. Past tax reforms have created a tax system with statutory features which are relatively neutral and non-distortive; however, special regimes, exemptions and weak enforcement keep tax revenue low and make the system inequitable across different types of income and activities. The 1999 *Survey* made several proposals for reform in this regard, including a broadening of the VAT base and the abolition of the favourable treatment given to certain sectors under the corporate tax regime. Such special regimes have a direct effect on income by narrowing the tax base, while complicating tax administration and leading to a misallocation of resources. A more neutral tax system, in conjunction with closely focused increases in public spending would be complementary to the growth process. It has, however, been difficult to gather political support for changes in the tax system prior to the 2000 elections, so the agenda for tax reform has not advanced significantly since the last *Survey*. It should be a priority area for action under the next Congress and administration.

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Specific measures to fight poverty and improve income distribution are also required

Achieving a pattern of public spending and taxation which will serve as the base for future rapid growth should also contribute to a narrowing in Mexico's currently extremely dispersed income distribution. The two objectives are not incompatible. Consumer subsidies, for example, are an inefficient instrument of redistribution, and those that remain have a regressive impact, since those who benefit most in absolute terms are the larger consumers. Eliminating such subsidies while increasing the share of resources earmarked for direct transfers targeted to disadvantaged families would have a progressive effect on income distribution. To combat more deep-rooted poverty, specific programmes have been introduced, so as to ensure that benefits are spread as widely as possible across targeted groups. One of the main instruments is the integral programme for education, health and nutrition (PROGRESA). This seeks to improve standards of living of families in extreme poverty in rural and semi-urban areas *via* an approach which emphasises the synergies that can be achieved in these three domains. The programme has achieved impressive results. However, its coverage has not yet been extended to urban areas. If the authorities decide on such an extension, it should replace existing targeted programmes and be carefully designed so as to maintain incentives to work.

Reforms of budgeting and public administration have been launched ...

The effectiveness of public spending is highly dependent on the efficiency of public administration. Since 1997, a comprehensive reform strategy has addressed problems impinging on the administration's efficiency, including a lack of instruments to evaluate programmes and staff performance; complex bureaucratic procedures and regulations; a lack of status and motivation among civil servants, and excessive centralisation of decisions concerning both the budget and staff policies. Progress has been made on several fronts. Positive incentive mechanisms have been slowly incorporated into the public administration, supported by regular performance reviews of programmes and staff. These have enhanced management accountability and staff performance. Audit and control systems have been improved and personnel practices made more transparent, increasing agency response and reducing the scope for unethical

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behaviour. Line ministries and agencies, as well as state and local governments, have been granted wider discretion on spending decisions, creating the conditions for improved allocative efficiency. These reforms have been accompanied by a process of political opening, whereby Congress has acquired increased powers of legislative oversight with respect to budget decisions.

… but public spending, management and control could be enhanced by greater legislative involvement…

In spite of the progress made, there are several areas in which public expenditure management and control can be improved, *via* greater Congressional involvement and streamlining in the Executive branch. In the first place, consideration should be given to a revision of the budget process. Legislative oversight could be made more effective by increasing the time allotted to Congress to examine the budget draft. Perhaps the area where returns would be highest is the strengthening of Congress's auditing and control mechanisms. This would provide a balance to the Executive's actions that is now lacking. The newly-created auditing body (*Auditoría Superior de la Federación*) should play an important role in this regard and its potential should be fully exploited. As Congress performs a more systematic and result-oriented evaluation of programmes, current control mechanisms within the Executive branch can be simultaneously adapted. Overall, such changes should be consistent with the government's ability to enforce a hard budget constraint.

…and efficiency gains made from reforms within the Executive

At the same time, recent moves by the Executive to simplify and streamline the currently complex process of spending approval are to be welcomed. The improvement in intra-governmental information channels among ministries and agencies, which is accruing from the implementation of a new electronic communication network, is also serving to enhance the control function of central budgetary authorities, simplifying and expediting administrative procedures and strengthening transparency and accountability. Better information channels should lead to more effective personnel policies, including the improvement of performance reviews. Human resource management remains inefficient overall, as a result of a two-tier system in which there is a lack of flexibility at the operational level but excessive

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mobility at managerial level created by the high proportion of political appointments. Options for reform should include the establishment of a professional civil service, while avoiding excessively generous job tenure. State and local governments should be encouraged similarly to improve their administrative capacity. Finally, efficiency would be enhanced if market-based instruments for the provision of public services were more widely used.

Reforms have strengthened the financial system, but credit to the private sector needs to expand

Following the costly array of official support programmes for banks and debtors launched since the 1994-95 peso crisis, the operational framework of the banking system has been significantly improved with the approval by Congress in December 1998 of a package of financial sector reforms. The lifting of the remaining restrictions on foreign investment in the financial sector, together with the removal of legal uncertainties, have opened the way for a restructuring and consolidation of the financial sector and the lowering of public debt servicing costs. Measures to reduce the coverage of the deposit guarantee scheme and the tightening of prudential regulations have reduced the danger of unsound bank lending. At the same time, the launch of a last debtor support programme (*punto final*) has led to a marked decline in non-performing loans. Important problems have remained to be solved, however, without which a private market for credit cannot expand. From a credit-supply perspective, bank capitalisation has improved; but, due to legal and administrative considerations, creditor banks have been unable to dispose of unwanted government paper, with effects on bank liquidity and the supply of loanable funds. The liquidity management by commercial banks should become more efficient as previously non-tradeable notes are replaced by negotiable instruments. New capitalisation and provisioning rules were announced in September 1999, and risk-based credit rating rules have also been strengthened. As regards institutional reform, the recent approval of a new legal framework for bankruptcy and guarantees has met the urgent need to remove the existing legal bias in favour of debtors which has impeded credit supply. These are important steps towards financial normalisation, which should pave the way for the full completion of the recovery in the Mexican financial system and for a fuller realisation of Mexico's growth potential.

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Realising Mexico's growth potential requires completion of product-market liberalisation

From a product-market perspective, wide-ranging structural reforms have made the Mexican economy more open, flexible and responsive to market forces. This has produced significant results, including reductions in prices and increases in consumer choice and the quality of services. However, while the ports, airports and railways have seen significant efficiency gains from liberalised entry, much remains to be done to increase competition in other network areas. The incumbent has been able to retain a dominant position in the fixed-line telecommunications sector, while most of the electricity and oil sectors are still closed to private initiative, and state-ownership is still significant in air transportation:

- In the electricity sector, government proposals to liberalise the sector are still being discussed in Congress. Meanwhile, a process of reorganisation has started at CFE, the state-owned electricity company, splitting it into separate administrative units that will buy and sell electricity in an internal "shadow" market. However, this measure is unlikely to lead to the creation of an efficient electricity market and is no substitute for a coherent reform strategy, such as the one outlined in the original reform proposals.
- In the air transportation sector, authorities have announced the intention of privatising CINTRA, the holding company in which four airlines, including the two largest, have been consolidated. But privatisation awaits decisions on a number of regulatory and industrial organisation issues, including whether or not to split CINTRA before the divestiture. A split may be preferable on competition grounds. Whatever decision is made, the competition authorities should ensure that airport slot allocations are transparent and do not distort competition.
- In the telecommunications sector, recent decisions about local competition and interconnection fees are promising. However, in order to level the playing field and overcome the dominant position of the incumbent, the regulatory agency should impose additional regulations, as allowed by the Federal Telecommunications Law. To ensure the needed expansion of the network, a universal service fund should be established, with

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market-based mechanisms being used to ensure that it is technology neutral, transparent and non-discriminatory with respect to incumbents and new entrants.

Given the importance of these sectors for longer-term growth, remaining impediments to competition should be urgently addressed, through the lifting of remaining restrictions on private initiative and the clarification of the regulatory framework.

Further efforts are needed to encourage employment growth in formal sector…

The labour market in Mexico is characterised by a relatively high degree of real wage flexibility, while benefiting from relatively low labour costs and a limited tax wedge. However, the economy continues to be characterised by a large informal economy, which needs to be absorbed into the formal sector. To some extent, the social security reform for the private sector favours labour integration into the official economy, by lowering payroll taxes (for health insurance) and creating a new pension system with individual retirement savings accounts, thus making social security registration less costly and more attractive. The welfare reforms proposed in the *Survey* would tend in the same direction. But employment-protection provisions may still act as institutional barriers in this respect, especially to job creation by small and medium-sized enterprises. Measures to reduce the costs associated with hiring and firing workers and broaden the scope of short-term contracts could be of assistance here, while allowing probationary periods could facilitate job creation on long-term contracts. The social partners signed an agreement in 1996 defining principles of a "new labour culture", which underlines the need for the labour market to be able to adjust to rapid changes in the economy. This agreement should provide the basis for a review of labour market institutional arrangements and regulations, including both the responsibilities of employers towards the workforce *via* increased training opportunities and barriers to formal employment creation in general.

… while upgrading skills and moving towards a knowledge-based economy

The above labour-market features will have reinforced Mexico's geographical attractiveness for foreign direct investment. Moreover, recent economic performance and the weight of medium- to high-technology goods in the country's exports suggest that there has been a growing supply of qualified labour. The *Survey* nevertheless suggests

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that to ensure balanced growth and facilitate the modernisation of the economy, continued upgrading of skills and competencies is required, including implementation of the newly-created system of standards and certification of skills. Also, while foreign direct investment has helped the diffusion of new technology and know-how into the country, Mexico's transition to a knowledge-based economy is still hindered by major weaknesses in its R&D and innovation systems. Total R&D spending is among the lowest in the OECD area, and of that the government is by far the largest source of funding. In view of these weaknesses, the Mexican government is taking a number of initiatives to foster investment in knowledge and strengthen the innovative capacity of the economy. In particular, more financial autonomy has been granted to public research institutions facilitating the development of research contracts with the business sector. Recent legislation aims to provide for a better co-ordination of government R&D activities and mechanisms to enhance the diffusion of knowledge between public and private institutions. It also includes new provisions for fiscal incentives to support R&D investment by the private sector. Such initiatives, so long as they are applied in a non-discriminatory manner, are important for enhancing the creation of technology-based firms and fostering the transition towards a knowledge-based economy.

Summing up

Overall, the improvement in economic performance noted in recent *Surveys* has continued and growth prospects for Mexico are relatively favourable, based on the increasing internationalisation of the economy, which has been spurred by recently-signed trade agreements and supported by structural reforms implemented over several years to foster private initiative. Public finances are in near balance, inflation is falling and the current account deficit is moderate. However, the expansion has lasted only a few years so far and the challenge, after ensuring a smooth transition to a new administration, is to secure strong sustainable growth over the longer-term. Standards of living have improved only marginally over the past decade and inflation is significantly higher than the OECD average, so that the process of economic convergence has some way to go. Continued monetary restraint and fiscal discipline will be

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needed to reduce inflation expectations. The success of past fiscal consolidation efforts needs to be reinforced by moving forward in related areas of public sector management: setting policies in a comprehensive medium-term framework; further modernising the public administration and budget processes and enhancing the effectiveness of public spending. Moreover, although the structural reform agenda of Mexico has been remarkable during the past decade, the full benefits have not yet been realised for the population as a whole. Mexico should take the opportunity created by the current benign climate to move forward in areas where the reform process has stalled. Measures are needed to strengthen tax revenue to meet spending needs in areas where the social and economic returns are potentially high. Product market competition, though it has been significantly increased, remains underdeveloped in some important sectors. A deepening of the structural reform process would allow Mexico to achieve its full economic and social potential.

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I. Recent developments and prospects

The economic slowdown associated with the global financial crisis in the second half of 1998 was moderate and short-lived. Against the background of tight monetary conditions and a cautious fiscal stance, business confidence began to recover early in 1999. Following a moderate first quarter, output growth accelerated during the year, underpinned by a pick up in domestic demand and still booming export markets. Helped by a fairly stable exchange rate, inflation came down to 12.3 per cent in December 1999, just below the central bank target. The current account deficit, which had gradually widened from 1996 to 1998, narrowed somewhat, to slightly less than 3 per cent of GDP in 1999 – more than 80 per cent of which being financed by foreign direct investment. With the business climate continuing to improve, private domestic demand and economic activity are becoming more broadly based. However, private domestic demand is unlikely to continue growing at the very fast pace of the second half of 1999, when GDP growth reached 7 per cent.[1] On the domestic front, a tight macroeconomic stance is expected to prevail throughout the year, as the authorities seek to strengthen economic fundamentals so as to reduce the economy's vulnerability to shocks and ensure a smooth transition to the next administration. Oil prices have risen significantly (above official expectations), which should have a positive impact on growth. Real GDP could increase by 4½ to 5 per cent this year and next. The main uncertainties relate to the future course of oil prices and how Mexico might be affected by rising interest rates in the United States and a projected cooling off of that economy.

Recovery in output, rising employment and disinflation

A *broader-based expansion*

Real output grew by 3.7 per cent on average in 1999, with a strong acceleration in the course of the year. This was the fourth year of a phase of sustained GDP growth following the peso crisis and the ensuing severe recession of 1995. Growth has averaged 5 per cent per year over the past four years (Figure 1); and the expansion of the economy continued at a sustained pace in the first quarter of

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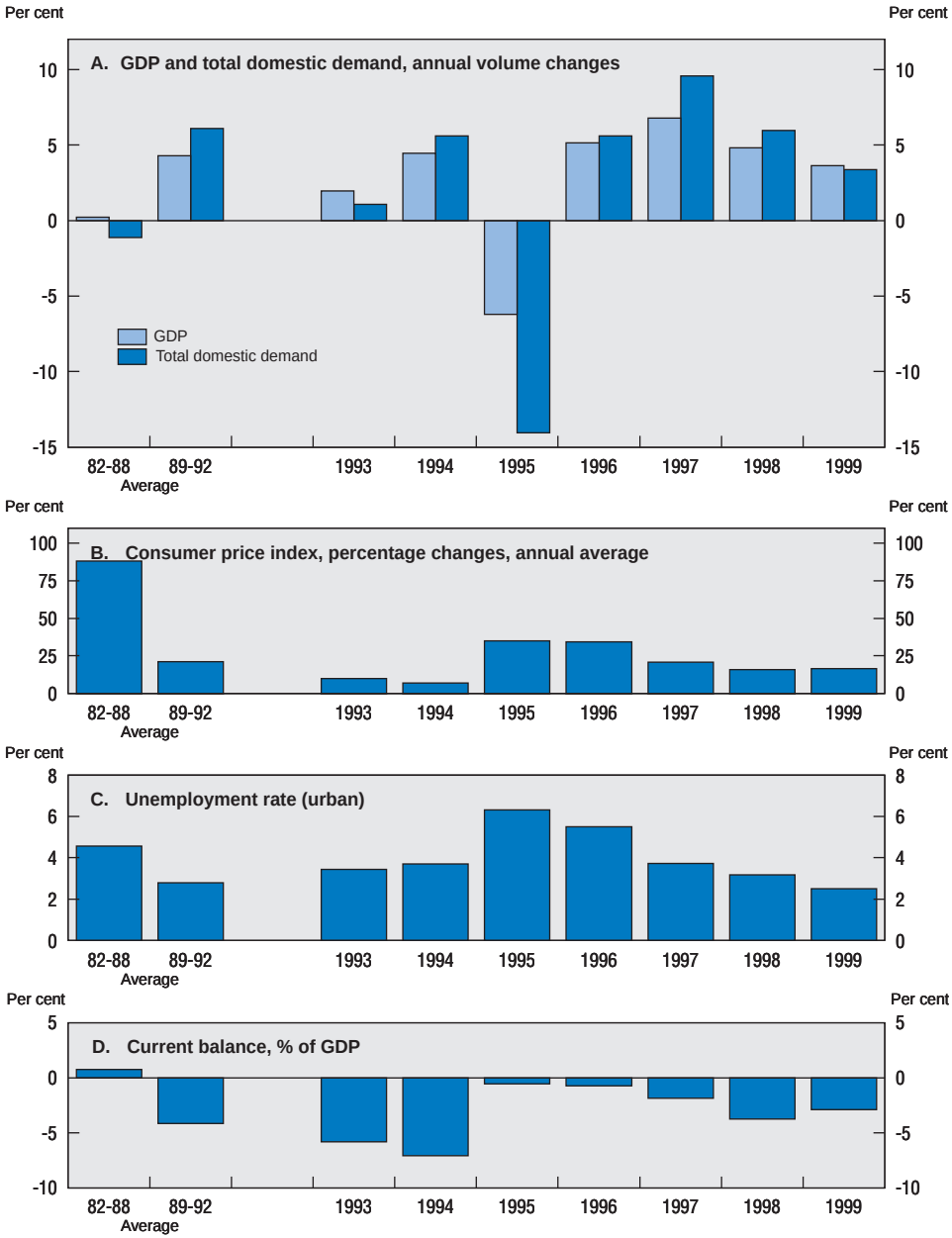
Figure 1. **Mexico's economic performance**



Source: Instituto Nacional de Estadística Geografía e Informática (INEGI); OECD, *National Accounts*.

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2000. The recovery from recession was initially driven by exports, leading to a sharp rise in industrial production accompanied by booming private investment. With a lag, private consumption strengthened. The swiftness of the recovery in domestic demand and the longevity of the upswing stand in sharp contrast to the experience following the 1982 debt crisis (Figure 2). Uncertainties stemming from international financial turmoil, together with falling oil prices and an accompanying tightening of macroeconomic policies, led to a temporary slowdown of domestic demand in the latter part of 1998. But export markets continued to provide a stimulus to output, and economic growth resumed early in 1999. By December 1999, employment in the formal sector was more than 20 per cent above end-1994 levels (based on the number of permanent workers affiliated to the IMSS, the private social security institute). Real wages in the manufacturing sector were still some 16 per cent below their pre-crisis level, however, and real GDP per capita was about 4 per cent above its 1994 level.

The pick up in private consumption during 1999 reflected strong employment growth, especially after the first quarter of the year, and a moderate recovery in real wage earnings in most sectors. Survey data suggest that real wages per worker increased by 1 to 1½ per cent in the manufacturing, construction and retail sectors, and as much as 2.2 per cent in in-bond (*maquiladoras*) industries.[2] Furthermore, the four-year old expansion is likely to have boosted the income of the self-employed. Sales of non-durables, which include necessities and services, were more dynamic than sales of durable goods (in contrast to developments in 1997-98), indicating that the recovery in consumption has become more broadly-based among households.[3] Private consumption accelerated during the year, growing by 7½ per cent in the second half of 1999. These trends suggest that the private saving rate remained broadly unchanged from its 1998 level.[4]

Business confidence improved early in 1999, having been adversely affected by the global financial market turbulence at the end of 1998, and investment strengthened. The public component of investment fell once more, because of fiscal restraint; but infrastructure projects have been launched by state-owned enterprises PEMEX and CFE, to be executed and financed by private contractors.[5] The scale of these development projects increased in 1999, boosting construction and purchases of machinery and equipment by the private sector. With business confidence remaining firm throughout the year, private investment increased by a robust 9 per cent for 1999 as a whole – a rate which was, nonetheless a slower than in the earlier years of the expansion (Table 1). At the same time, the demand of machinery and equipment shifted, in favour of imports relative to domestically-produced goods (Table 2). Firms continued to reduce their reliance on bank credit, which again fell in real terms; non-bank financing accounted for almost half of total financing to enterprises and entrepreneurs in 1999 (against one-third before the peso crisis).[6]

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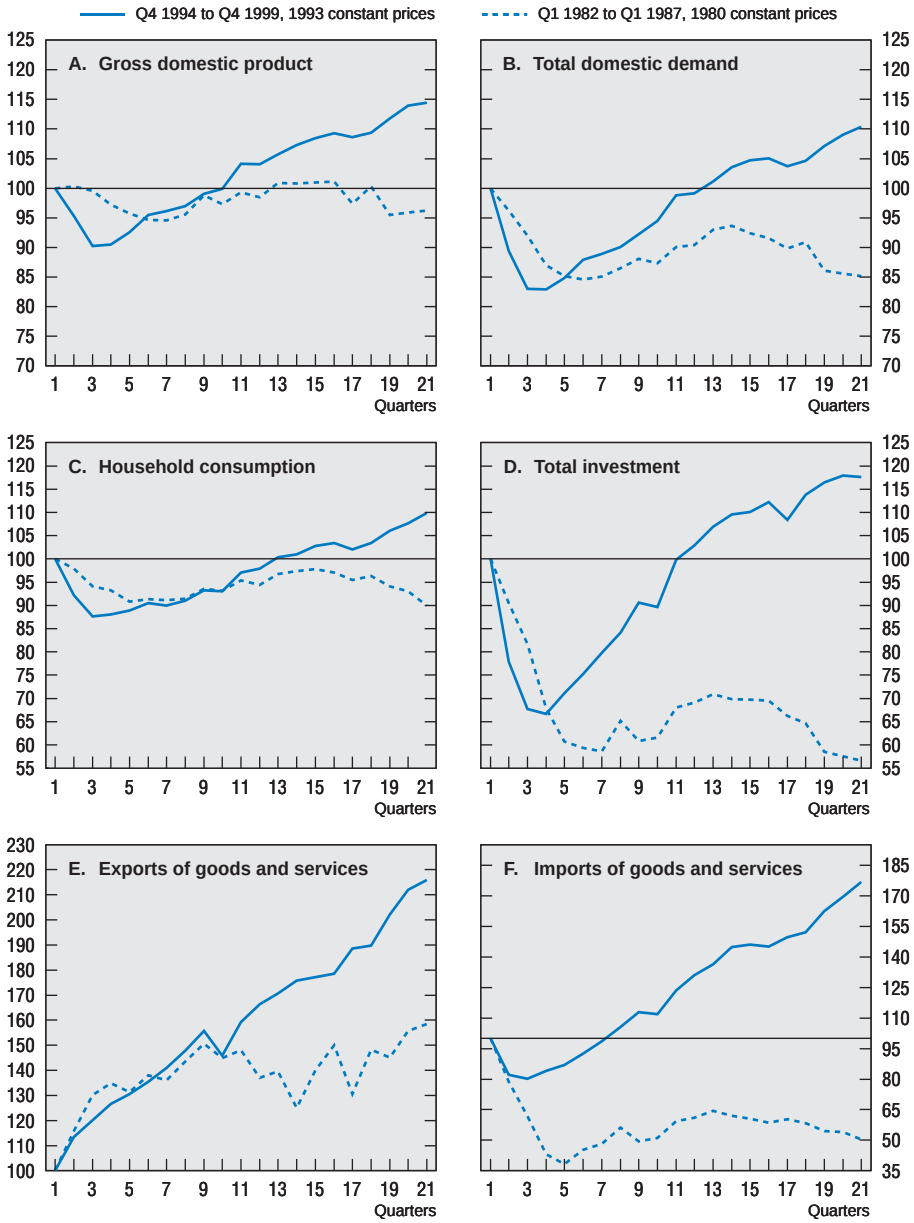
Figure 2. **Comparison of two cycles**
Volume indices of seasonally adjusted data



Source: OECD.

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Table 1. **Demand and output**
Percentage changes, volume, 1993 prices

	1994[1] current prices	1989-94[2]	1995	1996	1997	1998	1999
Demand							
Private consumption	1 016.1	4.9	–9.5	2.2	6.5	5.4	4.3
Government consumption	164.2	3.0	–1.3	–0.7	2.9	2.2	1.0
Gross fixed investment[3]	274.9	7.8	–29.0	16.4	21.0	10.3	5.8
Public sector	71.2	8.9	–31.3	–14.8	10.1	–13.7	–15.3
Private sector	203.7	7.7	–28.2	26.7	23.5	15.0	9.0
Final domestic demand	**1 455.2**	**5.1**	**–12.3**	**4.0**	**8.5**	**6.0**	**4.3**
Stockbuilding[4]	36.7	0.2	–2.3	1.5	1.1	0.2	–0.8
Total domestic demand	**1 491.9**	**5.2**	**–14.0**	**5.6**	**9.6**	**6.0**	**3.4**
Exports of goods and services	239.0	7.8	30.2	18.2	10.7	12.1	13.9
Imports of goods and services	307.5	15.9	–15.0	22.9	22.7	16.5	12.8
Foreign balance[4]	–68.5	–1.3	9.1	–0.2	–2.3	–1.1	0.3
GDP at market prices	**1 423.4**	**3.9**	**–6.2**	**5.1**	**6.8**	**4.8**	**3.7**
Output							
Agriculture, forestry, fishing	78.2	1.6	0.9	3.6	0.2	0.8	3.5
Mining (including petroleum)	17.4	1.6	–2.7	8.1	4.5	2.7	–3.2
Manufacturing	245.0	4.3	–4.9	10.8	9.9	7.3	4.1
Construction	69.1	5.7	–23.5	9.8	9.3	4.2	4.5
Electricity	19.2	3.0	2.2	4.6	5.2	1.9	4.4
Commerce	275.7	4.8	–15.5	4.8	10.7	5.6	4.1
Transport and communication	124.8	5.0	–4.9	8.0	9.9	6.3	8.8
Financial services	211.5	4.7	–0.3	0.6	3.7	4.5	2.7
Community services	311.0	2.8	–2.3	1.0	3.3	2.8	1.5

1. Billion pesos.
2. Annual average growth rate.
3. Public enterprises are recorded in public sector investment since 1993. Before that date they were included in the private sector.
4. As a percentage of GDP in the previous period.

Source: OECD.

Gross capital formation (including stock building) has been higher in relation to GDP in the current upswing than in the previous cycle, averaging almost a quarter of GDP in the past four years. At the same time, the gross private-sector saving ratio reached 18½ per cent of GDP in 1998-99, which is more than 9 percentage points higher than in 1994 (Table 3). The boom in investment has thus, for the most part, been financed by higher private domestic saving. Over the same period, public sector saving has fallen somewhat (from 5.3 per cent in 1994 to 2 per cent in 1998-99). But reliance on foreign saving has more than halved, the current account deficit falling to just below 3 per cent of GDP from over 6 per cent in 1993-94.

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Table 2. **Indicators of investment activity**
Percentage changes (from same period of previous year)[1]

	1996	1997	1998	1999	1999 S1	1999 S2
	Average					
Gross fixed capital formation, total	16.4	21.0	10.3	5.8	4.9	6.6
Machinery and equipment	23.0	34.1	16.8	7.1	5.1	9.0
Domestic goods	20.5	30.7	14.4	–3.8	–3.0	–4.7
Imported goods	25.2	36.7	18.6	15.0	10.8	19.1
Residential building and construction	11.6	10.6	4.0	4.5	4.8	4.2

1. Volume at 1993 constant price basis.
Source: INEGI.

Table 3. **Aggregate saving and investment**
Per cent of GDP

	1994	1995	1996	1997	1998	1999	1999 S1	1999 S2
Gross capital formation	21.7	19.8	23.3	26.0	24.3	23.2	23.5	23.0
Gross domestic saving	14.7	19.3	22.6	24.1	20.6	20.3	20.8	20.0
Private	9.4	14.0	18.8	21.1	18.4	18.6	17.7	19.4
Public[1]	5.3	5.2	3.8	3.0	2.2	1.8	3.0	0.6
Foreign saving	7.0	0.6	0.7	1.9	3.7	2.9	2.7	3.0

1. The public sector comprises federal government and enterprises under budgetary control. The estimate is based on Ministry of Finance accounts.
Source: Banco de México; Ministry of Finance; OECD.

Higher employment in the formal sector and falling inflation

Rebounding employment…

The strengthening of activity in 1999 brought a rebound in employment growth. By December 1999, the number of insured employees – a measure of employment in the formal sector – was 6.9 per cent above its level a year earlier for permanent workers affiliated to the IMSS (Table 4). The increase of jobs created in the formal sector – just over 700 000 workers during the year – still fell short of labour force growth, which is estimated at more than 1 million persons per year. In the public sector, the number of workers has risen only marginally in recent years. Nevertheless, total employment, which covers a significant proportion of non-insured workers, grew faster than the labour force in 1999 and "open"

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Table 4. **Labour market indicators**

	1993	1994	1995	1996	1997	1998	1999	1999S2
	Thousands	Percentage changes from same period						
Insured employment[1]								
(private sector)	11 318	1.1	–4.2	3.7	10.1	14.2	8.4	8.4
Permanent	10 033	1.4	–1.6	4.8	11.1	12.3	6.9	7.3
of which:								
Manufacturing	2 967	–0.8	–2.5	7.0	12.9	12.1	7.1	7.1
Trade	1 704	1.4	–3.1	1.4	7.2	8.8	5.4	5.3
Personal services	1 671	1.9	–1.9	2.7	11.6	10.3	6.7	6.8
Temporary	1 286	–1.4	–24.4	–7.7	–2.1	40.1	24.6	19.5
Employment in manufacturing								
Non *maquiladoras*	..	–3.0	–8.9	2.3	4.7	3.7	0.6	0.8
Maquiladoras	..	7.6	11.2	16.3	19.9	11.6	13.1	14.5
	Per cent							
Urban areas[2]								
Participation rate[3]	55.2	54.7	55.0	55.4	56.2	56.6	55.8	56.0
Unemployment rate	3.4	3.7	6.2	5.5	3.7	3.2	2.5	2.3
Unemployment rate (wider definition)[4]	5.6	6.1	8.6	6.4	4.6	4.2	3.4	3.1
Employment in small enterprises/ total employment[5]	42.3	42.2	44.2	44.6	43.7	42.8	42.2	41.8
Uninsured wage earners/total wage earners	21.4	22.5	24.9	29.6	24.7	23.6	23.6	23.5
Part-time workers/total employment[6]	20.5	19.3	20.8	21.0	20.5	19.4	17.1	15.9

1. Employment registered in IMSS, the private sector social security institute; as from mid-1997 voluntary subscribers and insured students are included.
2. The *Encuesta Nacional de Empleo Urbano* covers a limited number of urban areas (initially 16, raised to 32 in 1992, and gradually to 44 as of 1998).
3. Labour force (economically-active population) as a percentage of the population aged 12 years and over.
4. Open unemployment plus people who gave up seeking employment and are no longer included in the labour force but are available for work.
5. Small enterprises are defined as those with one to five employees.
6. Part-time workers are defined as those having worked less than 35 hours during the reference week.

Source: INEGI; IMSS.

unemployment in urban areas reached a record low of 2.3 per cent in the second half of the year, against a peak of 7.6 per cent at the worst of the recession, in August 1995[7] (Figure 3). The share of full-time work in total employment has also been rising. But overall labour market slack has not been fully absorbed, since there is still a large labour pool working in rural areas and in the informal urban sector. Given these underutilised resources and normal demographic trends, pressures on wages are unlikely to arise as long as output growth continues to expand at rates similar to those experienced since 1995. There are, however, some indications of labour market tightness in certain regions or sectors.

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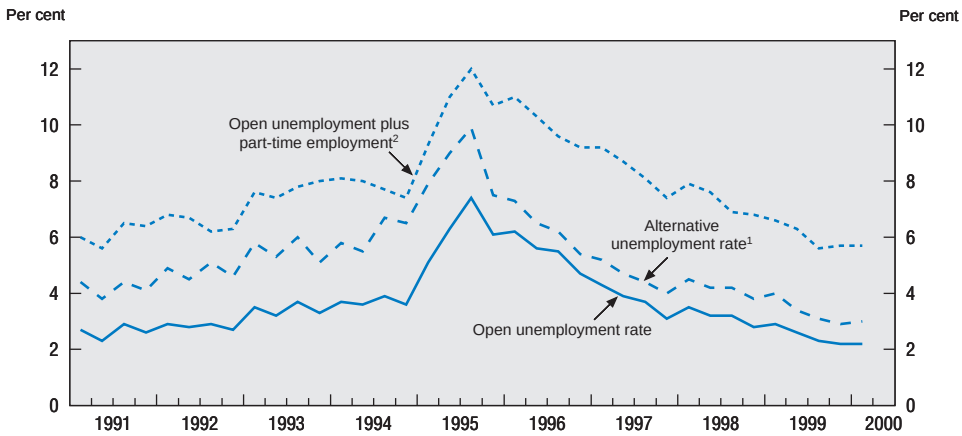
Figure 3. **Unemployment in urban areas**
As a percentage of labour force (12 years and over)



1. Includes those who stopped searching for a job but are still available for work.
2. Part-time refers to employees working less than 15 hours a week.
Source: INEGI.

… and continued disinflation

The disinflation process, which had been rapid from end-1995 to end-1997 as the CPI rise was brought down from 52 to 15.7 per cent, was reversed in the second half of 1998 under the impact of currency depreciation and higher fresh food prices. However, CPI inflation peaked at 19 per cent in January 1999, and thereafter declined steadily to 12.3 per cent in December – just below the central bank target of 13 per cent. The central bank has started to produce an underlying inflation index that excludes prices of agricultural and livestock products, education (tuition fees) and prices controlled or agreed in concert with the public sector: this index also points to a clear downward trend in 1999 (Figure 4, panel A). Measured in this way, "core" inflation was slightly above the headline rate, indicating that transitory factors helped to slow the aggregate price rise in 1999: fruit and vegetables prices fell, while gasoline and electricity prices increased as programmed by 13 per cent, well below the global rise in oil prices.[8] A further feature was that prices in the tradeables sector decelerated rapidly from February 1999 onwards, reflecting the strengthening of the peso from early in the year (Figure 4, panel B), but price rises in the non-tradeables sector started to come down only from around mid-1999 and by December were still several points above CPI inflation. In this sector, price expectations are closely linked to wage settlements.

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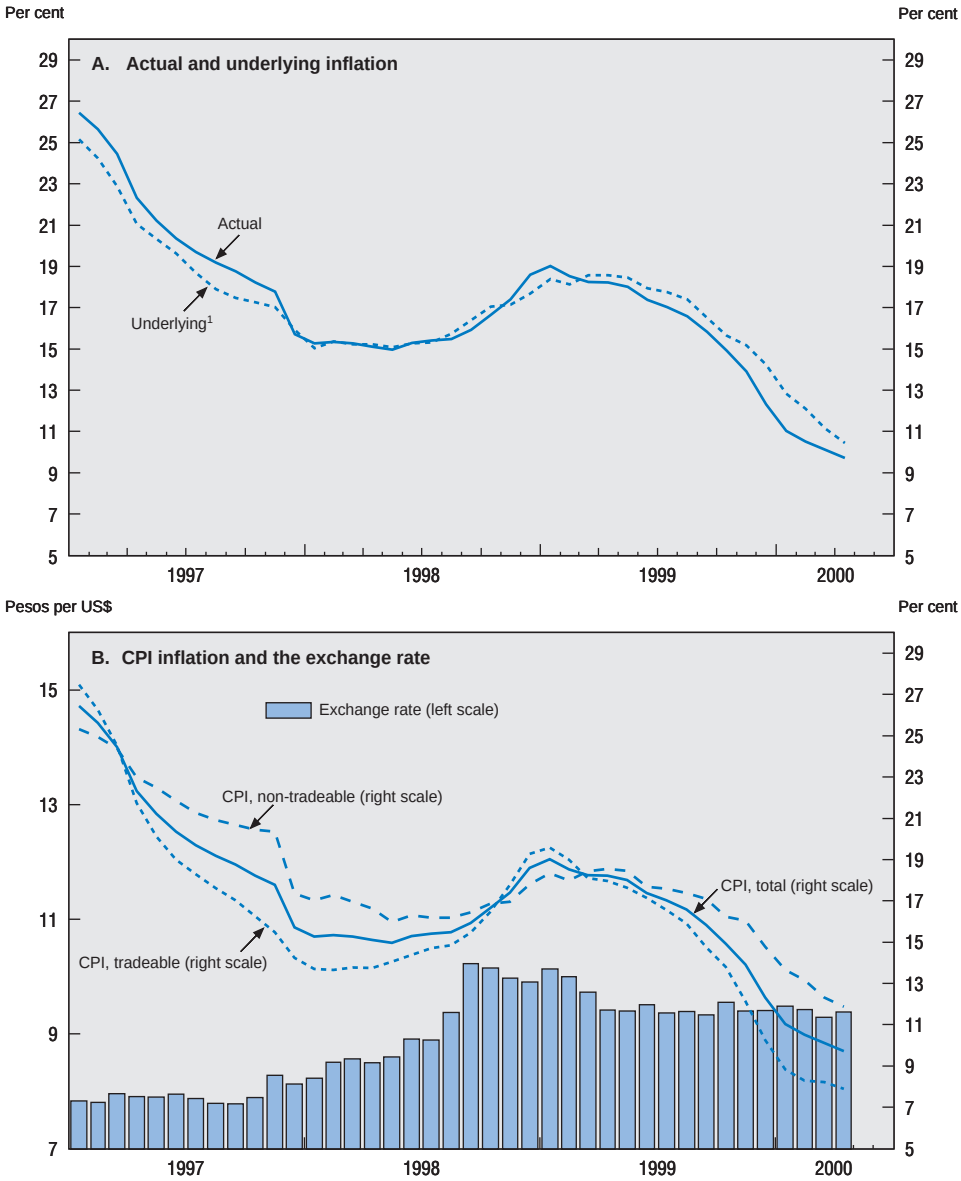
Figure 4. **Inflation trends**
Year-on-year change



1. Inflation excluding items with erratic developments.
Source: Banco de México.

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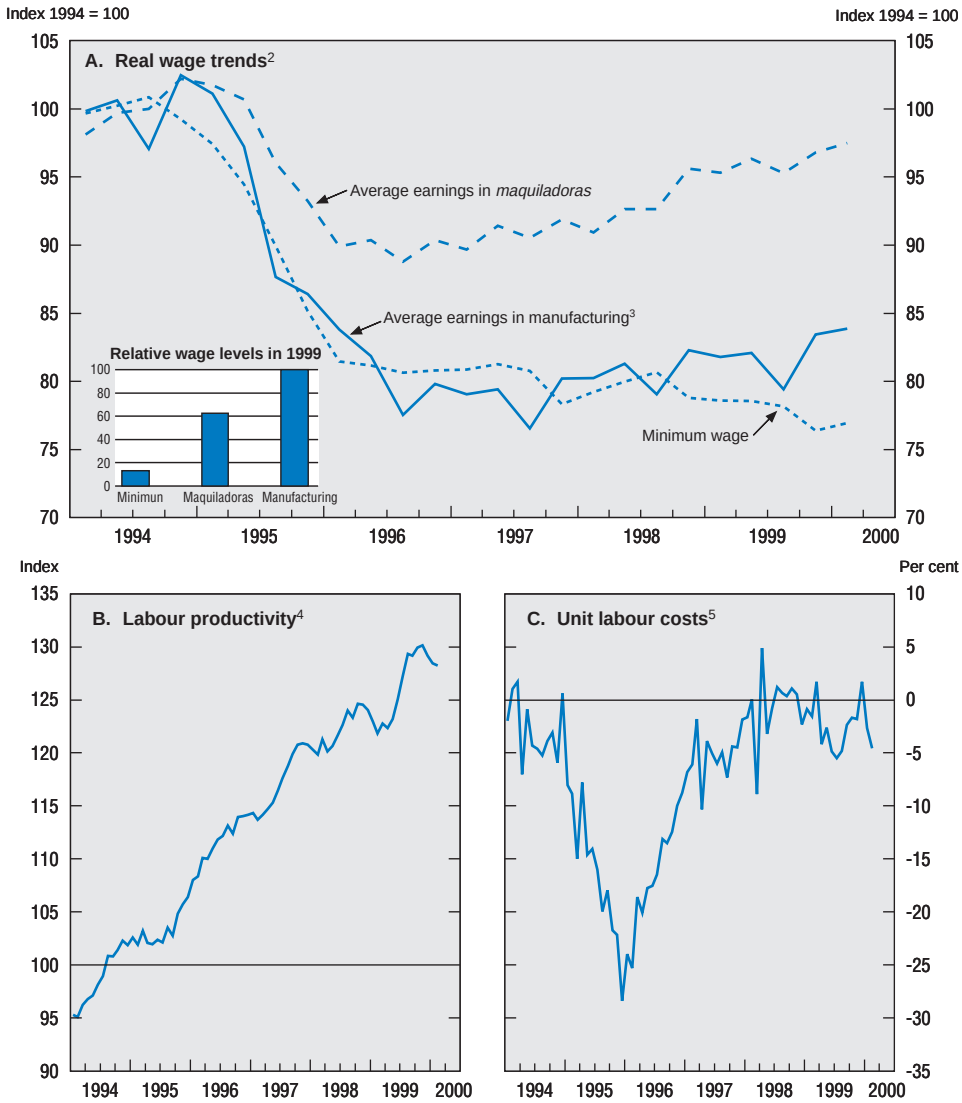
Figure 5. **Real wages and labour productivity in manufacturing[1]**



1. Manufacturing sector excluding *maquiladoras*.
2. Moving average over three quarters.
3. Wages, salaries and social benefits based on INEGI monthly industrial survey.
4. Real output per persons employed. Index 1994 = 100, moving average over six months.
5. Defined as the ratio of real wage to labour productivity. Change over 12 months.

Source: INEGI; Banco de México.

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Contractual wage rises remained almost unchanged, at around 17 per cent for most of 1999, even while price expectations (proxied by private sector inflation forecasts) were being revised gradually downwards. Wage negotiations are forward-looking in Mexico, but there is a degree of inertia stemming from the fact that agreements typically cover twelve months ahead, with no revision during that period. During 1999, this inertia seems to have been reinforced by the poor inflation performance in the previous year, when the CPI turned out to be considerably above the official target. Hence it was only late in the year, when a consensus emerged that the official inflation target might be within reach, that contractual wage increases started to come down. Significant real wage increases were recorded for the third consecutive year, with substantial gains once more in the exporting industry, where job creation was the strongest. Wage earnings in manufacturing increased by 18.2 per cent, although average manufacturing wage levels in 1999 were still well below 1994 levels in real terms (Figure 5). Although there has been some convergence, wages in the *maquiladora* sector remain much lower than the manufacturing average (panel A), in part because of the lower qualifications of the workforce.[9] Unit labour costs declined in 1999 as a result of continuing high productivity gains in the manufacturing sector (panels B and C). Labour productivity has increased by more than 5 per cent per year on average in the manufacturing sector since the start of the 1990s and after a cyclical slowdown at the end of 1998 it firmed during 1999. As labour productivity picked up, real unit labour costs declined. This was reflected in producer prices excluding oil, which increased by less than 9 per cent on average, 10 percentage points below the 1998 increase.

Favourable export performance and improving external balance

Competitiveness and export performance

The exchange rate underwent a 6.3 per cent appreciation in effective terms in the twelve months to December 1999, the rate against the dollar being relatively stable from March onwards as confidence returned after the Brazil crisis. The appreciation only partly offset the 18.6 per cent effective depreciation which occurred in 1998, so that Mexico's competitive position has been relatively unaffected.[10] Various indicators provide a mixed picture of Mexico's cost-price competitiveness compared with the early 1990s. Relative unit labour costs in manufacturing indicate a real appreciation in 1999, when they stood above 1995-96 levels (Figure 6, panel A). On this measure, however, the real effective exchange rate was still well below pre-crisis levels. Measured by price data (relative export prices and the CPI), the appreciation of the real exchange rate in the past four years has been more marked. Exporters were able to increase unit profits following the 1995 devaluation, but higher margins came under pressure because of the currency appreciation in 1999.

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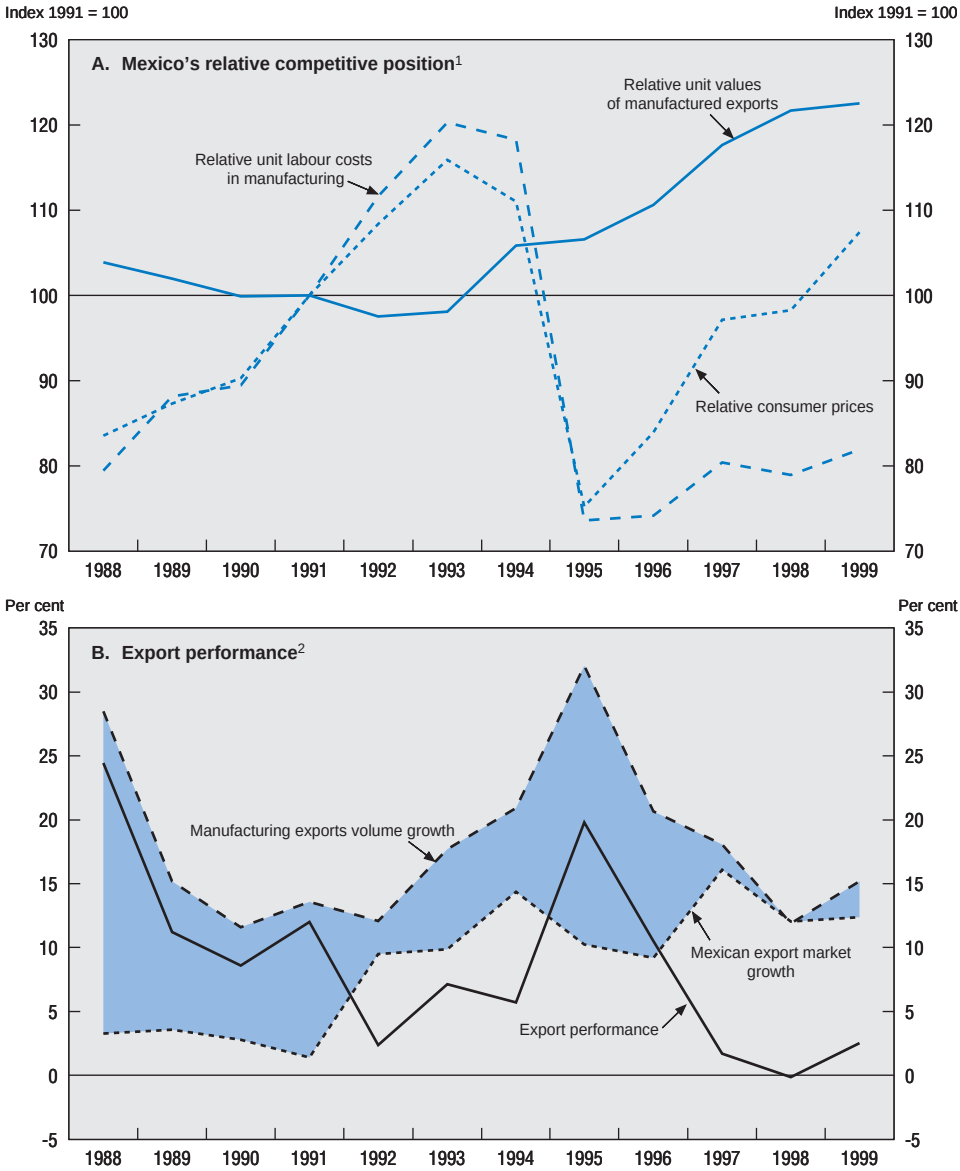
Figure 6. **International competitiveness and export performance**



1. Indices in US$ terms.
2. Percentage change from previous period. Export performance is defined as Mexico's exports of manufactures relative to its main partners' imports of manufactures in volume terms.

Source: OECD.

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Mexico's export performance has been favourable for a number of years (Figure 6, panel B). The improvement of cost-price competitiveness in 1995, together with the slump in domestic demand that year, gave a boost to exports, and the real appreciation of the exchange rate since then does not appear to have undermined Mexico's ability to continue to expand its market share. Although the pace of these gains has clearly slowed, manufacturing exports grew by 15 per cent in dollar terms, leading to a market share gain in 1999. Factors not directly related to price-cost competitiveness have contributed to this outcome.[11] The continued strength of the United States, Mexico's main trading partner, has certainly been important in explaining the sustained growth of Mexican exports in 1999 as in previous years.[12] The auto industry, in particular, made a very significant contribution, as United States demand for these products accelerated; the *maquiladora* industry also recorded a larger net surplus than in 1998.

The rapid process of integration which has followed the establishment of the NAFTA has been associated with growing trade in intermediate inputs, and Mexican firms have become more export oriented as production-sharing arrangements have developed in the NAFTA area. The degree of openness of the Mexican economy, measured as the sum of exports and imports of goods and services over GDP, increased from about 35 per cent to over 60 per cent between 1993 and 1998 (the equivalent figure for the US rising from 20 to 25 per cent). Large-scale investments of recent years have been oriented towards the export sector. Exports of products with higher value added are now much larger than exports from primary sectors (oil among others), testifying to the gradual shift towards a more diversified base. This transformation has been linked to changes in foreign direct investment inflows and the expansion of production-sharing arrangements. For example, in the auto industry and home appliance sectors, firms have engaged in a process of rationalisation of production lines in the United States and Mexico. As a result, certain models are produced only in one or other of the two countries, leading to greater trade for these products, often intra-firm.[13]

Higher imports, but the trade and current account deficits narrow

Economic expansion and international integration have been accompanied by a rapid growth of merchandise imports (Figure 7). Intermediate goods account for three-quarters of the total, half of these related to the *maquiladoras* sector. Consumer good imports on the other hand, which show the highest sensitivity to domestic activity, account for less than 10 per cent of merchandise imports. The weakening of consumption in 1999 led to a moderation in import growth. A surcharge on import tariffs for non-free trade agreement countries was introduced at the start of 1999. But it is not clear whether it had any effect on imports that year.[14] Imports of capital goods have been posting increasingly rapid growth rates over the years (18.5 per cent in 1999, against 14.6 per cent a year earlier) reflecting the continued boom in investment and on-going structural changes.

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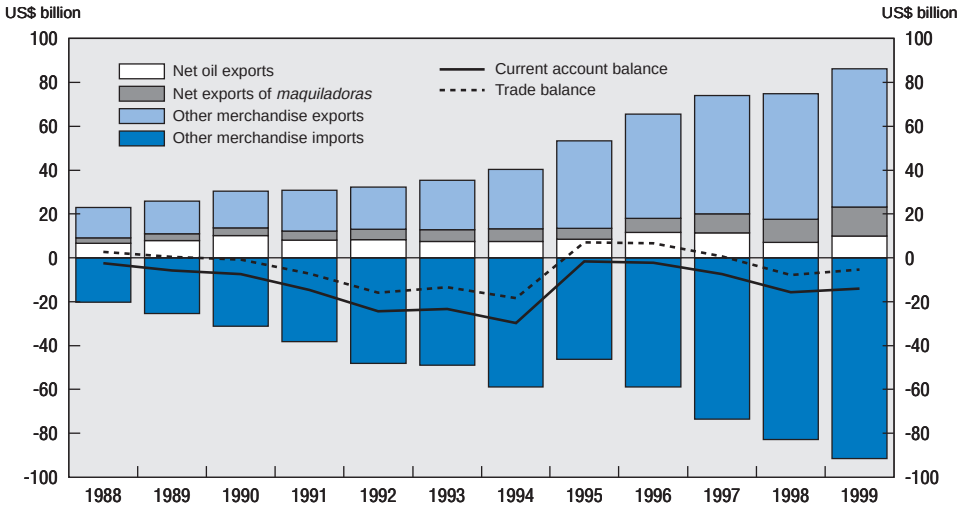
Figure 7. **Foreign trade and the current account**



Source: Banco de México.

Table 5. **Current external account**
US$ billion

	1994	1995	1996	1997	1998	1999
Exports, f.o.b.[1]	60.9	79.5	96.0	110.4	117.5	136.7
of which:						
Oil	7.4	8.4	11.7	11.3	7.1	9.9
Non-oil	53.4	71.1	84.3	99.1	110.3	126.8
Imports, f.o.b.	79.3	72.5	89.5	109.8	125.4	142.1
Trade balance	**–18.5**	**7.1**	**6.5**	**0.6**	**–7.9**	**–5.4**
(Per cent of GDP)	(–4.4)	(2.5)	(2.0)	(0.2)	(–1.9)	(–1.1)
of which:						
Maquiladoras	5.8	4.9	6.4	8.8	10.5	13.3
Non-factor services, net	–2.0	0.7	0.5	–0.5	–0.6	–1.6
of which:						
Tourism	1.0	3.0	3.8	3.9	4.0	3.9
Investment income, net	–13.0	–13.3	–13.9	–12.8	–13.3	–13.3
Transfers, net	3.8	4.0	4.5	5.2	6.0	6.3
Current balance	**–29.7**	**–1.6**	**–2.3**	**–7.4**	**–15.7**	**–14.0**
(Per cent of GDP)	(–7.0)	(–0.6)	(–0.7)	(–1.9)	(–3.7)	(–2.9)

1. Including trade by *Maquiladoras* (in-bond industries).
Source: Banco de México.

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Despite buoyant imports, the trade deficit declined in 1999, reflecting improved terms of trade, as oil prices rose, and the pick up in foreign demand for Mexican manufacturing goods. As a result, the current account deficit, which had been gradually increasing since the 1995 recession, narrowed somewhat, falling to just below 3 per cent of GDP (Table 5).

Net capital inflows have become more stable after a phase of volatility

Mexico has been recording sizeable net capital inflows since the start of the 1990s.[15] Since 1994, foreign direct investment has generally predominated, reaching an average of US$11 billion per year, and even in the wake of the peso crisis, it remained strong (Table 6). Global financial market turbulence, triggered

Table 6. **Capital account and the balance of payments**

US$ billion

	1994	1995	1996	1997	1998	1999
Capital account	**14.6**	**15.4**	**4.1**	**15.8**	**17.5**	**14.1**
Liabilities	**20.3**	**22.8**	**10.4**	**9.0**	**17.0**	**16.8**
Loans and deposits	1.1	23.0	–12.2	–8.8	6.3	–5.6
Public sector	–0.4	11.5	–8.9	–6.1	1.5	–4.8
Development banks	1.3	1.0	–1.2	–1.0	0.2	–0.8
Non-financial sector	–1.7	10.5	–7.7	–5.0	1.3	–4.0
Bank of Mexico	–1.2	13.3	–3.5	–3.5	–1.1	–3.7
Private sector	2.7	–1.8	0.2	0.7	5.9	2.9
Commercial banks	1.5	–5.0	–1.7	–2.0	–0.1	–1.4
Non-financial private sector	1.2	3.1	2.0	2.7	6.0	4.3
Total foreign investment	19.2	–0.2	22.6	17.9	10.7	22.4
Direct investment	11.0	9.5	9.2	12.8	11.3	11.6
Portfolio investment	8.2	–9.7	13.4	5.0	–0.6	10.8
of which						
Stock market	4.1	0.5	2.8	3.2	–0.7	3.8
Money market	–2.2	–13.9	0.9	0.6	0.2	0.1
Foreign currency securities	6.3	3.6	9.7	1.2	–0.1	6.9
Assets	**–5.7**	**–7.4**	**–6.3**	**6.7**	**0.4**	**–2.6**
In banks abroad	–3.7	–3.2	–6.1	4.9	0.2	–1.7
Credits to non-residents	0.0	–0.3	–0.6	–0.1	0.3	0.4
External debt guarantees	–0.6	–0.7	0.5	–0.7	–0.8	–0.8
Other	–1.3	–3.3	–0.2	2.7	0.7	–0.6
Memorandum items:						
Current account	–29.7	–1.6	–2.3	–7.4	–15.7	–14.0
Capital account	14.6	15.4	4.1	15.8	17.5	14.1
Errors and omissions	–3.3	–4.2	0.0	2.2	0.4	0.5
Changes in net international reserves (increase = –)	18.4	–9.6	–1.8	–10.5	–2.1	–0.6

Source: Banco de México.

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by the Russian crisis in August 1998, slowed capital inflows to emerging markets, but sound macro-policies and solid fundamentals limited the impact of the global crisis on Mexico. In 1999, total foreign investment more than doubled from a year earlier, reaching over US$22 billion. Almost US$11 billion reflected portfolio investment, mostly foreign currency securities issues (both private and public), which had recorded a small outflow in the previous year. Foreign direct investment recorded higher inflows in 1999 than in 1998, reaching an estimated US$11.6 billion for the year as a whole, which financed more than 80 per cent of the current account deficit (the ratio was 37 per cent in 1994). On the other hand, there were substantial capital outflows, reflecting net amortisation of foreign debt by the public sector and the central bank. The sum of recorded net capital inflows and the surplus in "errors and omissions" somewhat exceeded the current account deficit in 1999, resulting in further reserve accumulation.

Conditions favour sustained growth

The OECD is projecting a slowdown in the United States expansion to 3 per cent in 2001, which will reduce the growth of Mexico's aggregate market for manufacturing exports from 12½ per cent in 1999 to around 8 per cent in 2001. The profile of Mexican growth is thus likely to change, becoming more dependent on private-sector demand. Fundamentals remain favourable in this respect, in that real income gains should continue to fuel consumption, even though households may be reluctant to reduce their savings given current uncertainties related to the political transition. Business investment should benefit from a continuation of the favourable business climate observed in the later part of 1999 and early 2000, as suggested by confidence indicators. Short-term interest rates have come down significantly, both in nominal and real terms, reflecting the reduction in inflation expectations and increased credibility of the economic strategy. While no stimulus is expected from public infrastructure projects, the announced prudence in macroeconomic policies – needed to ensure a smooth transition to the next administration – has not required further discretionary tightening: the budget for 2000 foresees a financial deficit for the public sector of 1 per cent of GDP, which is a small decline from the 1999 outturn.

Overall, real GDP growth is likely to reach between 4½ and 5 per cent in 2000 and 2001 (Table 7). Inflation should continue to come down gradually to around 9½ per cent by December 2000 and 7½ by December 2001, consistent with the central bank's announced medium-term convergence objective (see Chapter II). This will give an average annual increase of around 8½ per cent for 2001. The OECD projection hinges on the usual assumption of an unchanged nominal exchange rate. Moreover, given the immediate uncertainties attaching to the election outcome in Mexico and the projected interest-rate trends in the United States, no further real interest rate decline has been incorporated into the

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Table 7. **Short-term outlook**

	1999	2000[1]	2001[1]
	Percentage changes		
Demand and output (volume)[2]			
Private consumption	4.3	5.2	5.0
Government consumption	1.0	4.0	3.0
Gross fixed investment	5.8	6.9	9.8
Final domestic demand	4.3	5.4	5.8
Stockbuilding[3]	–0.8	0	0
Total domestic demand	3.4	5.3	5.7
Exports of goods and services	13.9	12.5	8.2
Imports of goods and services	12.8	14.0	10.0
Foreign balance[3]	0.3	–0.5	–0.7
GDP at market prices	3.7	4.8	5.0
Inflation (average)			
GDP price deflator	15.9	10.2	8.5
Private consumption deflator	16.4	10.0	8.6
	Levels		
Current account balance			
Per cent of GDP	–2.9	–3.2	–3.6
US$ billion	–14.0	–18.2	–23.0

1. OECD projections for 2000 and 2001.
2. At 1993 constant prices.
3. Change as a percentage of previous year's GDP.
Source: OECD.

OECD projection in 2000. In 2001, following the formation of the new government, real interest rates are assumed to ease somewhat. The strengthening of the banking sector through structural measures that have been put in place, including the recent approval of a new legal framework for bankruptcy and secured lending, should allow a recovery of bank credit, helping to finance business and household spending (Chapter IV). However, banks and debtors remain quite vulnerable to changes in interest rates. The deterioration in the current account should remain moderate, largely financed by continuing large foreign direct investment.

The uncertainties attaching to the outlook chiefly concern the external sector, particularly developments in the United States, where there is a possibility of higher interest rates and a more precipitate slowdown in 2001. Although Mexico is diversifying its trade relations, for instance with the recently-signed free trade agreements with the European Union, Israel and several Latin American countries, the business climate in Mexico will continue to be very much dependent on economic trends in its NAFTA partners. Uncertainties concerning oil prices are also

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important. So far, the average oil price has been substantially higher than the budget assumption for 2000 (US$16 for the Mexican export mix). Windfall clauses in the budget should preclude the risk that an oil bonus would induce excess public spending, which would put undue pressure on prices and the current account. More generally, the Mexican economy remains vulnerable to confidence effects, in part related to the political transition and associated uncertainty. In recognition of this, initiatives have been taken to shield the economy from possible election-induced volatility (*blindaje*), encompassing actions to secure Mexico's access to foreign financing and to maintain monetary and fiscal policy discipline.

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II. Monetary and fiscal policies

The policy responses to the 1998 global financial turbulence having succeeded in restoring orderly conditions in financial markets and confidence in the peso, the domestic and external environments both became more favourable in 1999. Oil prices rose markedly and the exchange rate appreciated in effective terms, contributing to the reduction in inflation. Building on these achievements, policies have remained restrictive. In the run-up to presidential elections and the change of administration due in 2000, the authorities have been concerned with strengthening economic fundamentals, so as to reduce the economy's vulnerability to shifts in foreign confidence. In this context, and with the aim of achieving medium-term inflation convergence with its main trading partners, the monetary programme for 2000 is based on continuing gradual disinflation, while the budget maintains fiscal discipline. This Chapter first reports on monetary policy and financial market developments, highlighting the successive adjustments to the operational framework for the conduct of monetary policy. Financial sector reform more broadly is discussed in Chapter IV. The second section reviews fiscal policy and public debt management. It identifies a number of challenges for fiscal policy over the medium-term, including the vulnerability of the budget to revenue shocks and to off-budget fiscal obligations and contingent liabilities. The main features of public spending and related policy requirements are the subject of Chapter III.

Monetary policy

The inflationary effects of the sharp exchange rate depreciation that followed the 1994-95 peso crisis had been largely brought under control by 1997, and the main objective of monetary policy has since been to bring inflation down on a gradual and sustainable basis (Figure 8). To support this strategy, a new framework for the conduct of monetary policy was put in place after the crisis, with an emphasis on control over the growth of base money and a ceiling on the annual growth of net domestic credit (see Box 1).[16] There is no explicit medium-term inflation path, but the central bank is moving towards an inflation targeting regime. Its medium-term objective is to bring down inflation to the rate prevailing in Mexico's main trading partners by the end of 2003. Consistent with this aim, a yearly inflation target is specified and breaches of monetary ceilings are deemed to be acceptable

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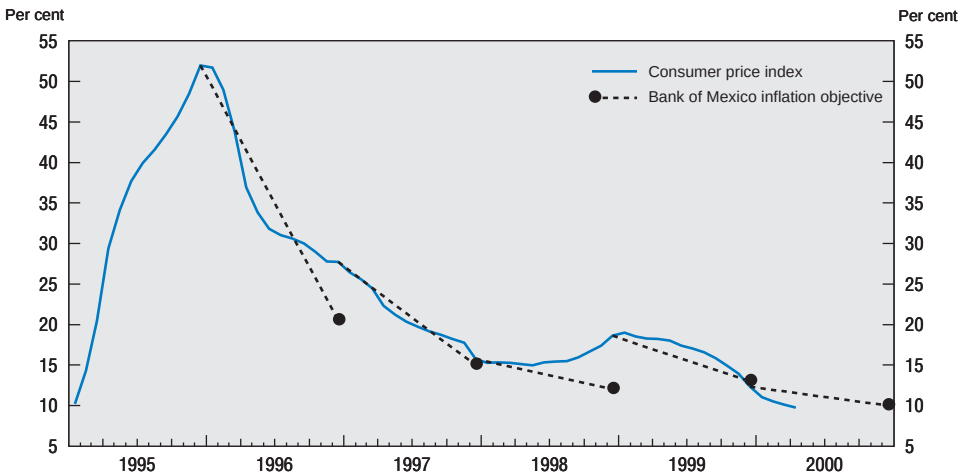
Figure 8. **Inflation objectives**
Percentage changes over 12 months



Source: Banco de México.

only if they are consistent with this. The central bank does not provide indications or signals regarding the desired level of the exchange rate. But it has intervened in currency markets, essentially through pre-determined rules, to smooth volatility and to accumulate foreign exchange reserves. Some of these operations have contributed to sizeable purchases of foreign currency in the past few years.

The 1999 monetary programme

The central objective of the 1999 monetary programme was to reduce the twelve-monthly CPI inflation rate to 13 per cent by December. This goal was set against the background of a significant overshooting of the previous year's 12 per cent inflation objective: with the exchange rate depreciating by about 20 per cent in effective terms, prices rose by 18.6 per cent in the twelve months to December 1998. The main intermediate target of monetary policy – the evolution of base money – was expected to grow by 18.1 per cent in 1999. A commitment was also made that net international assets would not be reduced, given uncertainties in the external environment and what have been judged to be a comfortable level of foreign exchange reserves. Assumptions underlying the programme included real output growth of 3.0 per cent and an implicit 1.5 per cent rate of "remonetisation" (increase in money demand).

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Box 1. An overview of the monetary policy framework

The present monetary policy framework dates back to the stabilisation programme introduced in the aftermath of the 1994-95 peso crisis. The central bank was given its independence in April 1994 and a floating exchange rate regime adopted in December of that year.

The central bank's policy strategy is explained in its monetary programme, presented each year in January. The programme includes an expected path for the monetary base on a daily basis and a ceiling on the quarterly evolution of net domestic credit through the year. To assess the stance of monetary policy, the authorities also follow the behaviour of a number of indicators, comprising the exchange rate, inflation expectations, wages and aggregate demand and supply. Deviations of the monetary base from its announced path, and their consistency with the inflation objective, are evaluated in the light of trends in these indicators.

The main policy instrument through which the bank induces changes in interest rates is a system of daily liquidity management. Through this system, the central bank accommodates the demand for money by providing direct liquidity to banks on a daily basis. Monetary policy is then conducted by altering the terms on which this liquidity is provided, inducing changes in monetary conditions. This "intervention" is achieved by requiring that the overall liquidity position of the banking system either be in shortage (*corto*) or in surplus (*largo*). For instance, by announcing a *corto*, the central bank induces market participants to bid up interest rates to avoid paying overdraft charges. This system proved insufficient to engineer the rapid and large changes in interest rates required at the time of the 1997-98 emerging market crisis. To enhance the efficiency of the *corto*, in mid-1998, Banco de México introduced a remunerated compulsory deposit for commercial banks. Liquidity is then reintroduced through the money market, putting the Banco de México in a position of net creditor to the banking system and reinforcing its control over short-term interest rates.

Concerning exchange rate policy, a floating rate system has been in place since December 1994. Although there is no commitment by the central bank to a given exchange rate level, the policy framework includes features aimed at maintaining orderly foreign exchange market conditions. For instance, under a mechanism of daily pre-announced auctions, a fixed amount of foreign exchange is offered at an asking price 2 per cent above the market rate observed on the previous business day. The Bank has also followed, since mid-1996, a policy of gradual reserve accumulation. This is exercised through a system of monthly sales of forward contracts (put-options), committing the Bank to purchase a fixed amount of foreign exchange before a certain date. The system is designed to encourage the exercise of the options at times when the exchange rate is strongest, relieving appreciation pressures. Banco de México is also empowered to make discretionary interventions in the exchange market, but these interventions are made only under exceptional circumstances.

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The programme was published in January 1999, in the context of renewed world financial market volatility related to the Brazilian crisis. In response to the volatility, the bank had already increased the *corto* twice – in November 1998 and in mid-January 1999. This was reinforced by the increase in February 1999 of the remunerated compulsory deposit for commercial banks (Figure 9, panel A). As in mid-1998, the use of mandatory deposits proved effective in influencing short-term interest rates. Short-term interest rates initially shot up (by 6 percentage points to 36 per cent for the funding rate), but quickly fell back. Overall, the impact of the Brazilian crisis on the Mexican economy was much shallower and shorter than the previous bout of world-wide instability in mid-1998, as prompt action by Mexican monetary authorities, in the context of enhanced credibility of domestic policies and of a more solid policy framework, allowed a rapid restoration of market confidence. After depreciating by about 8 per cent against the US dollar immediately following the Brazilian devaluation, the peso quickly recovered, and by early March it was back to end of 1998 levels. During the rest of the year, although no changes were made to the *corto*, short-term interest rates gradually fell, with both the funding rate and the 3-months *Cetes* dropping below 18 per cent by December (Figure 9, panel B). This reduction was roughly in line with the fall in inflation, and as a result real short-term interest rates remained relatively high, at over 5 per cent (Figure 10). The exchange rate remained broadly stable, at about 9.5 pesos to the US dollar, implying an appreciation of 6.3 per cent in real effective terms for the year as a whole. This helped reduce inflation, which turned out 0.7 percentage point below the bank's objective, at 12.3 per cent.

The main monetary aggregates were little affected by the short-term market volatility in early 1999, as had also been the case in mid-1998. Starting in June 1999 however, base money increasingly deviated from its expected path: by the end of the year, this deviation reached 21.8 per cent (Figure 11). The pace of remonetisation was grossly underestimated by the central bank, reaching an estimated 11.4 per cent of the monetary base – excluding the year 2000 (Y2K) effect – compared with 1.5 per cent foreseen in the 1999 monetary programme. Banco de México interpreted this behaviour as resulting from "an unforeseen increase in the demand for money and not as excess money supply". Real output growth was higher than expected (by an estimated ¾ of a percentage point) and interest rates fell faster than projected.[17] In addition, uncertainties related to the Y2K problem are likely to have increased base money demand by commercial banks towards the end of 1999. Indeed, the rapid expansion of monetary aggregates in late 1999 was quickly reversed in early 2000. As Y2K and holiday-related liquidity was mopped-up, base money fell by 17 per cent between December 1999 and January 2000. Even though this does not fully explain the overshooting, exchange rate stability and the achievement of inflation below the bank's objective support the argument that there was no excess supply of base money in 1999.

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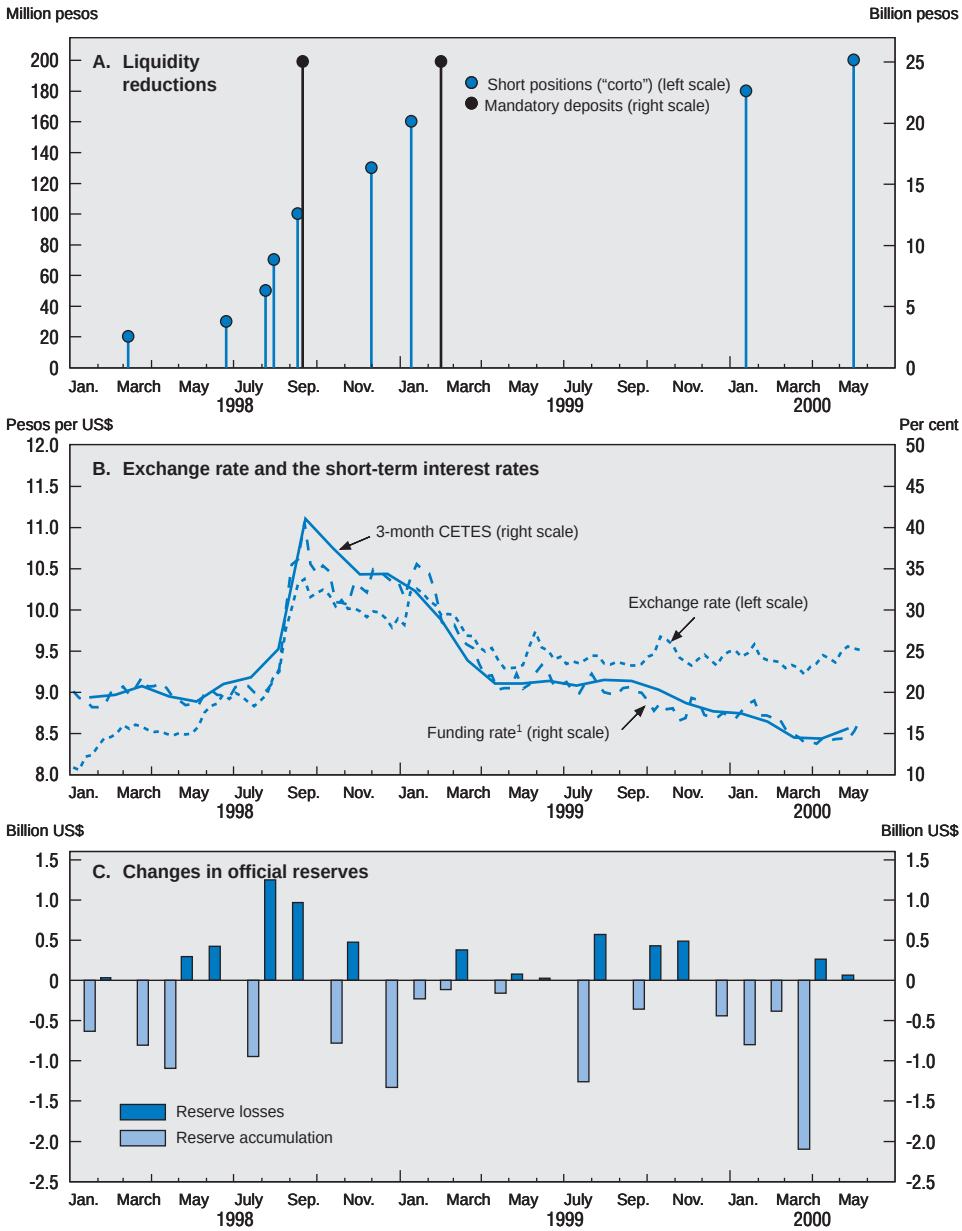
Figure 9. **Policy actions**



1. "Tasa de fondeo": before November 1998, opening rate; from November 1998, composite rate.
Source: Banco de México; OECD.

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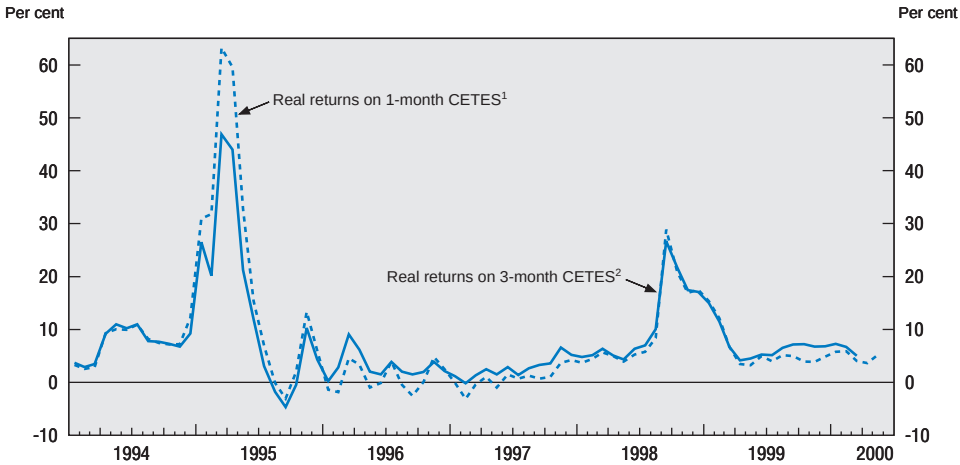
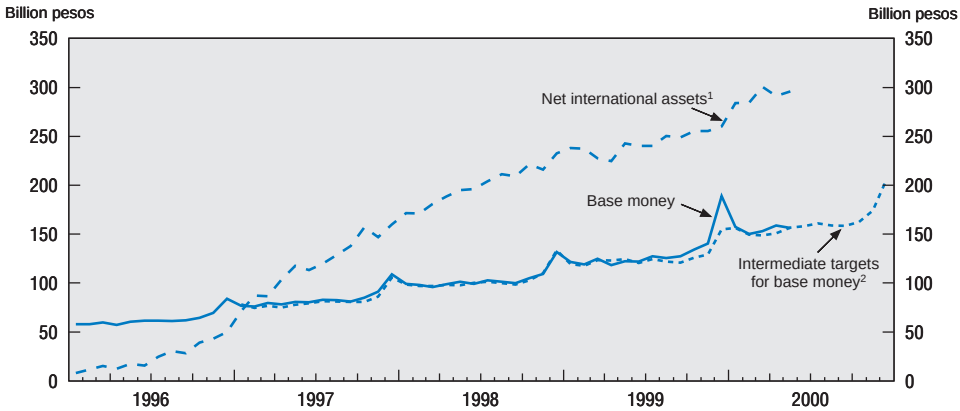
Figure 10. **Real returns on short-term interest rates**



1. 1-month CETES rate minus year-on-year inflation in current month.
2. 3-month CETES rate minus average year-on-year inflation of the following three months.

Source: Banco de México.

Figure 11. **Base money and net international assets**
End-of-period balances



1. Net international assets are defined as gross reserves, minus longer term liabilities such as IMF loans.
2. The acceleration of base money at the end of each year is a seasonal pattern which is taken into account in the central bank's target definition.

Source: Banco de México.

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Table 8. **Bank lending and financial saving**[1]

	1994	1995	1996	1997	1998	1999
	End-of-period stocks, billion pesos					
M4	738	898	1 183	1 527	1 897	2 273
Bank credit						
Total	640	810	910	990	1 127	1 142
To private sector	613	764	863	919	1 037	1 044
Direct credit[2]	613	619	511	499	540	522
	Percentage year-on-year changes, in real terms					
M4	16.7	–19.9	3.2	11.5	4.8	6.7
Bank credit						
Total	32.7	–16.7	–12.1	–5.9	–4.0	–9.8
To private sector	31.9	–18.0	–11.5	–8.0	–4.8	–10.3
Direct credit[2]	31.9	–33.6	–35.3	–15.6	–8.9	–13.9

1. Based on the new methodology introduced by the central bank in mid-1999.
2. Excluding official asset purchases, *i.e.* assets that have been sold or transferred to trust funds in the context of debtor and bank support programmes.

Source: Banco de México.

This conclusion is corroborated by the analysis of the credit counterparts of monetary growth. Net international assets rose by 3.9 billion US dollars, compared with the bank's *ex ante* commitment not to allow them to fall during 1999. Net international reserves also continued to increase, reaching 31 billion US dollars at the end of 1999 (Figure 9, panel C).[18] Net domestic assets, on the other hand, increased broadly as projected in the 1999 monetary programme, with accumulated flows easily moving within quarterly limits. Credit to the private sector continued to decline for the fifth consecutive year (Table 8). Excluding official asset purchases, such as those associated with the financial rescue package, direct bank lending to the private sector declined by 13.8 per cent in real terms in 1999, contrasting with the healthy growth of demand deposits in the banking sector.

The 2000 *monetary programme*

The 2000 monetary programme was prepared against a backdrop of accelerating output growth, declining inflation, increasing confidence in domestic policies, the adoption of a cautious fiscal stance, and a relatively favourable external environment, including higher international oil prices. Nevertheless, there were a number of uncertainties. Concerning the external outlook, these included the timing, scale and effects of the likely monetary policy tightening in Mexico's main trading partners, especially the United States. To this were associated the risks of further instability in financial markets and the volatility of oil prices. Domestically,

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the main uncertainty was perceived as being of a political nature, with general elections scheduled for July. Given these uncertainties, it was seen as desirable to strengthen fundamentals, so as to reduce the risk of a confidence crisis and minimise the contagion effects of any recurrence of global instability. Monetary policy was conceived as part of an overall policy of "shielding" (*blindaje*) the economy from possible shocks, which also included a prudent fiscal policy stance and the availability of contingent external financing. In that context, Banco de México announced that its objective would be to reduce the twelve-month rate of inflation (CPI) to no more than 10 per cent by December 2000, 2.3 percentage points below the outcome in 1999. Furthermore, the medium-term objective of reaching price stability was reiterated: a time horizon for the medium-term disinflation objective was specified for the first time in a monetary programme, with monetary authorities making the commitment to bring inflation down in line with that of Mexico's main trading partners towards the end of 2003.

As in previous years, the projected daily path of the base money, quarterly limits on the variation of net domestic credit and a target for net international reserves are again incorporated in the programme.[19] Base money growth of 20.6 per cent at year-end is deemed compatible with the inflation goal, real output growth of 4.5 per cent and a remonetisation factor of almost 5 per cent (about half of that in 1999). Recognising however, that the relationship between prices and base money growth becomes more tenuous at lower levels of inflation, the bank has emphasised the need to use other indicators to assess future inflation developments, listing in particular inflation expectations, wages, the exchange rate and the relationship between aggregate demand and supply. Complementing this move towards greater emphasis on a wider set of indicators of future inflationary pressures, a new element was introduced in the programme to strengthen the communication mechanisms *vis-à-vis* the public. Starting in April 2000, the central bank is committed to publishing quarterly reports on inflation. It sees this feature as an instrument for increasing the transparency of its policy-thinking in the context of a more complex policy analysis. As such, it hopes to help build consensus for the achievement of price stability.

In January 2000, Banco de México tightened monetary policy by again raising the *corto*: the first change in the required "short" position of the banking system for a year. This was sufficient to induce a sizeable temporary rise in short-term interest rates (with the funding rate reaching above 18 per cent), while the exchange rate remained broadly stable. The main reasons given for the tightening were the persistence of inflationary pressures: the private sector consensus for CPI inflation up to December 2000 was around 11 per cent, 1 percentage point above the bank's inflation objective. Moreover, the price of some key products, such as beer and tortillas (recently liberalised) looked set to increase by substantially more than 10 per cent, with the risk of feeding through to other prices. Although the effect of the rise in the required short position (*corto*) was quickly reversed and

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short-term term interest rates resumed a downward path, monetary policy was tightened again in mid-May. This was prompted by the rapid growth of domestic demand, developments in international financial markets, the evolution of the prices of some fruits and vegetables and inflation expectations for 2001, which were deemed inconsistent with the medium-term objective.

Monetary strategy: towards price stability

The movement towards an explicit medium-term inflation goal and the greater emphasis on a wider set of indicators of forward-looking inflationary pressures represents a significant step towards the adoption of an explicit inflation target system. In the 2000 monetary programme, the bank committed itself for the first time to moving forward in the transition toward such as a scheme. Under a floating exchange rate regime, a credible inflation targeting scheme provides an anchor for economic policy, helping to preserve confidence. Moreover, by providing private and public economic agents with a longer-term policy horizon, budget planning and the investment on long-term capital projects should be facilitated, ultimately allowing a better inter-temporal allocation of resources.

Several decisions will need to be made before the adoption of an explicit inflation-targeting framework, including the definition of the price index to be adopted as target. The national CPI index used to determine the bank's inflation objective includes items such as fresh food prices which can be very volatile, depending for instance, on weather conditions or other factors unrelated to inflationary expectations. A "core" CPI index, excluding agricultural and livestock products, education (tuition fees) and prices controlled or agreed in concert with the public sector, was introduced by the bank at the beginning of 2000, as an additional tool for analysis and communication. In conjunction with the publication of a quarterly inflation report, as of April 2000, transparency and accountability should be increased, enhancing the credibility of the central bank's inflation commitment.

Overall, monetary policy caution has played an important role in reducing inflation and maintaining economic stability in the face of significant external shocks in the past two years. As a result, the central bank has gained credibility, which will be important in its pursuit of a further reduction in inflation in the next few years. However, bringing inflation into line with that of Mexico's main trading partners towards the end of 2003 – defined as inflation in the 2.5 to 3 per cent range – will be difficult, as experience shows that expectations adjust slowly, particularly in the labour market (and hence the domestic service sector). This means that real interest rates will probably need to remain relatively high, but achieving price stability would bring quite large benefits to the economy. Persistent inflation (even at moderate levels) creates significant economic distortions, leading to efficiency losses. Beyond its effects on public finances and household disposable income, inflation also has a perverse effect on income distribution: the inflation tax is strongly regres-

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sive as it erodes the real value of cash balances, disproportionately held by lower income households. In Mexico, this is aggravated by the fact that the majority of the population has no access to interest-bearing bank accounts. Indeed, the costs of inflation might be seen as justifying a faster pace of disinflation if inflation expectations could be brought into line more quickly. To the extent that they cannot, an excessively tight monetary policy would create significant adverse effects in terms of real interest- and exchange-rate increases, with possible severe effects on output and/or the current account balance – which could undermine confidence and the sustainability of disinflation. The current gradualist approach seems thus to represent the most realistic option. However, the goal of price stability is dependent on fiscal policy remaining supportive of the disinflation process.

Fiscal policy

Fiscal policy has remained cautious since the strong fiscal tightening of 1995. A balanced budget in 1995 and 1996 gave way to small deficits of around 1 per cent of GDP from 1997 to 1999 for the broad public sector – *i.e.* federal government and public enterprises (Figure 12). Excluding the cost of the 1997 social security reform, estimated at 1.5 per cent per year, the financial accounts of the consolidated public sector have shown a slight surplus in the past three years.[20] In fact, while the budget incorporates the transitional cost of pension reform, the government is reducing contingent liabilities related to long-run pension obligations.

The fact that budget outcomes have been relatively stable in the past few years is remarkable given the vulnerability of government revenues to volatile international oil prices. The experience of the 1997 to 1999 budgets shows that the government has tended to respond to unexpected revenue developments by adjusting expenditures. In both 1997 and 1999, revenue was somewhat higher than originally budgeted – by 0.7 and 0.2 percentage point of GDP – as a result of buoyant economic activity and higher oil prices, respectively. In 1998 on the other hand, falling oil prices led to a revenue shortfall equivalent to 0.9 percentage points of GDP. In each year, spending was cut or increased so that the financial deficit outturn was very close to the original target, creating some short-term volatility in government outlays. Although this has not caused major problems, additional efforts are needed to stabilise public sector revenue. The creation of a stabilisation fund for revenue windfalls, as set out in the budget decree for 2000, can help damp the impact of external shocks on revenue, and hence on spending. However, rules for its implementation need to be carefully defined.

The good results of the past few years have been achieved in spite of other important demands on public sector resources stemming from the decentralisation of spending (see Chapter III) and the liabilities arising from the banking support programmes. Concerning the former, revenue sharing with states and municipalities has reached 3 per cent of GDP in 1999 and is expected to continue

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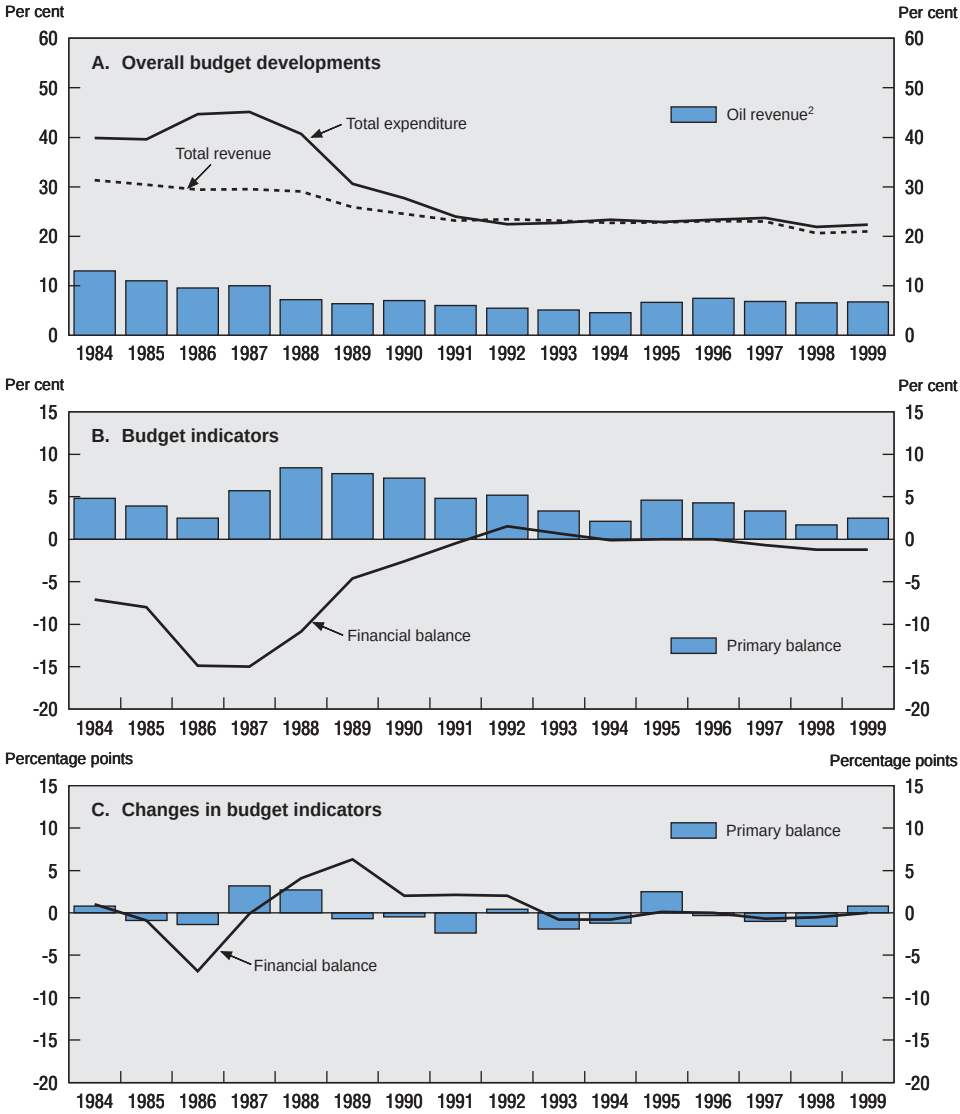
Figure 12. **Budget aggregates**[1]
As a percentage of GDP



1. The public sector comprises federal government and public enterprises under budgetary control (such as PEMEX). Financial intermediation by development banks is not included. The primary balance is the financial balance less net interest payments.
2. Includes oil extraction royalties, VAT and excise taxes on oil products.

Source: Ministry of Finance; Banco de México.

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to be substantial.[21] As for the banking support programmes, related liabilities were not fully serviced between 1995 and 1999, in large part because of legal uncertainties related to their status as public debt. Even though a cumulative 3.7 per cent of GDP has been provisioned for the programme, liabilities stemming from bank and debtor support programmes have continued to grow, reaching an estimated 14.3 per cent of GDP by the end of 1999.[22] Now that most of these uncertainties have been resolved (see Chapter IV), and under the announced policy of limiting the increase in outstanding debt to the inflation rate, the annual cost of servicing rescue-related debt is expected to reach 0.8 per cent of GDP in 2000, declining slowly thereafter, as real GDP increases.

Budgetary developments in 1999

The 1999 budget was prepared at a time of significant uncertainties, in large part related to global financial turbulence. The exchange rate had depreciated and monetary policy had been significantly tightened, with a view to cooling down domestic demand and containing inflation. International oil prices had fallen significantly. Domestic developments, such as the lengthy debate in Congress about the financial reform proposal, compounded uncertainties. The authorities responded with a cautious budget. Even though the budget for 1999 projected lower oil-related revenue (PEMEX contributions) and higher interest payments on the public debt relative to the 1998 outcome (altogether amounting to 1.7 percentage points of GDP), the financial deficit was not projected to widen.[23] Through strict control of primary expenditures, both current and capital, and measures to strengthen tax revenues, the 1999 deficit was budgeted to remain unchanged from the 1998 outturn, and the primary surplus was projected to widen by 1.2 percentage points of GDP. In the event, international and domestic developments in 1999 were significantly more benign than expected. Compared with 1998, oil-related revenues did decline and debt servicing costs rose, but by much less than budgeted. Primary expenditures were thus allowed to increase by more than projected. Overall, the primary surplus widened (by nearly 1 percentage point), while the financial deficit was virtually unchanged (Table 9). In the face of a slowdown in economic activity, this represented a significant tightening of fiscal policy.

Revenues increased to 20.6 per cent of GDP, just above projections. This favourable outturn mostly reflected strong oil revenues, higher international oil prices more than offsetting a slight drop in oil export volumes and the effects of exchange rate appreciation (Figure 13).[24] Other non-tax revenues fell sharply however, as revenues related to the privatisation process were significantly lower than budgeted and the central bank suffered accounting losses related to exchange rate appreciation. Tax revenues increased to 11.2 per cent of GDP, up from 10.5 per cent in 1998, largely reflecting revenue strengthening measures (Table 10). These included: the elimination of the immediate deduction scheme

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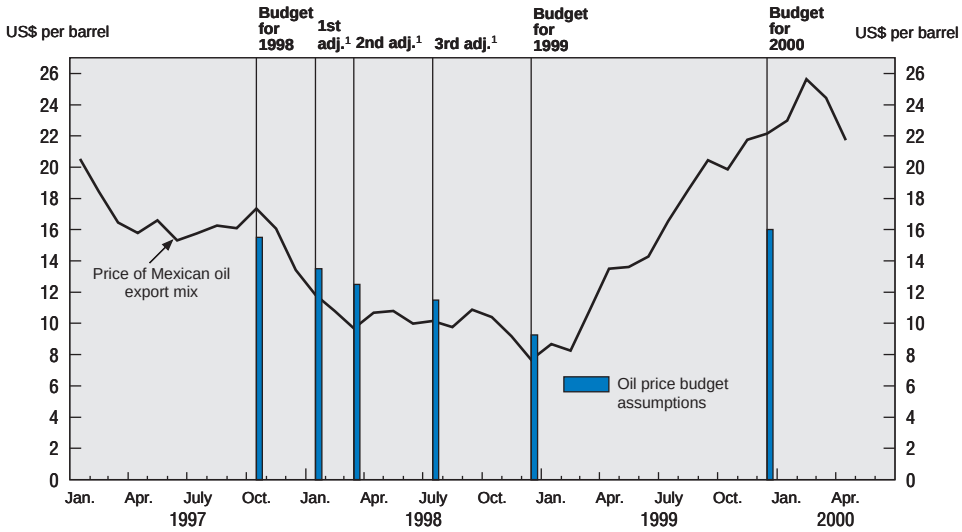
Table 9. **Public sector financial accounts**
Per cent of GDP

	1995	1996	1997	1998	1999		2000
	Outturn	Outturn	Outturn	Outturn	Budget	Outturn	Budget[1]
Revenue	22.8	22.9	23.1	20.3	20.4	20.6	21.5
Expenditure	22.9	23.1	23.7	21.6	21.8	21.7	22.5
Financial balance	**0.0**	**0.0**	**–0.7**	**–1.2**	**–1.3**	**–1.1**	**–1.0**
Primary balance	**4.6**	**4.3**	**3.3**	**1.6**	**2.8**	**2.5**	**2.9**
Memorandum items:							
Interest payments, total	4.6	4.4	3.9	2.8	4.0	3.7	3.9
of which:							
Provisions for support programmes[2]	0.8	0.8	1.3	0.3	0.5	0.5	0.8
Cost of IMSS reform[3]	..	..	0.8	1.5	1.5	1.5	1.5
Revenue sharing	2.7	2.8	3.0	3.0	3.0	3.0	3.1

1. The projection for 2000 is the approved budget.
2. Deposits made to FOBAPROA to cover part of the cost of the support programmes for banks and debtors (see section on banking sector in Chapter IV).
3. IMSS is the social security institute for private workers; the total cost of the reform includes both reduced revenues and higher expenditures.

Source: Ministry of Finance.

Figure 13. **Oil prices and budget assumptions**



1. Adjustments made to the 1998 budget assumptions.
Source: Ministry of Finance; PEMEX.

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Table 10. **Federal government budget**
Per cent of GDP

	1995	1996	1997	1998	1999		2000
	Outturn	Outturn	Outturn	Outturn	Budget	Outturn	Budget[1]
Revenue	**15.2**	**15.5**	**16.0**	**14.2**	**14.8**	**14.5**	**15.6**
Contribution of PEMEX	3.9	4.5	4.1	2.3	1.7	2.1	3.0
Other non-tax revenue	2.0	2.1	2.1	1.3	1.8	1.2	1.9
Tax revenue	9.3	8.9	9.8	10.5	11.3	11.2	10.8
of which:							
Income tax	4.0	3.8	4.2	4.4	4.7	4.6	4.6
VAT	2.8	2.9	3.1	3.1	3.2	3.3	3.2
Excise taxes	1.3	1.2	1.4	2.0	2.4	2.3	2.0
Import duties	0.6	0.6	0.6	0.6	0.6	0.6	0.5
Expenditure	**16.1**	**16.0**	**17.4**	**15.9**	**16.6**	**16.3**	**17.3**
"Programmable"	9.5	9.3	10.4	10.2	9.8	10.0	10.5
Current expenditure	7.8	7.6	8.7	8.7	8.7	8.4	..
Capital expenditure	1.9	1.9	1.9	1.7	1.4	1.6	..
Delayed payments	–0.2	–0.2	–0.3	–0.2	–0.4	0.0	–0.4
Non-programmable	6.6	6.7	7.0	5.8	6.8	6.3	6.7
Revenue sharing	2.7	2.8	3.0	3.0	3.0	3.0	3.1
Interest payments[2]	3.8	3.7	3.4	2.4	3.5	3.1	3.4
Other[3]	0.1	0.2	0.6	0.4	0.3	0.1	0.3

1. The projection for 2000 is the approved budget.
2. Includes provisions made on account of the support programmes for banks and debtors.
3. Includes accounts payable from previous fiscal period and net expenditure of the Federal Government on behalf of state-owned enterprises.

Source: Ministry of Finance.

and a tightening of consolidation rules for corporation taxation; an increase of the top marginal rate for personal income tax; a rise in selected import tariffs; and measures strengthening the ability of tax authorities to combat evasion and avoidance. Although the impact of these measures was partly offset by the reduction in the corporate tax rate on retained earnings, there was a net positive impact on tax revenues[25]: altogether, these expanded by 11 per cent in real terms compared with 1998.

On the expenditure side, interest payments on the public debt, at 3.7 per cent of GDP, were 0.3 percentage points lower than budgeted. Domestic interest rates fell much faster than expected, after reaching a peak in early 1999 at the time of the Brazilian crisis, and the exchange rate appreciated, lowering external debt servicing costs. This was more than offset however, by a rise in primary expenditures, especially those by public entities under budgetary control, including PEMEX (Table 11). Most of this increase was related to a jump on the wage bill of these entities, as well as a hike in both the number of pensioners and the real value of pensions paid by the private and public sector social security institutes (IMSS and ISSSTE respectively). As in previous years, social development functions of government accounted for the largest share of spending. Expenditures on health, education,

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Table 11. **Public enterprises under budgetary control: financial accounts**[1]

Per cent of GDP

	1995	1996	1997	1998	1999		2000
	Outturn	Outturn	Outturn	Outturn	Budget	Outturn	Budget[2]
Revenue	**8.9**	**8.6**	**9.0**	**7.9**	**7.3**	**7.7**	**7.6**
PEMEX	2.7	2.9	2.7	2.1	2.1	2.2	2.0
Other public enterprises	4.8	4.5	4.4	4.0	3.5	3.9	3.8
Transfers received	1.4	1.2	1.9	1.8	1.7	1.7	1.7
Expenditure	**8.3**	**8.3**	**8.3**	**7.4**	**6.8**	**7.1**	**6.9**
Current expenditure	5.9	5.7	6.2	5.6	5.0	5.5	..
Capital expenditure	1.6	2.0	1.6	1.4	1.4	1.2	..
Interest payments	0.8	0.6	0.5	0.4	0.5	0.4	0.5

1. State-owned enterprises under budgetary control, excluding public financial intermediaries (development banks and development trust funds).
2. The projection for 2000 is the approved budget.

Source: Ministry of Finance.

social security and regional and urban development reached 9.3 per cent of GDP, equivalent to around 60 per cent of "programmable" expenditures (primary expenditures less revenue sharing) (Table 12). Justice and security were also given priority, with spending in this area boosted for the second year in a row.

Table 12. **Public expenditure by sector**

	1995	1996	1997	1998	1999[1]	2000[1]
Total,[2] peso billion	290.4	403.4	528.1	600.6	696.8	816.7
(Percentage changes, in real terms)	(–22.4)	(9.6)	(14.2)	(–1.6)	(1.8)	(6.2)
	Per cent of total[3]					
Social development	53.5	52.6	52.0	57.9	61.5	61.5
Education	23.9	23.4	21.6	24.7	24.3	25.2
Health	14.0	13.0	13.4	14.7	14.7	13.9
Social security	7.8	8.1	10.0	10.5	14.3	14.0
Labour	0.4	0.2	0.3	0.3	0.4	0.4
Social assistance and supply	2.2	2.5	1.7	1.6	1.4	1.5
Urban and regional development	5.2	5.4	5.0	6.0	6.4	6.5
Rural development	7.1	6.7	5.3	5.0	3.6	3.7
Environment and fishing	0.6	0.7	1.4	1.0	1.1	1.3
Communications and transport	5.0	5.6	8.5	4.0	3.0	2.6
Energy	22.4	23.7	21.0	21.5	20.1	19.1
Justice and security	8.8	8.1	8.6	7.9	8.3	8.6
Administration	2.5	2.6	3.2	2.7	2.4	3.2

1. The outturn for 1999 is the Ministry of Finance preliminary estimates as of February 2000. The projection for 2000 is based on the approved budget.
2. Public expenditure, excluding interest payments and revenue-sharing with state and local governments (*i.e.* "programmable" expenditure).
3. Percentages may not add up due to rounding off.

Source: Ministry of Finance.

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The 2000 *budget*

The preparation of the 2000 budget was facilitated by higher international oil prices, the 1999 tax measures and the momentum of economic growth in both Mexico and its larger trading partners, as well as by significantly lower domestic interest rates and exchange rate stability. Nonetheless, uncertainties relating to the fact that 2000 is an election year, together with the need to continue with disinflation and the overall vulnerability of revenues to external factors still called for caution. Moreover, the fiscal costs of the social security reform and the impact of the bank support programmes on debt service costs – together expected to amount to 2.3 per cent of GDP in 2000 – needed to be factored in. In response to these challenges, the public sector financial deficit is scheduled to decline marginally, to 1 per cent of GDP, while the primary surplus is set to rise by almost ½ percentage point in 2000, reaching 2.9 per cent of GDP. Revenues are budgeted to grow by 0.9 per cent of GDP, based on inflation at 10 per cent by year-end and GDP growth of 4½ per cent, under the conservative assumption of an average price for the Mexican oil export mix of $16 a barrel.[26] For the third year in succession, windfall provisions have been included in the budget insofar as the first 0.9 per cent of additional revenues, from oil or other sources, would automatically raise spending authorisations. Beyond that, windfalls have been earmarked proportionally, 60 per cent for debt redemption and 40 per cent for the creation of a stabilisation fund.[27] This should reduce the volatility of spending in the face of changes in international oil prices, provided clear rules are established for investment and disposal of the accumulated funds.

Most of the budgeted revenue increase derives either from the oil sector or from the delayed effects of the 1999 tax changes, since there have been only few new tax measures in 2000. Corporate tax rates on retained earnings have been reduced from 32 to 30 per cent as scheduled (in the 1999 budget), with a probable small negative impact on revenues.[28] Furthermore, the signing of free-trade agreements (notably with the European Union) is expected to lead to a reduction in revenues equivalent to 0.1 per cent of GDP, as import tariffs are cut. On the expenditure side, the shifting of priorities towards higher social spending is expected to continue. Interest payments are projected to increase, partly on account of provisions for the financial rescue support programme. This is likely to be the first year in which provisions will be enough to cover the real component of interest payments on the rescue-related debt, preventing it from further increasing in real terms.

Debt management

In the aftermath of the 1994 peso crisis, the immediate focus of debt management authorities was to restructure public debt, replacing short-term US dollar-indexed domestic debt ("*Tesobonos*") by less expensive, often longer-term,

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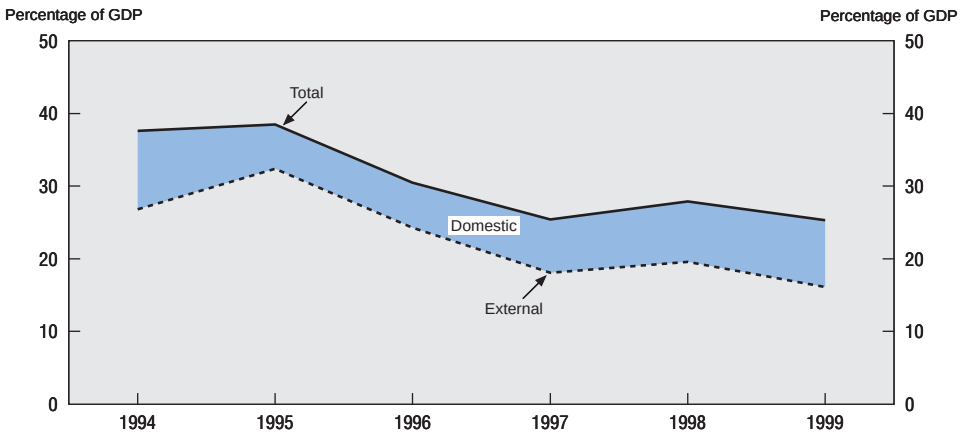
Figure 14. **Total net debt of the public sector**[1]
Broad economic debt, stocks outstanding, end of period



1. Total gross debt less deposits and financial assets of the public sector (comprising the Federal Government, public enterprises and development banks). Official trust funds are excluded.
Source: Ministry of Finance.

external debt, mostly from official sources. From late 1995, the strategy shifted to generating large primary surpluses in order to reduce the outstanding amount of debt. As a result, total net debt of the public sector fell sharply from 38.5 per cent of GDP at the end of 1995 to 25.3 per cent of GDP at the end of 1999 (Figure 14). This strategy has been complemented by more recent efforts to reverse the earlier reliance on external debt. As a result, net domestic debt reached 9.2 per cent of GDP at the end of 1999, up from a low of about 6 per cent of GDP in 1995-96. The replacement of external debt by domestic debt was facilitated by the growth of institutional investors (the private pension funds and insurance companies) and it has led to the development of a reference yield curve in the domestic market. The shift has also had important macroeconomic implications since, by increasing capital outflows, it has prevented further exchange rate appreciation.

Domestic debt strategy has focused on lengthening the average maturity of the public debt as a means of reducing the vulnerability of public finances to external shocks, as well as helping to deepen domestic financial markets. The authorities have stepped up the issuance of bonds with longer maturities – such as floating-rate treasury bonds (B*ondes*) and inflation-indexed bonds (U*dibonos*) (Figure 15, panel A).[29] The recent issuance of 10 and 30-year U*dibonos* fits into this strategy. Although the authorities succeeded in lengthening the maturity of domestic debt – from 297 days in December 1996 to 561 at the end of 1999 – the

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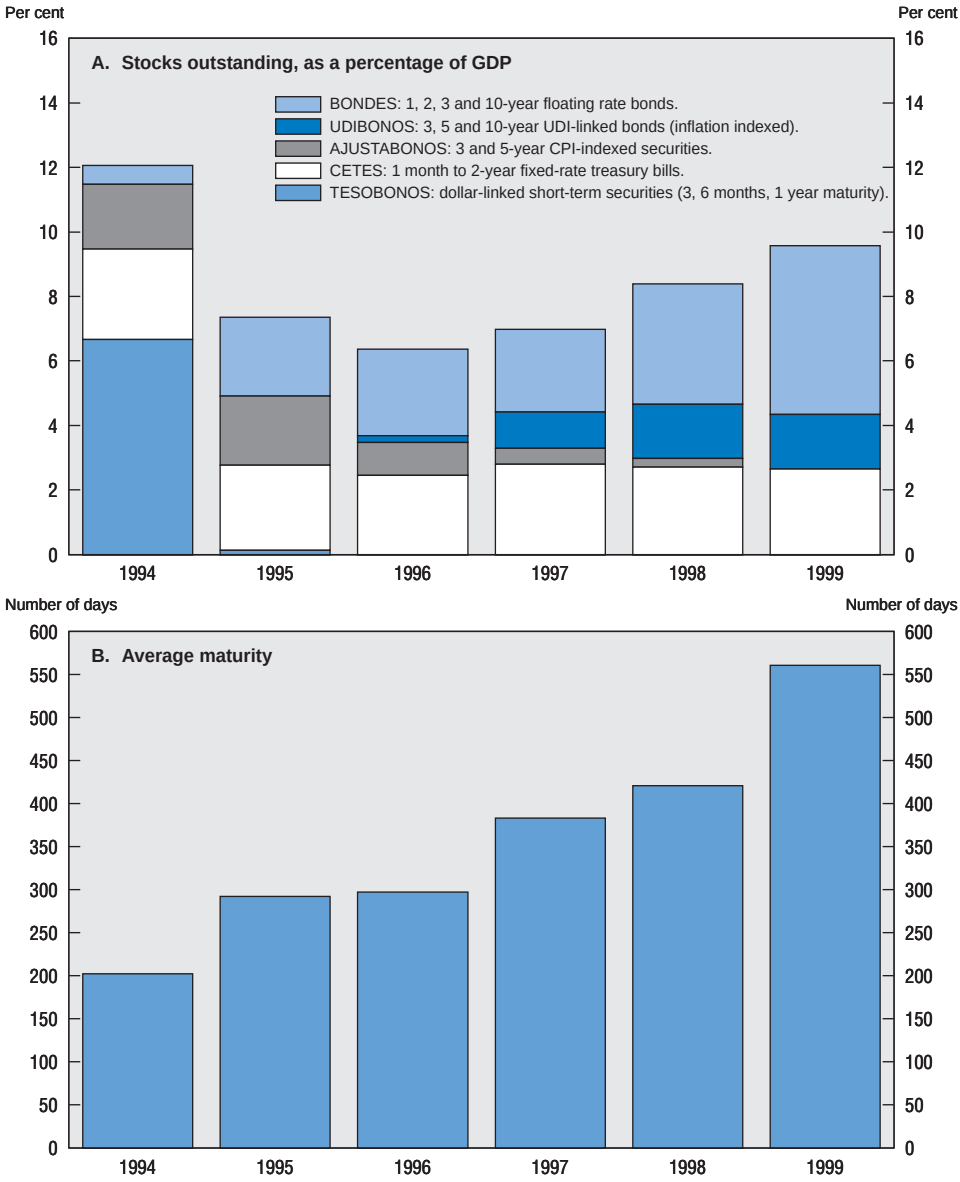
Figure 15. **Public sector domestic debt**[1]
End of period



1. Excludes repurchase agreements and deposits with monetary regulation purposes.
Source: Ministry of Finance.

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debt strategy has led to a considerable increase in the relative size of indexed or floating rate debt (Figure 15, panel B). More recently, the authorities have started to issue peso-denominated fixed-rate instruments with longer maturity, including a landmark 3-year bond issued in January 2000.[30] Conditions in domestic financial markets permitting, this trend is expected to continue, including the auctioning of 5-year fixed-rate bonds. The setting of macroeconomic policies – both fiscal and monetary – in a medium-term framework, combined with increased credibility, should help in this regard. The recent growth of institutional demand for longer-term paper, deriving from pension reform could also contribute to the development of these instruments (Chapter IV).

The debt strategy followed since 1995 has led to a sharp drop in net external public debt, from a peak of over 30 per cent of GDP at the end of that year to a low of 17 per cent of GDP in December 1999. Part of this reduction however, was due to foreign exchange rate accumulation as well as to valuation effects resulting from real exchange rate appreciation. External debt now accounts for about two-thirds of the public sector's total net debt, down from about four-fifths in 1995. Most of this debt is longer-term (more than one year) and about half of it is towards official (non-market) creditors, the latter being gradually replaced by longer-term market loans.[31] The authorities have also increasingly favoured a strategy of diversifying the currency composition of external debt, with the issuance of bonds denominated in euro and yen during 1999.[32] Over two-thirds of total external debt was still US dollar-denominated at the end of 1999.

The emerging market crisis of 1997-99 has had only a temporary effect on debt strategy. By late 1999, the spread between Mexican longer-term bonds (30-year Brady's) and their US equivalent had narrowed back to close to pre-crisis levels (300 to 400 basis points), while the average maturity of new placements had moved up sharply. In March 2000, the strategy was given a further boost, when Moody's Investment Services raised the Mexican sovereign rating to investment grade; and spreads narrowed further to a post-crisis low of about 250 basis points, before moving back up slightly. However, the current composition of external debt still implies strong refinancing needs in 2000 – US$11.4 billion, mostly from official sources. As part of a policy of "shielding" (*blindaje*) the authorities have negotiated contingent official support – from the IMF, World Bank, IADB, US Eximbank as well as NAFTA-related credit lines – for a total of US$23.7 billion.

Setting economic policy in a medium-term framework

In May 1995, in compliance with the Constitution, the then-incoming administration presented an overall development strategy, the National Development Plan. It provided general policy direction and overall projections for the six-year presidential term (*sexenio*). Elaborating on this broad strategy, a medium-term macro-economic scenario for the 1997-2000 period, the National Programme for

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Financing Development (PRONAFIDE), was presented in June 1997, providing, for the first time an explicit statement of the principles guiding policy-making over the medium-term so as to maintain a stable macroeconomic environment. It established a quantitative baseline scenario for main macroeconomic variables (growth of aggregate output and demand components, inflation, current balance), focusing on links between savings and investment, and between physical investment and medium-term growth of (potential) output. The baseline scenario envisaged a gradual return to a growth rate of 5.6 per cent at the end of the projection period, with inflation falling to 7.5 per cent. These numbers were seen as benchmarks representing trend evaluations underpinning the policy strategy, rather than forecasts. Overtaken by events, in large part related to external shocks, this scenario was updated in November 1998. Authorities then presented a more succinct set of objectives for the 1999-2000 period – the two remaining years of the administration.

As argued in previous OECD *Economic Surveys*, the implementation of a coherent medium-term framework, by providing information on policy strategy over a few years, could help to anchor private sector expectations and foster market confidence in government policies. The National Programme has provided valuable experience on which to build in this regard. Projections have been cautious in many respects, helping to enhance the credibility of the exercise. However, the authorities have been reluctant to publish projections beyond the term of a single administration, with the effect that the planning horizon has become shorter as the end of the administrative term comes nearer. This has had the effect of greatly reducing the usefulness of the framework in the end years of the *sexenio*, which is in any case, usually a period of enhanced domestic uncertainties. The system is thus not as effective as one based on a medium-term framework that is updated annually, in the context of an extension of the projection period, so that the planning horizon has always the same length. Although an incoming administration cannot be committed to the medium-term objectives set by the previous one, the existence of such a framework can provide a useful benchmark against which changes in policy orientation need to be explained, thus increasing transparency in the conduct of policy.

The main medium-term objectives of the National Programme have been to foster sustainable output and employment growth, while lowering inflation. As such, the programme outlined both a strategy for structural reform and a rationale for budgetary consolidation, with the objective of maintaining a significant level of public saving as well as promoting an increase in domestic private saving, to avoid excessive reliance on foreign saving, thus keeping the current account deficit at a sustainable level. Furthermore, the National Programme, in accepting the principle that growth depends on technological progress and improving labour productivity, stresses the importance of investment in education, training, adequate nutrition and healthcare, as well as developing infrastructure and modernising the

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financial system. The costs of such public services will need to be met at the same time as other fiscal-related challenges, already mentioned above, relating to the cost of social security reform, the financial rescue package and the decentralisation process. These three items represent a burden of over 5 per cent of GDP a year, equivalent to a quarter of present total revenues and expected to remain at that level for the next ten or twenty years. Moreover, contingent liabilities have been building up and will need to be addressed. They include those related to the private building of infrastructure projects – in the electricity and other energy sectors (PIDIREGAS) – and the public sector pension funds, both at the federal and lower levels of government. Measures to improve tax collection and to widen the tax base, as envisaged by PRONAFIDE, would help to loosen the constraints under which fiscal policy has been operating.[33] They will, however, need to be complemented by further measures to enhance the efficiency of public spending, which will be essential to improve conditions for strong and sustainable growth in the longer run. These issues are discussed in the next chapter.

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III. Public spending: how to enhance its effectiveness

Introduction

Mexico has one of the lowest levels of public spending in relation to GDP among OECD countries: about 20 per cent of GDP for the general government, compared with an OECD average of some 45 per cent.[34] This is not just related to the level of development of the Mexican economy. Relatively low spending in Mexico results from a sustained effort at fiscal retrenchment following the debt crisis of the early 1980s to restore macroeconomic balance (the financial deficit of the public sector had peaked at 16 per cent of GDP in 1983). Over a little more than a decade, in terms of spending, the public sector has shrunk from over 40 per cent of GDP (the 1987 all-time high) to 22 per cent in 1999, for the broad public sector, including public enterprises (Figure 16). To the extent that the reforms of the 1980s and early 1990s went beyond the immediate purpose of stabilising the economy, including privatisation and deregulation and a refocusing of priorities, lower spending has been associated with efficiency gains: the decline in spending did not induce as large a loss in actual services delivered. Moreover, partly because consolidation led to a large cut in interest payments, primary spending was less affected. Finally, over the period 1995-2000, available resources were shifted towards social programmes – education, health, social security, housing and poverty alleviation. The revenue from privatisation was also partly channelled to such programmes – as were resources freed by the consequent reduction of transfers to enterprises. The refocusing of spending is illustrated by the fact that over the 1995-2000 period, social spending per head increased by nearly 13 per cent, while total spending per head fell by 5.2 per cent. Nevertheless, as the previous OECD *Economic Survey of Mexico* showed, the revenue raising capacity of the tax system is still insufficient, due to the existence of large-scale preferential treatment and inadequate tax compliance. Despite efforts made to expand core spending programmes, constraint on tax revenue may have held back spending in areas where potential social and economic returns are high, such as investment in education, health and physical infrastructure. Correcting existing imbalances and deficiencies could well imply that government spending will probably have to rise relative to GDP. If so, the expansion will need to be at a pace which does not put unsustainable cost

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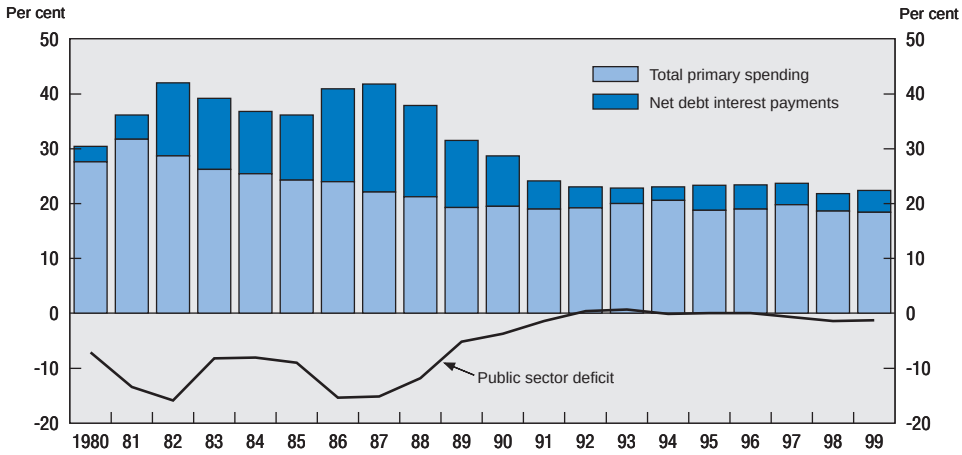
Figure 16. **Trends in public spending and the budget deficit**[1]
Per cent of GDP



1. Federal government and public enterprises under budgetary control.
Source: Ministry of Finance.

pressures on the productive sector. At any rate, efficiency issues will need to be addressed; measures to increase tax revenue will only be acceptable if the population at large perceives that public spending is effective.

This chapter reviews the major issues involved in enhancing the effectiveness of public spending in Mexico, identifying key areas for policy action. It begins with an overview of spending trends over the past fifteen years or so, and highlights prospective financing needs in a country characterised by economic and social features that are different from most other OECD countries. It then analyses some of the main issues impinging on the effectiveness of spending, reviewing aspects of public administration and budgeting and examining the scope for the introduction of market-based mechanisms to improve public sector performance. The on-going devolution of spending responsibilities to states and municipalities raises a number of issues, which are discussed in a separate section. The final part of the chapter gives recommendations for further action.

Characteristics and determinants of public spending

Main characteristics of public outlays

After the sharp decline which occurred during the 1980s, general government spending has averaged around 20 per cent of GDP in Mexico, as against 35 to

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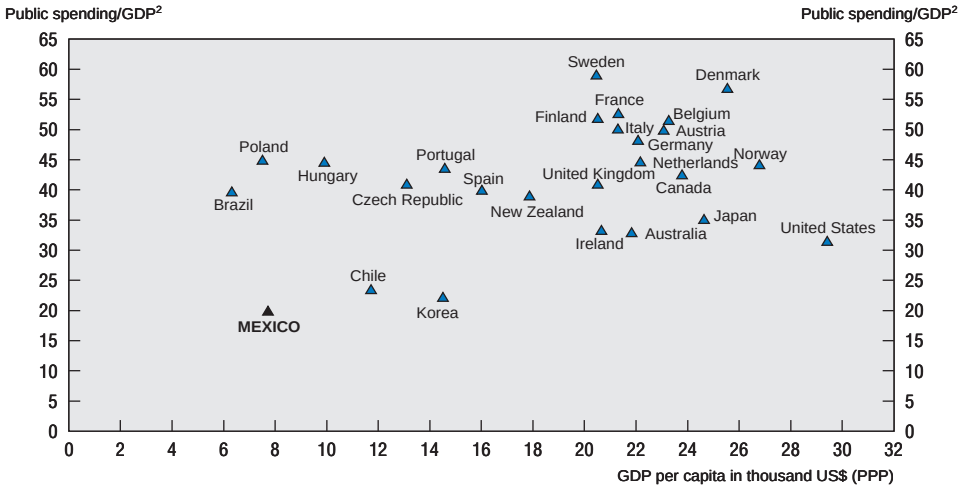
Figure 17. **Government spending and the level of income**[1]



1. 1997 or nearest year available. Central government for Brazil and Chile.
2. Public spending is defined as the sum of current outlays and net capital outlays.

Source: INEGI; IMF; OECD, *National Accounts*.

65 per cent in the other countries in the area. Even allowing for the fact that Mexico uses tax credits as well as social transfers to effect a certain amount of redistribution to low-income workers, the spending differential with most of the other OECD countries is significantly larger than 15 percentage points. Relating public spending to the level of development of the Mexican economy (Figure 17), the picture is less clear, however: Chile and Korea also have relatively low spending ratios, while Brazil and some eastern European countries at similar levels of development have had much higher spending.

The structure of spending by economic category shows two main differences between Mexico and the other OECD countries. First, social security outlays, although increasing, are still low by OECD standards, reflecting Mexico's limited degree of social protection (Figure 18). Second, capital outlays (fixed investment and capital transfers) are relatively high, with Mexico in a position similar to certain other countries, such as Spain and Portugal, that also devote a large portion of their budgets to capital spending.[35] However, as a proportion of GDP, investment is not as great in Mexico as in those countries, which receive substantial transfers from the European Union. Under a functional classification, education, which has been given high priority, represents the largest

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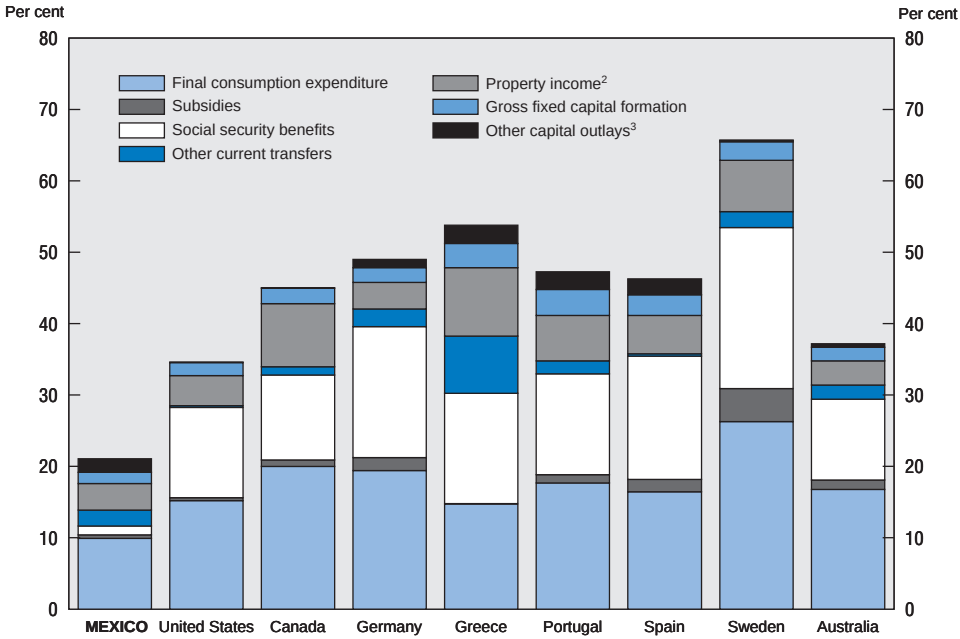
Figure 18. **General government spending by economic category in OECD countries[1]**

Per cent of GDP



1. 1997 or nearest year available.
2. Including interest payments.
3. Increase in stocks, purchases of land and intangible assets (net) and capital transfers to other sectors.

Source: INEGI; OECD, *National Accounts*.

category of general government spending. Its share in public final consumption has expanded in the past ten years to reach 37 per cent of the total, a ratio that is significantly higher than in other OECD countries (Figure 19).[36] As a share of GDP, current spending on education, although it is the highest historically, remains low by OECD standards, especially when taking account of the relative size of the youth population in Mexico. The decline in current spending has been the largest for the category of economic affairs, which include sectors of activity such as industry, transportation and communication which have undergone large-scale privatisation: at the end of the 1990s this category accounted for 8 per cent of the total, a proportion in line with other OECD countries.

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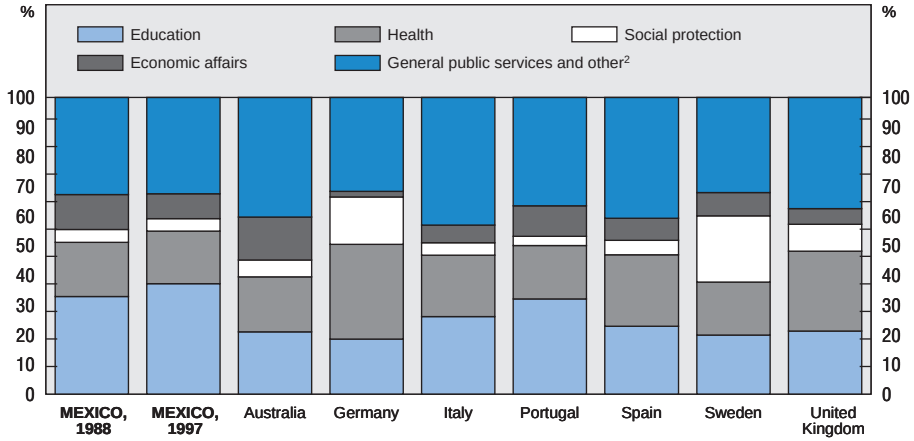
Figure 19. **General government final consumption by functional category in OECD countries[1]**

Per cent of final consumption



1. 1997 or nearest year available.
2. Includes public order and safety, housing, cultural and unallocated expenditure.

Source: INEGI; OECD, *National Accounts*.

Factors behind the low spending ratio

Government spending has undergone a number of adjustments in recent years, including structural changes, which taken together can explain the fall in the public spending ratio to its low level. Two main factors have been at play: privatisation and reduced interest payments.[37] Considering the federal government alone, interest payments were reduced by nearly 11 percentage points of GDP in the five years to 1992, a fall facilitated by the launch of a process to restructure the debt and by using the proceeds of privatisation to reduce the stock of public debt. The banking sector support package introduced after the 1994-95 peso crisis created debt service obligations for the government equivalent to 0.7 to 1 per cent of GDP a year.[38] But at around 4 per cent of GDP, the ratio of interest payments to GDP now stands below the OECD average. Federal government primary spending, after a steady decline in the 1980s, increased in the early 1990s, and has fluctuated in a range of 12 to 14 per cent of GDP since 1994 (Figure 20, panel A).

The federal government budget tells only part of the story about state involvement in the economy. The public enterprise sector was prominent until the mid-1980s, but it has been significantly downsized since 1986, reflecting the government's strategy of disengagement from a large number of productive activities

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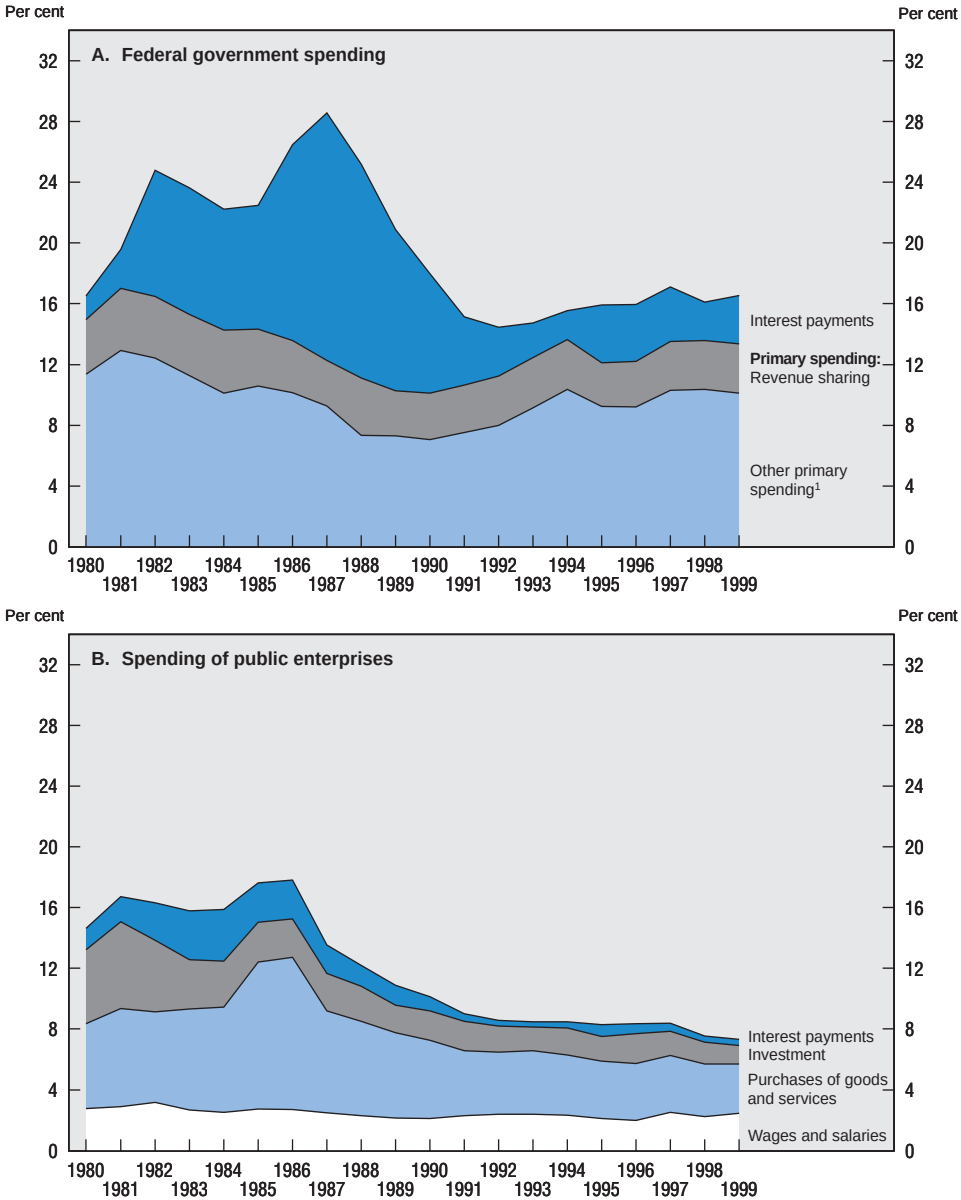
Figure 20. **Spending by the federal government and public enterprises**
Per cent of GDP



1. These expenditures are called "programmable" in the Mexican budget accounts.
Source: Ministry of Finance.

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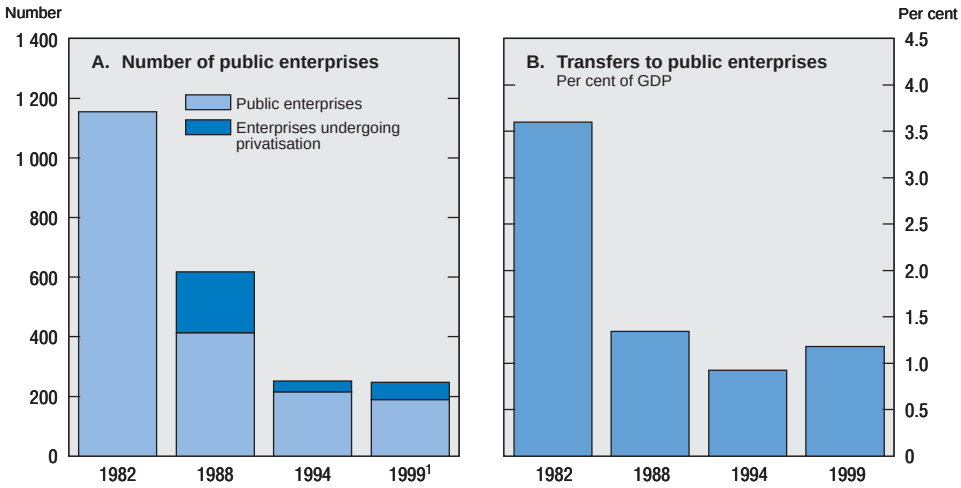
Figure 21. **The privatisation process and its impact on public spending**



1. On 13 August 1999.
Source: Ministry of Finance.

in order to refocus on essential functions. The total outlays of public enterprises were brought down to around 7 per cent of GDP in 1999, against 18 per cent in the mid-1980s (Figure 20, panel B). More significantly from the perspective of government spending, as public enterprises were either privatised or shut down, the federal government's transfers and subsidies to businesses were drastically reduced (Figure 21). The public enterprise sector now is structurally in surplus – thanks to PEMEX and the social security institute IMSS – thereby contributing positively to the consolidated budget.

Public spending has been vulnerable to exogenous shocks. Since the early 1990s, public sector financial accounts have remained nearly in balance, fluctuating between a surplus of 0.7 per cent and a deficit of 1.25 per cent of GDP. Revenue shocks have thus typically been absorbed by adjustments to spending, although core social programmes were increased. As a result, government spending has been characterised by some short-term volatility (Figure 22). This is undesirable both from a macroeconomic standpoint – since government spending may have exacerbated the cycle – and in terms of the effectiveness of spending planning and control. The cuts and delays which have been implemented have almost certainly affected infrastructure programmes essential to the country's development. In the case of road infrastructure for instance, public resources available in

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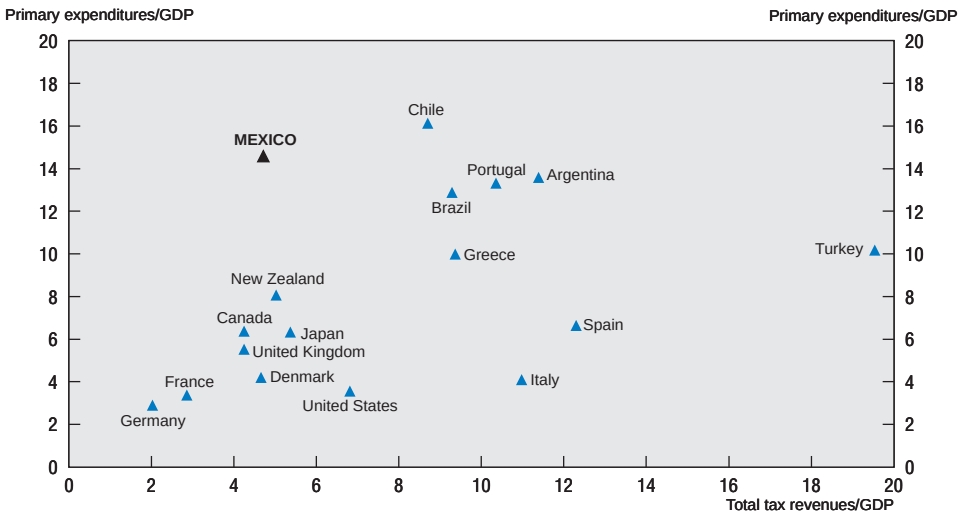
Figure 22. **Coefficient of variation in primary expenditures and tax revenues**[1]
Per cent of GDP



1. The coefficient of variation is the standard deviation divided by the average of the tax/GDP ratio (including social security contributions) and primary expenditures in per cent of GDP of general government (federal government for Mexico and central government for Chile). Sample period is 1980 to 1998 or nearest years available.

Source: IMF, *Government Finance Statistics*; OECD, *Revenue Statistics* and Analytical Data Bank; OECD's calculations.

1998 – a year of severe budget adjustments – allowed the financing of only about half the requirement for maintenance of the federal road network.[39]

Stable general government employment and wages

The public sector now accounts for a relatively small proportion of the economy, as measured by its share in total employment as well as in GDP. By 1997, general government accounted for 11 per cent of aggregate employment, compared with 15 per cent in the United States and nearly 20 per cent in Europe and Canada (Table 13). Even if public enterprises are included, employment in the broad public sector still accounted for only 12 per cent of total employment in Mexico in that period. The total wage bill, which still represents a relatively large share of government spending, declined somewhat as a proportion of GDP, to 8 per cent in 1997, compared with 10 per cent in the United States and generally more in Europe (on national-accounts data). These outcomes stem from the fact that wage increases in Mexico have been moderate, and general government employment has remained stable overall. In periods of high inflation, decreases in

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Table 13. **General government employment**[1]
Per cent of total employment

	1988	1993	1997
Mexico	12.8	12.0	11.5
(Including public enterprises)	16.5	13.6	12.9
United States	14.8	15.3	14.5
Japan	8.3	8.2	8.3
Germany	15.6	13.6	12.9
Canada	20.7	22.7	20.6
Greece	11.6	12.2	12.7
Portugal	..	18.1	..
Spain	13.0	15.4	15.6
Turkey	8.3	8.0	..
OECD average[2]	16.9	17.5	18.1
OECD Europe average[2]	17.9	18.6	19.3

1. General government (national accounts basis), excluding public enterprises.
2. Unweighted average of available data.
Source: INEGI; OECD.

real salaries have been recorded, contributing to the adjustment of public spending; while some of the losses have been made up since 1996, in several cases pay levels are still lower than they were before the 1994 crisis.

An effort to rationalise subsidies

Deregulation and the development of market mechanisms have been accompanied by a steady reduction in subsidies since the mid-1980s.[40] Subsidised loans to industry have been gradually eliminated; and subsidies to agriculture changed in nature, with a shift away from credit and marketing subsidies towards direct income transfers and support for productivity-enhancing investment.[41] Recognising that the redistributive objectives inherent in social policy are ill served by general subsidies which imply substantial dead-weight losses, the authorities have endeavoured to scale back the various consumer subsidies in place. At the same time, some degree of compensation has been offered to low-income families (targeted transfers, tax credits, etc.). For instance, general subsidies for the consumption of *tortillas* (a staple of the Mexican diet) were cut back gradually until they were eliminated altogether in 1999. But programmes providing targeted food subsidies to families in extreme poverty in urban areas have been maintained.[42] And a growing proportion of budget resources has been earmarked for direct transfers, for the most part targeted at rural or marginalised areas where extreme poverty is found (see below). Altogether, since the *tortilla* subsidies had typically been concentrated in urban areas, which as a rule are less

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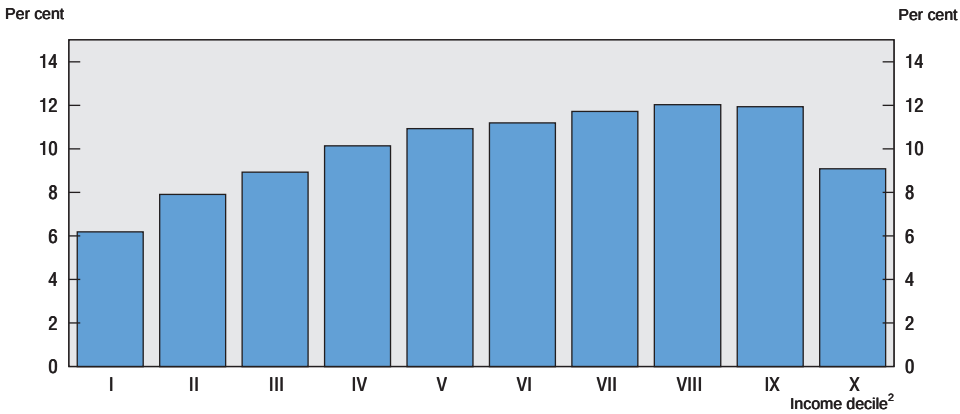
disadvantaged than rural areas,[43] the adjustment has led to some shift of resources from urban to rural areas.

Despite the trend towards elimination of general subsidies, the consumption of electricity and water continues to be subsidised. The total implicit amount of these subsidies represented a little more than 1 per cent of GDP in 1998-99. Electricity subsidies for residential consumers totalled 22.4 billion pesos in 1999 (0.5 per cent of GDP).[44] Although granted according to a scale that varies by volume of consumption, the subsidies have a regressive impact, because the bulk of the benefits accrue to middle and high-usage consumers, and hence persons with middle or high incomes (Figure 23).[45] Most of the water subsidies go to the rural sector, which also enjoys subsidies for electric power consumption, along with indirect subsidies in the form of preferential treatment under the current tax regime (tax exemptions and preferential VAT and income tax regimes). Water subsidies for the sector were estimated at 28.4 billion pesos in 1998, or 0.7 per cent of GDP (14 per cent of agricultural GDP). Subsidising consumption in this sector gives rise to a dead-weight loss since, as with electricity, those who derive the most benefit in absolute terms are large consumers, who in this case are large farming operations.[46] Moreover, subsidising water prices creates distortions, leading to excessive consumption of water, which runs counter to environmental policy objectives. More generally, the issue of which categories of households ought to

Figure 23. **Incidence of subsidies to electricity consumption**[1]

Per cent of total subsidies for residential use



1. The subsidies for residential users implicit in the tariff structure of the two public electricity companies (CFE and LFC), 1999, as published in "Proyecto de Presupuesto de Egresos", November 1999.
2. The first decile corresponds to the poorest households.

Source: Ministry of Finance.

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receive compensation if water or electricity subsidies were eliminated is a political one, closely tied in with the government's redistributive agenda. Nevertheless, this should not obscure the fact that, by eliminating these subsidies, it would be possible to free up additional resources for spending that would yield higher economic and social returns.

Reorientation of public investment

General government capital spending (investment and capital transfers), excluding public enterprises, has remained at about 3 per cent of GDP over the past decade. About half of this is gross capital formation, which is low compared with the rest of the OECD (Figure 24). In contrast, investment in the broad public sector (including public enterprises) has fallen sharply, from a peak of about 10 per cent of GDP in the early 1980s to 3½ per cent in the mid-1990s, reflecting the privatisation process and the economic liberalisation that accompanied it (Table 14), although there have been off-budget projects carried out in the energy sector since 1997 (PIDIREGAS, see below). The most marked cut-back was in the communications and transport sector, especially in infrastructure construction – railways, ports, airports, telephones and satellites – since virtually all the enterprises have been privatised, or are in the process of being privatised. In 1998-1999 almost half of public sector investment was concentrated in the energy sector, reflecting essentially the activity of the two main state enterprises, PEMEX and CFE. About a tenth of the total went to roads, and 5 per cent went to drinking water and waste water treatment infrastructure.[47] A comparison of ownership

Table 14. **Gross fixed capital formation by the private and the public sectors**
Per cent of GDP

	Total national	Private			Public[1]		
		Total	Construction	Machinery and equipment	Total	Construction	Machinery and equipment
1960-1964	16.8	12.6	n.a.	n.a.	4.2	n.a.	n.a.
1965-1970	19.2	13.1	n.a.	n.a.	6.1	n.a.	n.a.
1970-1974	20.0	13.3	6.7	6.6	6.7	4.6	2.1
1975-1979	20.7	12.3	6.2	6.1	8.5	5.4	3.0
1980-1982	23.0	13.0	5.5	7.5	10.0	6.9	3.1
1983-1984	15.5	9.2	5.1	4.1	6.3	4.8	1.5
1985-1989	17.1	11.8	6.5	5.4	5.3	4.2	1.1
1990-1994	18.5	14.6	6.7	7.9	3.9	3.2	0.8
1995-1997	15.4	12.0	5.9	6.1	3.4	2.8	0.6

1. Including public enterprises. The breakdown of public investment, by sector, is shown in Annex Table A3.
Source: INEGI, *National Accounts*.

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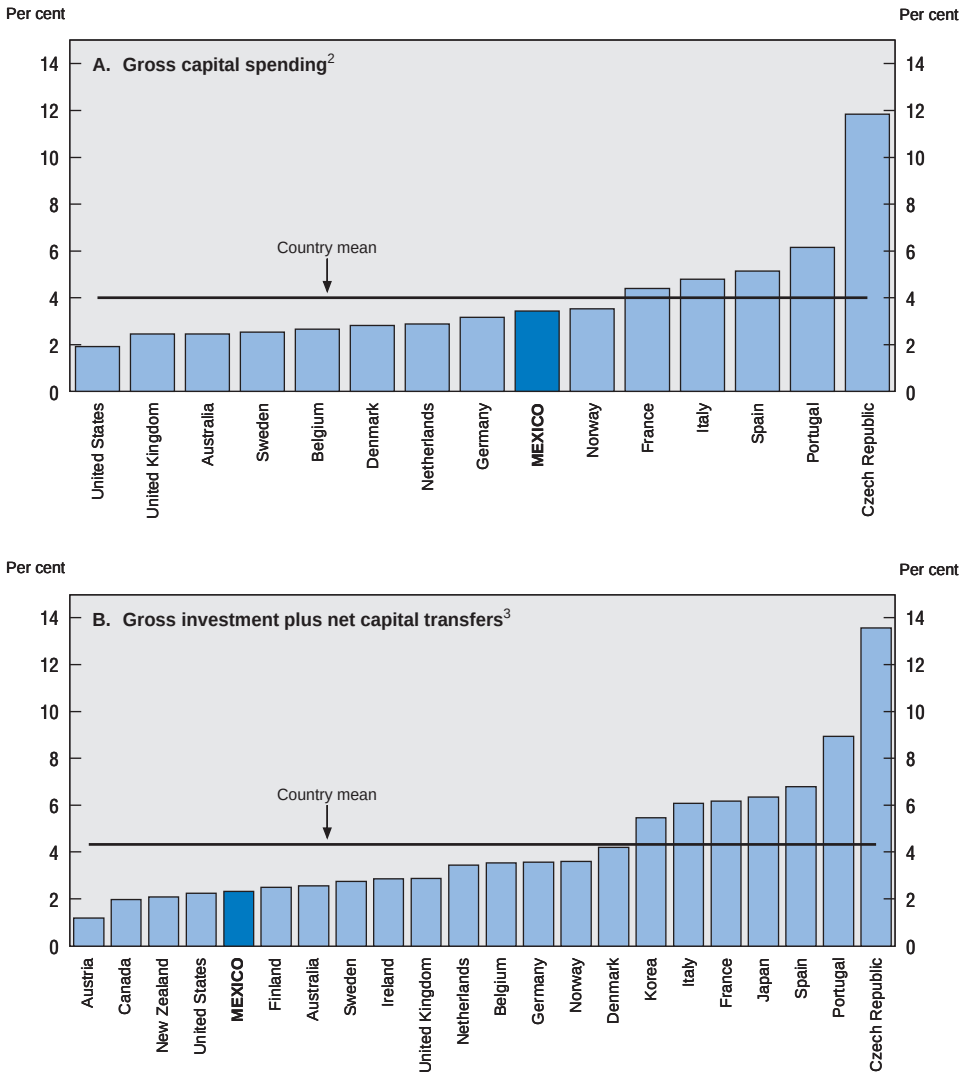
Figure 24. **General government capital spending in OECD countries**[1]
Per cent of GDP



1. 1997 or nearest year available.
2. Gross capital formation plus purchases of land and intangible assets (net) plus capital transfers to other sectors.
3. Gross capital formation plus purchases of land and intangible assets (net) plus capital transfers (net).

Source: OECD, *National Accounts.*

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Table 15. **Ownership structure in key service sectors**[1]

	Railways		Air travel			Electricity		Telecom-munications[3]
	Ownership of largest operator		State ownership	State share-holdings (per cent)	Restrictions in force[2]	Government participation	Restrictions in force[2]	State share-holdings (per cent)
	Infrastructure	Freight						
Mexico	Private	Private	Yes	55	No	Yes	Yes	0
United States	Private	Private	No	0	No	Yes	Yes	0
Canada	Private	Private	No	0	Yes	No	..	0
Australia	..	..	No	0	–[4]	Yes	No	67
New Zealand	Private	Private	No	0	No	Yes	No	0
Germany	Public	Public	No	0	No	Yes	No	61
Greece	Public	Public	Yes	100	No	Yes	Yes	65
Portugal	Public	Public	Yes	100	No	Yes	No	25
Spain	Public	Public	Yes	94	No	Yes	No	0
Turkey	Public	Public	Yes	98	Yes	Yes	Yes	100

1. As of September 1998.
2. The number of competitors is restricted in at least some domestic markets by law or regulations.
3. Public ownership in what were previously the public telecommunications operators. More details are available in O. Boylaud and G. Nicoletti (2000) "Regulation, market structure and performance in telecommunications", OECD, *Economics Department Working Papers*, No. 237.
4. Australia ended its duopoly policy and deregulated its domestic aviation market in 1990. Nevertheless, in practice, the market continues to be dominated by the two incumbent airlines.

Source: OECD, International Regulation Database.

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structure of the major players in key service sectors shows that Mexico is in an intermediate position among OECD countries in terms of private participation and regulatory reform (Table 15).

Investment continues to lag in several areas. Investment in the energy sector, for example, is held back by budgetary constraints despite the fact that needs are growing. According to official estimates, electricity demand will rise by 6 per cent per year in the coming period. But the fact that electricity prices for residential consumers are too low (federal government subsidies for electricity prices have increased in recent years) has limited the ability of the public electric companies (CFE and *Luz y Fuerza del Centro*) to invest in new capacity. To meet the higher investment requirements in the energy sector, and considering the legal and constitutional impediments to private initiative in this sector, the government has introduced various forms of private financing mechanisms to make up for the insufficiency of public funds (including the use of PIDIREGAS). These mechanisms have helped to finance investment in new capacity and the modernisation of existing capacity, but at the same time they have created fiscal obligations that will have to be met in the longer term.[48] They are thus an imperfect substitute for opening the sector to private initiative; and electricity tariffs for residential consumers will have to be raised.

In the education sector, there is a considerable backlog in investment: for instance, to allow a catch up on renovation and maintenance of school buildings and for basic equipment at the basic education level, an estimated 20 billion pesos would need to be spent. Such an amount would be twice the investment budget in 1998 for the entire education sector. It also seems likely that some infrastructure investment which could have a high social return has suffered from budget constraints in recent years, especially the maintenance and modernisation of public infrastructure, for example drinking-water supply networks and roads, an item of expenditure which in many countries turns out to be particularly vulnerable to budget cut-backs. Although spending on infrastructure by state and municipalities has increased, partly substituting for lower federal spending, there are still important deficiencies in Mexico's infrastructure, as illustrated by the fact that 14 per cent of the population still did not have access to drinking water in 1997 and 27 per cent had no water treatment system, which puts Mexico behind Brazil and Chile for example.

Factors affecting future public spending

While lower interest payments and a refocusing of spending priorities may have helped to increase the efficiency of public spending, the relative scarcity of budget resources and a heavy reliance on volatile oil related-revenue are likely to have hampered the federal government's efforts to achieve better results on certain essential functions. For Mexico to reap fully the benefits of its integration into the world economy and achieve better balanced growth, a sustained

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effort is needed to enhance human capital and secure a steady investment effort. Furthermore, as recognised by the authorities, there is a need to ensure that output growth raise living standards of the population at large, including the poorer segments. Mexico has one of the lowest per capita income in the OECD and income distribution is more unequal than in other member countries apart from Turkey, so that a significant proportion of the population lives in conditions of extreme poverty. A more even distribution of income – achieved by raising the lower categories – is desirable, both in its own right and so as to maintain a consensus on the general economic strategy.[49] The section below begins with a discussion of spending requirements to establish the basis for sustained development. This is followed by a review of equity issues and distributional aspects in public spending.

The role of public spending in economic development

The effects of public investment on growth are not clear-cut, since the allocation of scarce capital resources is not necessarily based on rates of return and the effect may be to crowd out more productive private investment. Empirical investigation on the role of public infrastructure investment conclude that the effects are probably beneficial, but a great deal of uncertainty is attached to the magnitude of the effect.[50] However, relations found to be insignificant for developed countries may be relevant when less developed countries are considered. Empirical analysis for Mexico and several other Latin-American countries do suggest that public infrastructure spending can exert a clearly positive effect on economic growth and may even be an essential complement to private investment, in countries where physical and human capital are relatively undeveloped. Broadly speaking, empirical studies for Mexico conclude that public investment has had a positive effect on economic growth, stemming mainly from the positive externalities generated on the output of the various sectors and regions. Notwithstanding crowding out effects in the short term, infrastructure investment appears to be positively correlated with private sector GDP growth. However, in order for such investment to have a net positive impact, the increase in spending on social infrastructure needs to be financed by an increase in tax revenue rather than a widening in the government's deficit, and the scale of such an increase needs to be modest.[51]

Certain features of the Mexican economy shape the design of public spending policies. The country is undergoing a demographic transition: the annual population growth rate has fallen from over 3 per cent in the 1960s and 1970s to about 2 per cent since 1980 (Figure 25). The population boom and the changes in the age structure of the population are creating pressures on several fronts. The proportion of the school-age population is larger than in other OECD countries; also, with the improvement in enrolment ratios, there has been a shift in demand

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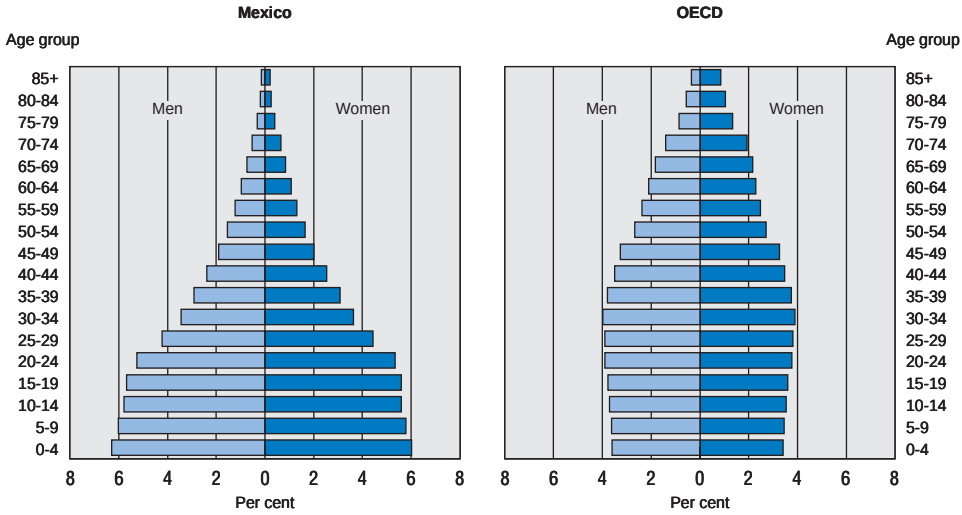
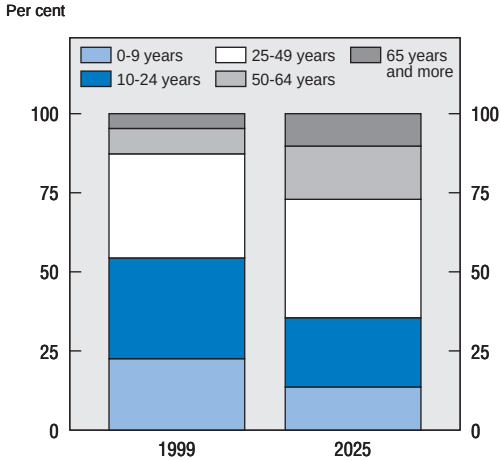
Figure 25. Age structure of the population and dependency ratios

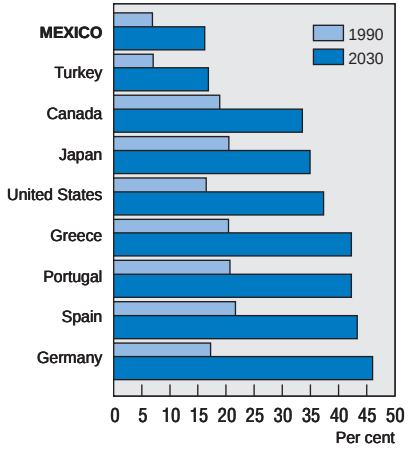
A. Population structure in 1995 in Mexico and OECD area:
5-year age groups as a percentage of total population



B. Estimated Mexican population in 1999 and 2025[1]
Age groups as a percentage of total population



C. Dependency ratios[2] in 1990 and 2030



1. Men and women.
2. Ratio of elderly population (65 years and over) to working age population (15-64 years).

Source: IMSS; United Nations; OECD.

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from the primary to the secondary levels. Given the rapid growth of the population now reaching working age (3 per cent, or 1 million people, a year), a special effort needs to be made to facilitate the transition from school to work. Furthermore, in a changing environment, the adult population must have access to training programmes in order to adapt their skills to new needs. In the longer term, additional pressures will arise because of ageing population – higher dependency ratios for pension systems and increased demand for medical care – in Mexico, as in other OECD countries – though later than in most of these.

Human capital development is a priority

Public spending on education was spared during the episodes of expenditure adjustment since it has been considered to have priority. However, after a steady rise during the past ten years, spending on education, at 6 per cent of GDP in 1999, is still below the OECD average. Adjusted for the demographic structure (the school-age population is one of the highest in the OECD), Mexico is at the bottom of the scale (Figure 26). Furthermore, private expenditure on education is still marginal. The increase in funding nevertheless made possible an increase in the number of staff, partial catch-up of salaries and renewal of the capital stock. Substantial progress has been made in recent years in terms of school attendance rates and the number of children completing schooling, but it is still insufficient. Recent reforms that have overhauled and modernised school curricula are likely to have induced qualitative improvements. The authorities have also taken measures to develop technical education and general training programmes to facilitate the transition from school to work. Demographic changes and the progress made in lower level enrolment are now putting pressures on the secondary level, making it necessary to increase capacity and upgrade teachers' skills. These pressures in turn imply a steady expansion in the education budget.[52]

Regarding labour market policies, the intense process of modernisation and restructuring of the economy and the scale of the resulting labour displacement, has prompted the authorities to widen the scope of training programmes in recent years. However, the share of public resources spent by Mexico on active labour market measures is still small in comparison with other OECD countries – and there are no passive measures.[53] The effectiveness of active measures to enhance the skills and adaptability of the labour force depends, as in other countries, on the application of stringent selection criteria.

Pressures from the health and pension systems[54]

The provision of adequate health and social security services can also promote conditions conducive to a rise in productivity, provided social security settings do not create distortions in the organisation of business activities and the labour market. As regards health care, despite a steady improvement, Mexico is

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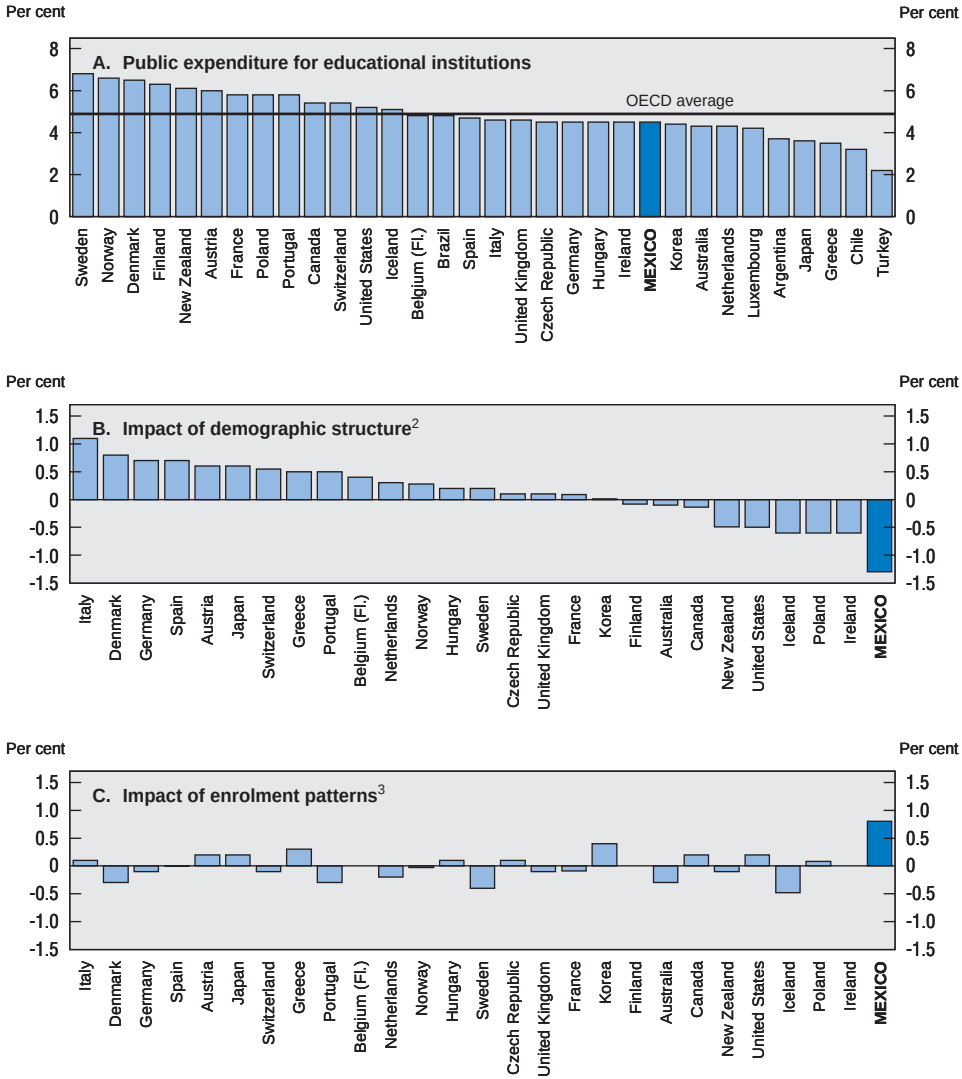
Figure 26. **Expenditure on education**[1]
Per cent of GDP



1. In 1997, except Turkey (1995), Brazil (1996).
2. Increase/decrease in expenditure on education if the proportion of the population aged 5 to 29 was at the OECD average.
3. Increase/decrease in expenditure on education if enrolment patterns of 5 to 14 year-olds (up to upper secondary) were at the OECD average.

Source: OECD, *Education at a Glance*, 2000.

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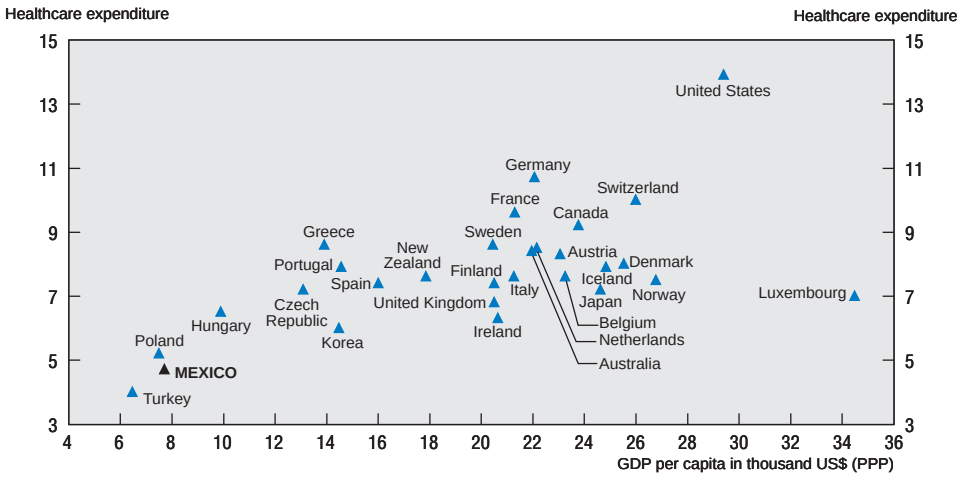
still facing a relatively high incidence of infant mortality, malnutrition and infectious diseases. While the population is young, increasingly the health care system will have to respond to the needs of a growing number of older people, whose diseases call for costlier services, as evidenced by higher-income countries' experience. In 1994, about 10 million people (11 per cent of the population) did not have access to health care in Mexico – whether public services or social security. Significant progress has since been made in developing the supply of medical services and improving the quality of care dispensed in public hospitals and health care units for the uninsured population. The size of the payroll and wage levels of employees from the national public health system were increased, and investment in the sector expanded. The scale of the measures taken is reflected in the sharp rise in public spending both directly by the federal government and in the transfers to States to enable them to perform their functions in these areas. At present, most of the population receives at least basic health care.[55] Although increased resources over the last five years have aimed at reducing inequities, there are still some significant differences in the quality of services provided (see section below). In the long term, as per capita income increases and the population ages, health care demand will inevitably rise (Figure 27).

A fundamental reform of the Mexican social security institute (IMSS) for workers in the private sector was undertaken in 1997. Its main objectives were to

Figure 27. **Healthcare expenditure and GDP per capita**[1]
Per cent of GDP



1. 1997.
Source: OECD, Health Data 99.

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widen social security coverage and establish financial viability of the system, while reducing distortions created in the labour market. For the health segment of social security, in particular, the costs of contribution to the system – for employers and employees – are being gradually reduced. As a counterpart, the funding from the general budget is increasing.[56] The new financing scheme, by lowering the cost of registration to social security, will facilitate job creation in the "formal" labour market sector, which is the best option for raising productivity and real income over the medium term. Moreover a mechanism has been established for voluntary affiliation to the system. As the coverage of the social security system widens, it will create upward pressure on the federal government's contribution. Official forecasts put the cost of the financing reform of the health segment of the IMSS for the federal government at about 0.5 per cent of GDP per year.

The pension scheme for private sector workers (IMSS) also underwent a sweeping reform with the introduction of a funded system in place of the old pay-as-you-go system. This reform, implemented as from mid-1997, will have a fiscal cost which is estimated by the authorities at about 0.7 per cent of GDP per year during a period of twenty years, falling gradually thereafter. The fiscal cost includes the introduction of a guaranteed minimum pension and a transitional cost representing the difference between the amounts accumulated by workers on their individual accounts and the pension they would receive if they opted for the old system.[57] Mexico is thus one of the few OECD countries to have introduced a funded pension system, the transitional cost borne by the government being relatively moderate given the demographic structure but also because the reform only applies to the private sector. Altogether the IMSS reform, concerning both the health and pension segments, has meant that a greater amount of resources are drawn from the general budget: the resulting increase in the federal government's contribution to the IMSS is estimated at a little more than 1½ percentage points of GDP per year. By contrast, the pension schemes of federal and state civil servants, which are run by distinct Social Security Institutes at federal and state level (ISSSTEs), were not reformed, and they still operate on a pay-as-you go basis, storing up contingent liabilities for the future, which have not been quantified.

Equity issues in public spending

Macroeconomic stability and wide ranging structural reforms are at the core of a strategy to increase living standards in a durable manner, but in Mexico as in many industrialising economies, from Latin America especially, specific policies are also required to correct uneven income distribution and fight extreme poverty. Questions of equity arise particularly in areas like education and health care. An important objective of public spending on education is to improve equality of opportunity between socio-economic groups and between regions, more specifically to give disadvantaged groups the opportunity to acquire the knowl-

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edge and skills that will affect their future ability to earn an income. Despite the improvement in school attendance rates – as high as 90 per cent and more in primary schooling – the probability of completing schooling remains closely correlated with the parents' level of income. For public education to achieve a greater depth and coverage, both the quality and the volume of resources allocated to public education services – especially those provided to low-income categories – are crucial. It is not easy to evaluate the impact of education services from a distributional point of view, since it requires taking three factors into account: first, the relative cost of the various types of services; second, the extent to which access to services is equitably distributed between the various population groups; third, the characteristics of the groups that have access to services.[58] In the case of higher education, the unit costs are higher than for other levels of education; free tuition benefits most the minority that reaches this level, *i.e.* the most well-off part of the population. Even for compulsory schooling, the opportunity cost of completing the cycle may be too high for the children of low-income families.[59] For this reason it is not enough to improve services offered; it is also necessary to put in place specific instruments aimed at the most disadvantaged families to give them an incentive to send their children to school. (Poverty alleviation programmes developed since 1996 incorporate such demand-side measures, as will be seen below.)

The same kind of equity questions may be raised about the impact of health services. It is recognised that the quality of care delivered by the social security system, which covers only about 70 per cent of the population (the IMSS plus a number of institutions for public sector employees) is superior to that provided by the federal or state public health system (SSA), which is accessible to the uninsured population. The care provided by the IMSS is used by segments of the population that are relatively privileged in that they have a job in the formal labour market. Several aspects of the IMSS reform, in particular the newly-created mechanism to provide families with cover for a low fixed contribution, are aimed at improving the equity of the system. The pension reform also has a redistributive component in favour of low-income workers, since the government makes a lump-sum transfer to the savings account of all workers regardless of their wage level.

As noted above, despite substantial efforts made in Mexico, social expenditures remain low by OECD standards, even including targeted programmes to fight extreme poverty (Figure 28). In addition, little redistribution is achieved through the tax system. Regarding taxes, as demonstrated in the special chapter of the last OECD *Economic Survey*, the exemptions and preferential regimes benefiting certain sectors of activity have little economic justification and are not redistributive. Furthermore, under the VAT regime, the extensive zero-rating of goods narrows the basis of taxed consumption; it complicates administration, and it is an inefficient mechanism for redistribution of income. Regarding the individual

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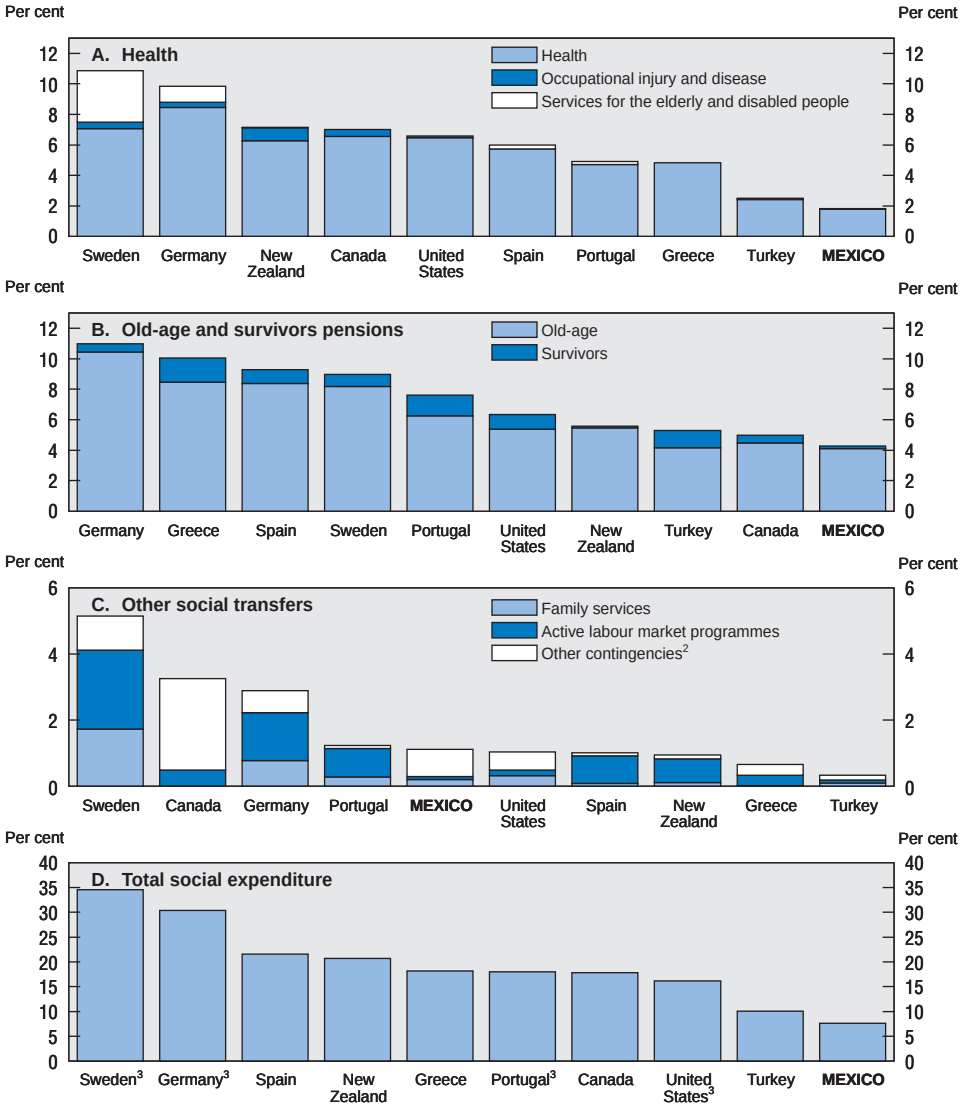
Figure 28. **Social expenditure in OECD countries**[1]
Per cent of GDP



1. In 1997 for Mexico, New Zealand, Turkey and the United States; in 1996 for Canada, Germany and Portugal; in 1995 for Sweden and Spain; in 1993 for Greece. Spending on education is recorded separately, see Figure 26.
2. For Mexico, mainly targeted programmes of *Solidaridad*.
3. Mandatory private social expenditures (amounting to less than 1.5 per cent of GDP) are included in the totall.

Source: OECD, Social Expenditure Database.

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income tax, the tax credit is hardly equitable with regard to families since it is calculated on the basis of personal income and, unlike similar systems in other OECD countries, does not take into account the number of dependent children. As for tax expenditures, across-the-board subsidies which continue to be paid even when their purpose is unclear are not redistributive.

Poverty alleviation

Recognising that economic expansion and broadly-based social programmes are not sufficient to reach all social categories and all regions, the authorities have implemented specific measures targeted at the most disadvantaged groups. This approach is not new but the current administration has widened the scope of social policy and sought to strengthen its effectiveness and redistributive impact by means of new instruments. In addition to improvements in social policy in general, the authorities have developed a specific strategy for alleviating poverty. It has three main thrusts: to create opportunities for earning an income in order to facilitate the involvement of families in productive activity; to develop basic infrastructure (drinking water, rural roads, rural telephones), and to enhance human capital.

The measures to enhance human capital concern both supply and demand. The supply-side measures aim at improving the quantity and quality of educational and health services. At the Federal level, action has been taken to enhance the supply of education services in 31 000 marginalised rural communities, in particular, through the distribution of books and equipment. Likewise in the health sector, targeted programmes provide free basic health care to the uninsured population, through the delivery of a minimum set of preventive services, encompassing family planning, immunisation, pre-natal attention and other basic actions.

At the same time, demand-side measures have been introduced, such as school breakfasts and school grants.[60] One of the main demand-side instruments of the new strategy is the integrated Education, Health and Nutrition Programme (PROGRESA) introduced in 1997. The PROGRESA programme currently in place has three features which enhance its effectiveness: it takes an integrated approach so as to achieve synergies between basic education, health and nutrition; the targeting mechanism is fairly innovative and transparent; and the amount of transfers to beneficiaries is calculated according to transparent and uniform criteria, thereby reducing discretionary power.[61] The budget devoted to PROGRESA has risen steadily since its creation, to 0.20 per cent of GDP in 2000. At the end of 1999, PROGRESA covered 2.6 million families, representing around 80 per cent of the families in a situation of extreme poverty in rural and semi-urban areas. According to indicators of results for a sample of communities, the programme has had a net positive impact on the welfare of the families covered by it, in terms of improved

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children's school attendance rates, higher spending on food and children's clothes, better nutritional status of under-five year-olds and increased use of health services. Although the biggest concentration of poverty, as well as the most severe incidence, are in rural or semi-urban areas, about 1.2 millions of urban families are also living in conditions of extreme poverty. PROGRESA could be expanded to urban areas. If the authorities decide to extend the programme, the targeting and operation mechanisms would have to be adjusted so as to maintain incentives to work; and it should replace existing targeted programmes in urban areas, such as the *tortilla* and milk programmes.

Constraints and options

The above analysis has shown that the low level of tax revenue has imposed a constraint on public spending, while there are important needs to be met (human and physical capital development) to secure better balanced growth over the medium-term and improve the distributional outcome. This raises public choices issues, most notably about whether or not to increase debt, raise tax revenues or maintain low spending levels. Deficit financing is not an option because it would add to government liabilities, which are already substantial when taking account of fiscal obligations related to the financial rescue package and those resulting from the IMSS reform – a well as those associated with the inevitable reform of the public sector pension system. Moreover, the unfavourable effects that deficit financing would produce on investors confidence would outweigh marginal benefits of the spending it would allow. Public choice would thus seem restricted to a single option: keeping a small-sized government, with a low tax burden and limited spending, while increasing the tax take in order to finance expenditure with high marginal economic and social benefits. Last year's *Economic Survey* underlined that, although the general tax regime is adequately designed, changes would be appropriate to raise the low tax-to-GDP ratio over the short to medium term. Among the measures than could be taken over the coming years, those that reduce the scope of preferential regimes in consumption and income taxation on the one hand and efforts to strengthen tax administration and control are the most appropriate to increase tax revenue, without having adverse effects on efficiency. Specific recommendations are taken up in Chapter IV and Box 7 below. Considerations related to income distribution would also have to be taken into account. But changes that raise tax revenue, even when well designed, tend to raise political difficulties. They may only be acceptable if the marginal benefits from higher taxes are clear, and hence if the public at large perceives that government spending is effective.

Thus far, methods of budgeting, management and reporting have facilitated control of spending levels. Indeed past experience (for instance the consolidation phase of 1987-92) has shown that spending cuts were successful in bringing

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down the budget deficit – and improving efficiency in some cases. However budgetary and management practices may not have been as successful in ensuring value for money. The criterion used for evaluating results in relation to needs has often been measuring inputs, *i.e.* the share of expenditure allocated to one programme or another. But, as with many other OECD countries, Mexico is increasingly seeking to introduce more appropriate mechanisms for evaluating the effectiveness of expenditure.

Issues in public management and budget

A significant factor influencing the effectiveness of public spending is how efficient the public administration itself is. Although many reforms were attempted in the 1980s and early 1990s, in 1995, the then incoming administration still felt that serious problems existed.[62] It diagnosed four main shortcomings of the public administration:

- *Excessive centralisation and concentration*.[63] Spending decisions were heavily centralised in two ways: most decisions were taken at the Federal level to the detriment of states and municipalities; and within the central administration, decision making was concentrated in the Ministry of Finance at the expense of line ministries (concentration). This facilitated budgetary control and co-ordination, but made resolution processes longer, restricted management ability and hampered the administration's capacity to respond to citizens' demands.
- *Complex bureaucratic procedures and regulations*. The response of agencies was sluggish and their accountability low, creating opportunities for waste of resources, lack of good judgement and corruption.
- *Lack of incentives for agencies and line ministries to be efficient*. Performance evaluation criteria at the programme level were often badly designed or non-existent.
- *Lack of status and professionalism among public servants*. Incentive mechanisms for the promotion of good performance, honesty, loyalty, effort and creativeness were inadequate. Differences in contracts and working conditions between unionised and non-unionised employees were significant, leading to low morale among public servants. Training opportunities were limited and staff performance evaluation was ineffective.

A comprehensive reform strategy for the modernisation of administrative and budgetary processes was launched in 1997, its centrepiece being the Budget Reform System (*Reforma del Sistema Presupuestario*, RSP). This is composed of several programmes that intervene at different parts of the budget cycle, complementing and reinforcing each other.[64] In addition, efforts have been made to strengthen the control and auditing functions of the Executive branch, to improve human

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resource management, to give more responsibilities to line ministries and to enhance transparency. Concomitantly, state and local governments have been given greater discretion in spending decisions. These initiatives have started to produce the desired results, even though the pace of change has been uneven. While some reforms have been completed, others are still in the "pilot programme" stage. Much progress has been made in increasing the transparency of government, improving audit and control systems, introducing positive incentive mechanisms, reducing the discretionary powers of the Executive and decentralising spending decisions. However, Mexico's public administration, although rapidly changing, is still characterised by high concentration, lack of managerial flexibility and inadequate human resource policies and practices. The section below reviews the main reform accomplishments, and attempts to determine the scope for further progress. It concentrates on four main areas: budget processes and procedures, human resource management, the role of the market in improving public sector performance and issues related to the devolution of spending responsibilities.

Strengths and weaknesses of the budget process

Budget planning at the federal level covers the central administration and several public enterprises. Until recently, the budget process was highly concentrated, with two entities – the Ministry of Finance and the Ministry of the Comptroller-General and Administrative Development (SECODAM), both part of the executive branch – having wide prerogatives over drafting, implementation and control. This helped achieve budget discipline, but implied costs in terms of efficiency, transparency and democratic control. To address this problem, important steps have been taken in the past three years to transfer decision-making to line ministries and agencies and to enhance legislative oversight of the budget process.

Historically, concentration of powers helped achieve budget discipline…

In Mexico, the budget is drafted by the Executive branch, which has the prerogative to set the overall budget stance and its underlying macroeconomic projections. Two separate bills – one for expenditures and one for revenues – are sent to Congress, which can alter them as long as the budget stance is not loosened (Box 2).[65] Within the executive branch, the Ministry of Finance plays a leading role in drafting and managing the implementation of the budget. It initiates the drafting process and negotiates with line ministries and independent agencies their respective programmes, before presenting the draft budget to Congress for approval.[66] Until the reform process started in 1997, these negotiations required considerable administrative inputs from all sides involved. In a "bottom-up" approach, line ministries bid for resources, while the Ministry of Finance reviewed their claims, compared their worth and decided on expenditures, programme by programme. Virtually all spending decisions taken at the line ministry or agency

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Box 2. The budget process

The approval process

In Mexico's bicameral legislative system, both houses participate in decisions pertaining to revenues, but only the lower house is involved in approving expenditures. It can modify the budget draft, reducing overall expenditures or specific appropriations. To increase expenditures, new sources of finance need to be established. The legislative approval process cannot normally take more than a few weeks – between the submission of the draft on 15 November and the deadline for its approval on 31 December. This time span is too short to allow full scrutiny by Congress, especially since its institutional involvement in earlier stages of drafting is generally kept to a minimum. In many OECD countries, a minimum of two to three months is allowed for meaningful budget discussion and Congress (or Parliament) has a much more active institutional role in the budget drafting process.*

Newly-created legislative bodies

In April 1998, the House of Representatives created a technical, non-partisan, specialised unit responsible for analysing public finances. The unit is in charge of preparing the elements needed by parliamentary commissions, groups and Representatives to conduct their legislative tasks concerning the budget. It has considerably increased the legislative body's technical capabilities on budgetary matters, enhancing the effectiveness of its oversight functions.

In 1999, the creation of the *Auditoría Superior de la Federación* was approved by a constitutional amendment. This body – a technical, independent non-partisan agency linked to the Legislative Branch – is not yet fully operational, pending approval of secondary laws by the Senate. Its role will be to audit public expenditures, including the possibility of auditing during the year, when irregularities are reported. It will then be able to determine liabilities and penalties for public servants deemed responsible. The combined activities of this new agency and of SECODAM is seen as strengthening the control system, by enhanced legislative oversight of the budget process.

Budget provisions for revenue shortfalls and windfalls

In the case of Mexico, the budget is particularly vulnerable to external shocks such as changes in international oil prices. Rules for revising the budget are not enshrined in the Mexican Constitution. Until 1998, shortfalls automatically triggered budget revisions, while windfalls could be disposed of under sole Executive discretion. Typically, extra revenues were used either for debt redemption or were accumulated in an "infrastructure fund", the use of which has not always been entirely transparent.

* In Sweden, for instance, the committees of Parliament play a key role in budget deliberations, participating actively in the drafting process, in close consultation with the line ministry or independent agency involved.

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Box 2. **The budget process** (*cont.*)

Until 1997, shortfall and windfall provisions have been negotiated between the executive and legislative branch each year at the time the original budget was prepared. The procedure for spending adjustment normally varies according to the size of the discrepancy. If windfalls or shortfalls are relatively small – typically less than 1 per cent of total budget revenues – authorisations for increased spending or borrowing are automatic. In the case of wider shortfalls, spending cuts are mandatory. Larger windfalls on the other hand are earmarked for public debt redemption and/or the accumulation of contingency funds, as described in Chapter II.

Extraordinary spending for natural disasters

In order to reduce the budget's vulnerability to natural disasters, since 1996 the government established a new Natural Disaster Fund (*Fonden*) in the federal budget. It provides the resources necessary to repair damage caused by a natural disaster without violating spending limits for the year.

level had to be reviewed by the Ministry of Finance for approval before the disbursement of funds. This heavily centralised system worked well in providing the budget discipline absent in many other countries for two main reasons. First, strong executive prerogatives meant that budgets were less vulnerable at the drafting stage when faced with pressure from interest groups for increased spending. In general, as benefits from public spending are usually more targeted than its costs (taxation), there is a tendency for the net marginal benefit from spending to be overestimated, which may create a "deficit bias" in public finances, which is the larger the more fragmented a budget process is.[67] In Mexico, this did not occur, even after political fragmentation led to an effective division of power between political parties, with no party having an absolute majority in Congress. Second, the concentration of budget decision-making in the hands of a single ministry helped impose an effective hard-budget constraint on line ministries and independent agencies – appropriations were indeed seen as the maximum authorised amount of expenditures. As a result, contrary to what occurred in many other OECD countries, spending overruns were rare.

… at the expense of efficiency, transparency and democratic control

Nevertheless, the system was flawed in several respects, including the lack of effective democratic oversight, excessive bureaucracy and inefficiency. The absence of any provisions for oversight of the assumptions underlying the budget, either by Congress or by an independent agency, gave rise to criticisms of the sys-

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tem on the grounds that it lacked transparency. Excessive concentration also implied significant administrative costs, with line managers often complaining of excessive bureaucracy. Together with quantitative restrictions on the number of staff that could be hired and on setting wages and other terms of employment, these restrictions seriously hampered the flexibility of managers. They also prevented the more widespread use of market-based instruments to improve public sector performance, such as contracting out (see below). As a result, they significantly impinged on the efficiency of public spending.

Recent reforms have started to redress the balance…

Since 1997, reforms have started to transfer budget prerogatives away from the Ministry of Finance. In exchange for signing performance agreements, line ministries and agencies have been granted increased autonomy in managing and allocating their budgets. Recent measures have expanded the use of *ex post* controls by transferring the responsibility of budgetary authorisations to line ministries and agencies. This concerns capital projects and other investment projects, as well as budgetary modifications, amounting to two-thirds of net expenditure. In addition, actions to deregulate and improve intra-government information channels – deriving in large part from the implementation of a new electronic network and the simplification of budget rules – have speeded-up internal procedures, reducing administrative costs.[68] This in turn should lead to an increase in the overall efficiency of the public administration. At the same time, Congress has acquired new powers of oversight. Provisions to deal with revenue shortfalls and windfalls have been incorporated into the budget, adding transparency to the drafting process, and a legislative auditing body (*Auditoría Superior de la Federación*) has been created, increasing the accountability of the Executive branch.

… but changes should be consistent with the enforcement of a hard-budget constraint

Although it would be desirable to move further with the de-concentration process, the speed of budget reforms is in large part conditioned by the need to maintain overall fiscal discipline. As a result, and in spite of the significant progress made in the past three years, reform efforts are still at an initial stage and central budgetary agencies (the Ministry of Finance and SECODAM) maintain overall control of spending decisions. In order to move forward, mechanisms need to be found to ensure that changes are consistent with the government's ability to enforce a hard-budget constraint. In that regard, the newly-created Legislative auditing body could play an important role. By strengthening Congress's auditing and control functions, it would allow it to perform a more systematic evaluation of programmes. In turn, this would permit a revision and re-adaptation of present control mechanisms within the Executive branch. By enhancing the accountability of managers, and imposing penalties and liabilities when necessary, more effec-

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tive programme evaluation will increase managers' responsibility for their actions and allow a further increase in their flexibility with regard to budget decisions.

Incentive mechanisms: audit, control and evaluation systems have become more efficient

In Mexico, the public sector audit and control system is the responsibility of the Ministry of the Comptroller-General and Administrative Development (SECODAM), which is the internal control department within the Executive Branch. SECODAM performs its function through a network of auditing units, each with responsibility for a single ministry or agency.[69] Until the end of 1996, several restrictions hindered the performance of audit and control systems, including the fact that auditing units were not under the effective control of SECODAM, but often of the ministry or agency being audited. Also, legal barriers made it time-consuming and cumbersome to impose sanctions on public servants. Since then, changes have been made, so that internal audit and control systems now work relatively well. For instance, auditing units – although remaining administratively linked to line ministries and independent agencies – have now to abide by regulations and guidelines issued by SECODAM, which also directly appoints their key civil servants. Incentive mechanisms have also improved significantly with the introduction of a performance evaluation system (*Sistema de Evaluación del Desmpeño*, SED) as part of the overall budget reform process (RSP). Until 1997, few indicators were available as benchmarks to evaluate performance. The SED is based on performance agreements signed with line ministries and agencies and designed to feed into the control cycle.

Government has become more responsive and bureaucratic procedures have been simplified

Until recently, Mexican public administration practices have been characterised by low levels of transparency, which derived to a large extent from excessive executive powers. This concentration of power was often associated with lack of accountability and instruments allowing effective oversight by public opinion and elected representatives. Lack of transparency concerned both budget processes and procedures and human resource management issues. In the past few years however, significant efforts have been made to improve matters in this area. Accompanying the opening of the political process, innovations have included full disclosure of public servants' salaries and benefits and enhanced public oversight of the budget process, with less scope for Executive discretion in spending.[70] Procurement practices have also been significantly modernised, with initiatives such as the "Electronic System of Government Procurement" (COMPRANET) leading to more transparency in tendering, including through the publication of information on the winning bid (Box 3). Finally, administrative procedures have been simplified and made more accessible to the general public through measures to reduce excessive bureaucracy and through the publication of administrative requirements

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Box 3. **The Electronic System of Government Procurement (COMPRANET)**

COMPRANET has been developed by SECODAM as a universal, public-access system for carrying out public sector tendering. It has been designed as a way to make government procurement more efficient and transparent, including through the reduction of transaction costs and of opportunities for unethical behaviour. This electronic system on Internet contains invitations for tender, required bidding documents and a system of electronic tendering, which allows suppliers and contractors to submit bids. Finally, after a tender is assigned, information on the winning bid becomes publicly available, greatly increasing the transparency of the process.

The system became fully operational at the end of 1999, with the inclusion of all procurement processes for the acquisition of goods and for the contracting of services and public works by all Secretariats, agencies and entities of the Federal Government. Results have so far been extremely encouraging. The number of bids through COMPRANET averaged about 2 000 a month in the two years to June 1999, with over 20 000 firms using it regularly. More significantly, SECODAM estimates that the system has led to considerable savings to the public purse, with average savings ranging from 15 to 25 per cent depending on the type of goods or services tendered.

on the Internet. An automatic approval process was also introduced for some procedures, with approval implicit in cases where the administration's response exceeds a pre-established time frame. These measures have led to a marked improvement in administration's responsiveness to citizens' demands and have also reduced opportunities for unethical behaviour. Simpler and faster procedures, combined with less personal interaction between citizens and the administration, have significantly diminished the previously common practice of charging fees for "queue-jumping". In addition, since 1999, all federal agencies have been required to publish "rules of operations" in the Federal Register, specifying clearly the criteria for selecting beneficiaries of each programme and performance indications for evaluation. This innovation seeks to increase efficiency, transparency and accountability.

Features of human resource management

Human resource management (HRM) is a key ingredient for increasing the efficiency of government. In Mexico, as elsewhere, HRM policies and practices have been under review in the context of an overall public sector reform strategy. Even though significant progress has been made in the past few years, there is still insufficient management flexibility at the line ministry or independent agency

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level. Moreover, the public service is characterised by a two-tier system, which leads to insufficient flexibility of staffing policy at the operational level and excessive mobility at the managerial level.

Policies and practices have improved, but managers still lack flexibility

Before the reform process started in the mid-1990s, HRM policies in Mexico could have been described as the worst of both worlds, combining multiple ministry-level personnel practices with the lack of operational autonomy by managers. Formal control was concentrated in the hands of SECODAM and the Ministry of Finance, which had full oversight on decisions by line ministries or agencies, their authorisation being required for changes in personnel status, and other decisions implying spending commitments, such as training. Managers often complained that the response time for authorisations was long and that the process was cumbersome and lacked transparency. Furthermore, pay scales were static and allowed for no incentive pay mechanisms. In spite of this heavy formal control, each ministry or agency had its own payroll and personnel management system. Criteria for hiring, advancement and promotion differed considerably among different ministries and agencies (with salaries and posts not necessarily corresponding to the same level of responsibility across public entities), hampering the mobility of civil servants within the public sector. Bonuses accounted for almost half of the payroll and fringe benefits for senior civil servants were substantial, but no clear criteria existed for their allocation between or within ministries, leading to considerable inequities. Control and budget authorities often complained that information on the assignment of individual workers to different tasks was scarce, that line ministries' practices were often opaque and that no instruments were available to force them to comply with regulations, preventing effective oversight. Finally, this lack of transparency led to low morale, opening opportunities for unethical behaviour.

Starting in 1995, the authorities began to address these problems with a set of complementary reforms. First, new programme-wide performance evaluation systems have offered managers increased flexibility in exchange for signing performance agreements. Through this programme, line ministries and agencies have been released from several *ex ante* authorisation procedures. Second, new or updated HRM regulations were issued and an unified information system (the SIARH Programme) was implemented, increasing transparency and expediting authorisation requirements on personnel decisions. Third, policies have been implemented to rationalise and increase the transparency of the pay and benefit scales, including through the establishment of a minimum salary-bonus ratio (four to one) and the setting of a flexible but unified pay scale designed to eliminate inequities. This has been complemented in 2000 by the issuance of a "Pay and Benefit Handbook" by the Ministry of Finance, establishing the basis for a more

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modern compensation system which will facilitate the implementation of merit-based remuneration schemes. Finally, a system for evaluating the performance of public sector employees is slowly being put into effect, starting with senior public servants – guidelines have been recently issued in this regard.[71]

These reforms are at different stages of implementation, but the process of rationalisation of pay and benefits scales has now been broadly completed.[72] This is likely to increase transparency and help in the gradual introduction of positive incentive mechanisms for the promotion of good performance, since new scales allow for movement within grades, the granting of bonuses and other incentive schemes. However, management flexibility at line ministry level has remained insufficient overall. Although reform initiatives have led to the simplification of administrative procedures and introduced new management tools, managers are still sometimes tied to a cumbersome system of *ex ante* bureaucratic approval procedures for most staffing decisions. As described above, more effective evaluation mechanisms, both from the Executive and Legislative branches, should in time allow for the replacement of these controls without jeopardising fiscal discipline. Before gaining enhanced flexibility on staff and pay matters, managers need to be made fully responsible for their decisions, which often have a strong inter-temporal effect.

The status of public servants: a two-tier system

Contrary to most other OECD countries, there is no broad framework for the public service in Mexico. Although the modernisation of personnel regulations described above has created the basis for the introduction of this framework, government proposals for a "Federal Civil Service Law" are still under discussion. A career civil service exists, but it applies only to employees of a few ministries or agencies.[73] Besides career civil servants, several employees (present in all government entities) enjoy enhanced job security: they can only be laid off under special circumstances and after the payment of a significant indemnity.[74] Known as "unionised" workers, they account for about half of total public sector employment and tend to have low mobility and skills, occupying to a large extent the lower echelons of the public service – *i.e.* "operational" rather than "managerial" positions.[75] The great majority of managers do not enjoy job stability and more senior public servants are directly appointed by the Minister or other senior officers, who have complete discretion over hiring. Informal criteria based on personal relationships – such as political loyalty or personal trust – are often the main determinant of hiring decisions. These public servants are generally appointed for the term of an administration (six years), but can be laid off at any time without being entitled to an indemnity.[76]

This two-tier public service system leads to three main problems. First, the high cost of dismissing "unionised" workers is seen as a serious constraint on the overall flexibility of human resource management. Second, the large number of appointees leads to low morale among workers at lower echelons, who often

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see their career prospects blocked by the arrival of people who are new to the service and younger than they are. Although it is justifiable that senior public servants should be appointed by an incoming administration, the present number of appointees – estimated at about a seventh of total public sector employment, excluding special categories – is excessive. Third, the high degree of mobility of middle management – both within the public sector as well as between the public and the private sector – often leads to insufficient institutional knowledge at managerial level. This rotation of expertise can be an advantage if it facilitates adjustment and allows a constant renewal of human capital in particular, through the infusion of private sector practices into the public sector. In Mexico, however, this mobility is often seen as excessive, leading to a lack of continuity at the senior and mid-level management level. The problem becomes acute in the transition between administrations, which lasts about 3½ months, when the large number of new appointees can deeply disrupt the functioning of the administration.

The role of the market in improving public sector effectiveness[77]

In many OECD countries, efforts to improve public sector performance have included the introduction of mechanisms that increase the role played by market principles in public spending decisions. These market-based mechanisms include vouchers, user charges, contracting out and intra-governmental contracts. Their introduction is usually aimed at improving the allocative efficiency of public spending, while enhancing the responsiveness and accountability of public agents in the provision of public goods and services. In Mexico, the use of market-based mechanism is still undeveloped. No voucher or internal market schemes are in operation, while user charges apply only in a limited number of cases – mostly in the health sector, where some services provided in Ministry of Health (SSA) facilities and in State hospitals draw fees. Contracting-out has been more broadly used, especially of cleaning and security services. However, more complex functions are not generally contracted out, in part because the contract process involves a considerable amount of red tape and significant administrative costs. This derives from the fact that most line ministries and agencies have limited autonomy in these matters – SECODAM has to be consulted at most stages of the process. As line ministries autonomy is being increased, contracting out is expected to become more widespread in the near future. This is likely to be beneficial, since in many other OECD countries contracting out has led to substantial savings, – of 15 to 25 per cent of related spending – with a concomitant improvement in the quality of services provided.

Contracting out infrastructure development to the private sector has long been a common practice in many countries. More recently however, this relationship between the private and public sectors has evolved into one of partnership, where the private sector shares the risk of providing infrastructure rather than just

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building it. In such partnerships, private sector involvement extends through the entire life of capital projects, such as design, financing, construction and operation. These schemes are now often used to accelerate capital investment programmes in the context of tight budgets. Mexico has had one of the broadest experiences of any OECD country with these partnerships. This has included build, operate, transfer (BOT) projects and build, lease, transfer (BLT) schemes in power generating plants, substations, transmission lines, petrochemical processes and oil refineries, as well as a large-scale highway building programme.[78] These projects have met with significant success, with the exception of the latter: the private sector played a prominent role in building toll roads in 1989-1994, but flaws in the contracting out process led to high building costs and the inadequate spreading of financial risk. These weaknesses and the unforeseen circumstances of the 1995 economic crisis led to the bankruptcy of concessionaires and the renationalisation of toll roads. As a result, no highway projects of this kind have been undertaken since 1995.

In part as a result of the experience gathered up to 1995, the Budget law was amended in 1996 to create new forms of financing infrastructure projects in the context of a tight budget and constitutional restrictions on private investment in certain sectors. Under a hybrid scheme known as PIDIREGAS, the private sector builds and finances infrastructure, mostly in the oil and electricity sectors, while the public sector pays for the contracted obligations after completion of the projects, theoretically using the benefits that these generate. To the extent that these projects are profitable, the scheme is viable; however, when this is not the case, the scheme could result in a medium-term burden on the budget. In the electricity sector for instance, where residential consumer tariffs are subsidised, resulting pricing distortions may jeopardise the future profitability of current PIDIREGAS projects. In that case, contracting conditions are crucial to determine the adequate sharing of financial risk by the private sector and the build-up of non-provisioned contingent liabilities by the public sector.

Issues in fiscal federalism[79]

The decentralisation process has been pushed forward significantly in the past three years in so far as greater discretion has been given to state and local governments in spending. The objective is to bring decisions closer to citizens' needs. However, devolving spending decisions also requires that adequate administrative capabilities be developed at the sub-national levels of government. More spending responsibilities have been given to sub-national levels of government, mainly in the education and health sectors, but also in other sectors, such as local infrastructure, public safety and programmes to alleviate extreme poverty. States have been given more tax raising capacity and allowed to levy fees for some public services. Overall however, their own revenue and local taxes have

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remained limited. The asymmetry between expenditure responsibilities and the capacity to generate revenue has created a substantial gap in states' budgets, which has been bridged by transfers from the federal government (Box 4).

Box 4. Transfers of federal resources to the states and municipalities

The federal government transfers resources to sub-national levels of government (states and municipalities) to finance their spending, using three main mechanisms:

- *Federal participations*: these transfers take the form of revenue sharing with sub-national levels of government (at a rate of some 3 per cent of GDP in 1990-99). They are determined automatically as pre-established percentage of revenue. Once the funds are transferred, the "federal participations" are considered as local resources.
- *Federal grants* (*aportaciones federales*) were created with the reform of the Law on Fiscal Co-ordination in 1998. Through this mechanism, the federal government has been transferring resources to the states for specific programmes; defined annually, they reached nearly 4 per cent of GDP in 1999. The Federal resources are divided into funds earmarked for specific attributions: basic education, healthcare services, infrastructure, programmes to alleviate extreme poverty, consolidation of municipal finances and, since 1999, technological and adult education, and public safety. The mechanism provides legal security over resource availability; resources are apportioned among states according to transparent rules; the responsibilities of the three different levels of government over the execution, monitoring and accountability are precisely identified. The sub-national level acts as an agent of the federal government and must employ the resources for the specific purposes stipulated in the Law. Fiscal surpluses are kept by the states and municipalities.
- *Resource re-allocation agreements* (or decentralisation agreements). The central government may sign agreements with state governments to transfer resources and responsibility for designated uses thereof. The resources thus transferred to the states keep their status as federal resources, but matching local funds must be provided as well.

The states are also empowered to collect taxes, but their own resources have remained marginal (8.5 per cent of their total resources). As a result, for the most part decentralised spending continues to be reflected in the federal budget, as transfers.*

* "Federal grants" are part of the federal government's "programmable" spending. In contrast, transfers through revenue-sharing (federal participations) are considered as "non-programmable" spending for the federal government, as are interest payments on government debt.

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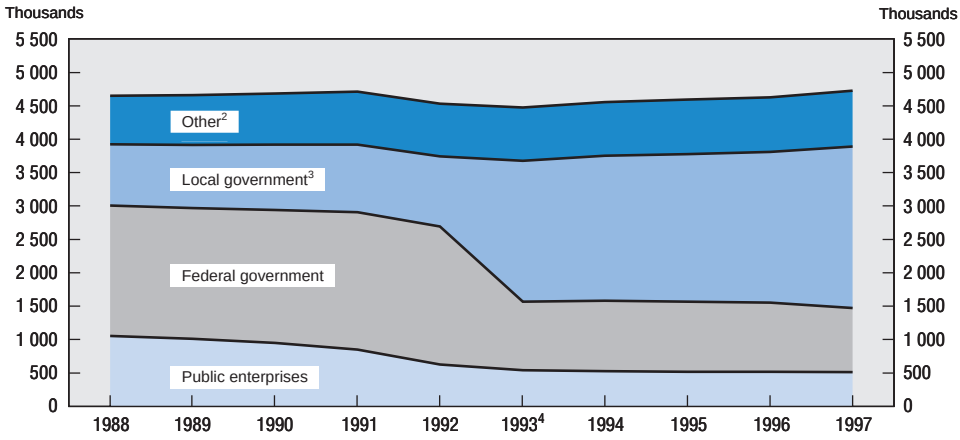
The total amount of public spending under direct responsibility of sub-national levels of government represent some 7 per cent of GDP, with 3 per cent as revenue sharing and 4 per cent as federal grants. This altogether corresponds to about 60 per cent of federal tax revenue; ten years ago, it amounted to only a quarter. In parallel, the composition of government employment between federal and the sub-national levels of government has changed, with a shift from the federal level to local governments, following the devolution of responsibilities for education and health care services in particular (Figure 29). This trend is expected to deliver efficiency gains, reduction in operating costs and increased performance in service delivery. However, measuring fiscal decentralisation by the share of sub-national spending is an imperfect indicator of the autonomy of lower levels of government in actual fiscal policy making.[80] The rules for distributing resources among the states and municipalities have been made fully transparent. Financial resources transferred under the revenue sharing scheme are considered as local resources, once transferred, with local legislatures deciding on how to spend them. On the other hand, federal grants have to be used for the specific purposes established in the Fiscal Co-ordination Law.[81] They are spent by the states and municipalities; the audit function which was performed by the federal authorities

Figure 29. **Trends in public sector employment**[1]

In thousands



1. Including all public enterprises (under budget control and outside).
2. Includes social security system and public entities in the central government.
3. State and municipal government.
4. The fall in employment in the federal government recorded in 1993 reflects the decentralisation of education services to local governments.

Source: INEGI, *Sistema de Cuentas Nacionales de México*, 1988-1997.

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until 1999, is now performed by both the federal and local Congresses. In the case of human resources, sub-national levels of government do not have complete autonomy in managing staffing and pay levels.[82] Since 1999, the Federal government has eliminated its discretionary powers to transfer resources to states, with a view to enhancing transparency and enforcing a hard budget constraint in states' finances.[83]

Heavy reliance of states on intergovernmental transfers – in Mexico, states' own resources account for only 8.5 per cent of their total resources – creates a wedge between local spending and local resources, and between benefits of government programmes and the cost to local tax payers, which may generate moral hazard. The use of transfers reduces accountability in expenditure management at the sub-national level of government, unless the transfers are in the form of block grants or involves co-financing. Follow-up and control mechanisms have been developed; but states' administrative and fiscal capacities are uneven and in some states, they may be insufficient, which also weakens fiscal accountability. Two key questions arise in this context: whether fiscal decentralisation may lead to a deterioration of sub-national finances; and whether such an occurrence would affect negatively the budget position of the central government (since in the event of financial difficulties, the central government would have to bail-out sub-national levels of government). A number of specific options to limit the scale of possible problems associated with furthering the decentralisation are taken up in the section below.

Assessment and agenda for further reform

There are many calls on expenditure to meet the needs of social development and infrastructure, but resources are tightly constrained since tax revenues remain low relative to GDP. Substantial progress has been made in cutting back and refocusing public spending in Mexico. Besides privatisation and deregulation, this has taken the form of steps to rationalise existing programmes, cuts in general subsidies and the use of more targeted programmes. At the same time, changes in public management have been made to enhance transparency and reduce arbitrary action. The main objectives in reorienting spending have been to improve the quality of services provided and to widen the coverage of these services to address basic needs of the population at large, including those in extreme poverty.

The question of whether the level of public spending is optimal for Mexico's level of economic development is impossible to answer exactly. However, an increase in tax revenue would seem appropriate in order to finance expenditure that would have considerable marginal economic and social benefits.[84] Certainly, the evidence from other advanced economies is that a rise in the proportion of public spending to GDP may be complementary to the growth process. At the same time, there are spending commitments that the government will continue to face over the coming years. The social security reform and the cost of the banking

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sector support package entail spending of over 2 percentage points of GDP per year for at least 10 years (as noted in Chapter II). Financing these expenditures will require in the medium-term a widening of the tax base. In this context, the priorities have to be clearly set out and advances in reforming the public administration and budgeting processes can play a key role.

Public spending on education, training and social development has been an important priority of the current administration, as attested by the continuous increase in the share of public spending allocated to those items. But as a proportion of GDP, expenditure in this area is still among the lowest in the OECD.Progress on social development in general is needed not just for its own sake, but also to ensure that the population at large benefits from economic progress. Past economic crises have caused widespread social distress, while the benefits of reforms have not always been tangible to the population at large. Social development, education and basic infrastructure thus remain a priority for public spending. In this respect, and subject to the existing budget constraint, the reforms under way provide the basis for future progress. Reducing general user subsidies is consistent with equity goals insofar as concentrating support solely on low-income categories, or establishing monetary compensation for low-income users would be both more efficient and progressive. The integrated poverty alleviation programme (PROGRESA) is commendable in many respects; if the authorities decide to extend its coverage to urban areas, it is important to adapt its targeting mechanisms and operation rules to maintain its cost-effectiveness and preserve incentives to work. Furthermore, it would have to replace existing targeted programmes (*tortilla* and milk). Specific actions need to be complemented by further measures to improve the effectiveness and equity of public spending, to widen the coverage of social security systems and to ensure their longer-term financial viability.

The establishment of multi-annual budgets within a comprehensive macroeconomic framework – as noted in Chapter II – is important. This would help avoid "stop and go" funding for social development projects. An action plan should be drawn up to meet needs in a more efficient way. It could identify the projects that should be carried out immediately and programme those that can be spread over several years. As regards investment, which has been particularly vulnerable to revenue shocks, project planning in a medium-term framework would enhance continuity. Private initiative could also be facilitated in certain sectors, to take over from the state and finance the development of capacity and the modernisation of existing infrastructure. However, past experience shows that privatisation should not be carried out without the prior establishment of an appropriate regulatory framework.[85]

Until recently, several problems hampered the effectiveness of public spending, including excessive concentration and centralisation, limited public

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management response, deficient incentive mechanisms and lack of instruments to improve the performance of public servants. To address these concerns, a comprehensive reform strategy has been adopted. Considerable advances have been made in several areas, such as the improvements in internal auditing and control systems and increased transparency and efficiency of budget procedures; in addition there is now much wider access to information. Legislative oversight of the budget process has also been greatly enhanced, in part as a result of the establishment of important specialised legislative bodies. Recent reform efforts have been in the right direction and are already leading to a more efficient public administration. Much more remains to be done, however. First, many of the on-going changes need to be pursued and consolidated in the years ahead. This will give line ministries and specialised government agencies further autonomy and flexibility in operational decisions; there are also outstanding problems in human resource management; and the process of decentralisation is incomplete and plagued by asymmetries. Reforms in these areas should not be delayed: because of synergies, lack of progress in one area is likely to diminish the benefits from other programmes and from the reform strategy as a whole. Box 5 lists the main recommendations on how to further enhance the effectiveness of the public sector.

The collective experience of OECD countries shows that delegating some budget decisions from central management to independent agencies and line ministries can be conducive to greater efficiency and productivity. The main challenge for any reform strategy is to strike a balance between the respective prerogatives of central budgetary institutions and operational entities. Experience shows that for net efficiency gains from reform to be maximised, the "centre" should retain an important role in designing the overall budget and stating spending priorities; it should also be able to continue to impose a hard-budget constraint on other entities, including control of deficit financing and should maintain a capacity to develop, co-ordinate and implement policies. On the other hand, specialised agencies and line ministries should be given flexibility as to most operational decisions, including a large say concerning details of their budget, and should be granted more autonomy in introducing user fees, contracting out and other market-based mechanisms. While significant progress has been made in deconcentrating public management, further efforts should focus on three main issues. First, managers' accountability should be increased by strengthening control mechanisms at both Executive and Legislative branches. Second, as control mechanisms become fully functional and effective, managerial flexibility on budgetary decisions should be enhanced by a further devolvement of responsibilities. Third, information channels within the government should be improved, since they can enhance the control function of central budgetary authorities and improve the efficiency of performance reviews, thus ensuring transparency and accountability.

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Box 5. Recommendations for enhancing the effectiveness of public spending

Setting spending priorities

The government sector in Mexico is relatively small, and this feature needs to be maintained. There is, however, room for some expansion and re-orientation of spending on priority items, based on the possibility of higher tax revenue (Chapter IV) and falling debt service. In this context, the government should:

- *Further disengage from productive activities*, such as electricity supply; this would allow a continued refocusing of essential governmental functions and facilitate higher investment to meet growing energy demand.
- *Phase out remaining general subsidies* (electricity and water), while compensating low-income categories, by providing direct transfers or productivity-enhancement investment support.
- *Increase spending in areas of high marginal social and economic benefit*, such as basic health, education and infrastructure (drinking water supply, sewerage, etc.); and consideration should be given to extending PROGRESA to urban areas.

Improving budget processes and procedures

The Budget process has been effective in achieving budget consolidation, but is short-term in approach. The following reforms are required:

Medium-term budget strategy

- *Set the budget in a medium-term framework.* Multi-year budget planning should be introduced in order to establish clearer benchmarks for infrastructure, and other long-term capital projects should have guaranteed funding before launch.
- *Give Congress more time to examine the draft budget.* Legislative oversight could be made more effective by increasing the time allotted for Congress to examine the budget draft, – a change which would require a Constitutional amendment.

Flexibility and accountability

- *Strengthen newly-created legislative bodies and establish a system of effective accountability of managers.* The implementation of the new supervisory and auditing bodies linked to the Legislative branch should be completed and their role in the systematic evaluation of programmes increased. Clear objectives should be set and tools created to evaluate achievements; the implementation of a regular performance review cycle should be pursued.
- *Increase managers' flexibility.* The actions described above should serve to increase management accountability, which will permit further progress in giving managers enhanced budget prerogatives.

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Box 5. Recommendations for enhancing the effectiveness of public spending (*cont.*)

– *Improve intra-governmental information channels*. Initiatives such as the unified budget and payment system (SIAFF), expected to link participants in spending decisions by an electronic communication network, should be pursued.

Human resource management

– *Give managers greater autonomy* to link pay with performance and to exercise flexibility in selection, hiring and deployment of personnel, while ensuring that these decisions are consistent with fiscal discipline over time.

– *Reduce barriers to mobility at the operational level*, rationalising practices across entities. A reform of the social security scheme for government employees (ISSSTE) with a view to integrating it with the private IMSS system would facilitate pension portability between the private and public sectors.

– *Introduce measures to create a more professional civil service*. Long-term contracts should be introduced to retain experienced managers while allowing for greater re-adaptation of skills. Reform measures are needed to reduce inequities associated with the two-tier status of public servants. Consideration should be given to establishing a new civil service apparatus, while avoiding excessively generous job tenure.

The role of the market

– *Make better use of market-based instruments*, such as user fees, vouchers, internal markets and contracting out. Enhanced management flexibility could help in this regard.

Issues in fiscal federalism

The federal structure of the Mexican economy generates a complex assignment of tax and spending responsibilities which needs to balance equity and efficiency considerations. To obtain best advantage from the system, the following steps are required:

– *Improve administrative capabilities and information systems*. Training of civil servants at all levels of government should be developed. The diffusion and promotion of budgetary practices should be enhanced, through intergovernmental co-operation.

– *Encourage states and municipalities to improve collection efforts to enhance their revenue base*. The tax prerogatives of states and municipalities need to be widened. Real estate taxes in particular could become a more important source of revenue in the longer term.

– *Maintain a strong federal government role in keeping social cohesion*. The heterogeneity of the Mexican economy, including wide regional differences, calls for a strong social role at the federal level.

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There are also important issues to tackle in human resource management (HRM) policies and practices. Considerable progress has been made in this area, especially in redressing the balance between concentration and flexibility. HRM regulations have been simplified and the approval of personnel decisions speeded-up and made more transparent. Policies have also been implemented to rationalise and increase the transparency of pay and benefit scales, including through the establishment of clear mechanisms to link performance to pay. But reforms are at different stages of implementation and their full effects will take a number of years to come through.[86] These measures, as well as more recent efforts to increase the effectiveness of individual performance evaluation and enhance management flexibility, should be vigorously pursued. Other priorities should include measures to encourage operational level workers' transferability and mobility – both intra-departmental and between the public and the private sector – and the continuous development of human resources. If the decision is taken to create a career civil service for managers, particular attention should be paid to not reducing the flexibility of public sector staffing policies through excessively generous job stability provisions. Moreover, an appropriate incentive system should be fully in place before broadening the civil service, as a way to induce improved performance from managers. An alternative option to encourage continuity and the accumulation of institutional knowledge at intermediate and senior management level would be the institution of longer-term contracts, preferably going beyond the term of an administration. The hiring of junior managers through promotion or other transparent procedures rather than by appointment would give operational personnel broader career opportunities. In the case of unionised workers, the career focus would need to be changed, with less emphasis on job stability and more importance given to career development, mobility, and opportunities.

As regards devolution, the decentralisation of responsibilities to subnational levels of governments has advanced rapidly under the current administration, with states and municipalities being given more spending responsibilities. But their taxing power has remained limited and most of their financing comes from federal transfers. In the longer term, it would be desirable to increase local tax revenue, but this will need to be done carefully to minimise administrative costs and to ensure that it does not create distortions. In any case, the federal government will need to keep a strong role to maintain social cohesion in a country as heterogeneous as Mexico. Clearly some regions would be able to raise the funds necessary to meet spending needs, while others, the poorest, would be unable to finance development spending. The mechanisms in place to allocate federal grants for specific basic education and health care, in particular (the two main components of *aportaciones federales*), seem well designed in this respect, to the extent that they are targeted and based on objective measures of expenditure needs. At present the states' and municipalities' finances do not present a risk to

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macroeconomic balance. But other countries' experience show that great caution should be exercised in this area. The efforts made in the past few years to control states' borrowing should be pursued. The degree of taxing and borrowing autonomy at sub-national levels of government would need to be consistent with national stability goals, so as to ensure that devolution of spending responsibilities does not jeopardise the currently sound overall fiscal performance.

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IV. Structural reform for better balanced growth

Mexico's longer-term performance

The Mexican economy has achieved an average annual growth of nearly 3½ per cent over the past decade or so, significantly above the OECD average of 2.7 per cent; but real GDP per head has grown roughly at the same pace as the OECD average, which is not sufficient for a country that is "catching up".[87] However, the pattern of growth in the 1990s was disrupted by the financial crisis of 1994-96. Economic performance in the second half of the 1990s was strong, Mexico being able to grow at around 5 per cent per year without facing bottlenecks. Inflation was more than halved over the period and the deterioration of the external balance was limited. Among the array of factors that have contributed to this improved economic performance have been the broad range of structural reforms implemented over the past ten to fifteen years. Past *Economic Surveys* have highlighted substantial progress in liberalising product markets, developing infrastructure and human capital and in addressing social welfare issues. Measures have also been introduced to remedy banking sector weaknesses. The process of trade liberalisation was spurred by the more recent signature of free trade agreements with the European Union, Israel and several Latin American countries. Even where important policy changes have already been made, there may, nevertheless, be a need for deepening the reform process, and in some areas there is much unfinished business. The chapter focuses on four areas that have high policy priority: strengthening the banking sector; enhancing competition in product markets; creating a favourable environment for business growth, including the diffusion of new technologies and the enhancement of human capital; and improving the social safety net. The final section follows up on requirements to improve the government's tax raising capacity, an issue covered in detail in the 1999 *Economic Survey*. The spending side of government policies is discussed in Chapter III of the present *Survey*.

Strengthening the banking sector

Restructuring since the 1995 crisis

Following Mexico's financial sector liberalisation, which started in the late 1980s,[88] ineffective prudential oversight, widespread mismanagement and impru-

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dent bank lending led to inadequate capitalisation and a continuous deterioration of asset quality. The overall fragility in the financial sector was aggravated by the 1994-95 peso crisis, which increased the cost of funding to banks and reduced borrowers' capacity to pay. The risk of a systemic crisis led the administration to launch a series of programmes to support banks and debtors (Annex VI). At the end of 1999, the estimated liabilities related to these programmes was equivalent to 14.3 per cent of GDP.[89] The institution responsible for administering the support programmes (IPAB) estimates its assets at 3.7 per cent of GDP, leaving net liabilities of 10.7 per cent of GDP, which compares with a total net public debt of 25.3 per cent of GDP at the end of 1999.

Even though a systemic crisis was avoided, the restructuring of the banking system was hampered by legal uncertainties surrounding the rescue package and restrictions on foreign ownership of financial institutions. Notwithstanding these limitations, economic recovery has led to a general improvement in operational profits, as well as solvency and capitalisation ratios (Table 16).[90] However, adjusted for asset quality, capitalisation ratios are still weak, while profitability is one of the lowest in the OECD area and past-due loans still accounted for 7½ per cent of total in March 2000. More significantly, the accumulation of government liabilities on banks' balance sheets, together with a high level of overdue loans

Table 16. **Banking system indicators**[1]
Per cent

	1994	1995	1996	1997	1998	1999
	End of period					
Profitability, productivity						
Net profits/equity	12.5	7.4	–16.3	5.1	6.5	14.4
Net profits/total assets	0.5	0.3	–0.6	0.4	0.5	1.5
Operational income/total assets	4.1	3.9	2.8	4.8	5.0	6.8
Solvency, capitalisation						
Capitalisation ratio[2]	9.8	12.4	13.2	13.6	14.6	16.2
Capital/total assets	5.5	6.8	6.0	8.5	8.4	10.5
Non-performing loans/total loans[3]	7.3	6.9	5.9	11.3[4]	11.4	8.0
Provisions/non-performing loans	48.6	72.6	119.9	62.8[4]	66.0	95.6
Current assets/current liabilities (ratio)	1.07	1.08	1.02	1.06	1.09	1.00

1. Refers to banks in "normal" situation, *i.e.* excluding the balance sheets of banks that have been placed under control of the authorities, excluding also the assets that have been transferred to FOBAPROA (the former agency responsible for dealing with bank insolvencies). Data reflect the situation of privately-owned banks after the clean-up. From 1997, it excludes three additional banks – Atlantico, Promex and Serfin.
2. Net capital over risk-weighted assets. Since December 1997, this ratio also includes market risk.
3. Including IPAB notes.
4. Break in data, reflecting the transition to the new accounting system (based on internationally-accepted accounting principles since 1997).

Source: National Banking and Security Commission (CNBV).

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deriving in part from inadequate legal protection for creditors, have contributed to a steady decline in bank lending to the non-financial private sector. This has shrunk in every year since 1995 (in real terms), falling from a peak of 43.1 per cent of GDP just before the crisis to 21 at the end of 1999.

Steps towards a solution for these remaining problems were taken with the approval, in December 1998, of a package of financial sector reforms which included the creation of a new Institute for Bank Deposit Insurance (IPAB) to sell rescue-related assets. Other components of the package included the lifting of restrictions on foreign ownership applying to financial institutions; the capping of deposit insurance schemes and the resolution of legal uncertainties concerning debt service which had meant that the liabilities incurred by the rescue programme did not have a regular service schedule. These measures are expected to favour the restructuring of the financial system, reduce the risk of moral hazard and facilitate liquidity management by banks (Box 6). They have since been complemented by the strengthening of prudential requirements, moves to reduce non-performing loans and the approval by Congress (in April 2000) of a new legal framework for bankruptcy and credit guarantees. This is likely to increase the legal certainty of lending operations, which is needed to reactivate credit.

A gradual strengthening in the prudential regulations applying to financial institutions has been achieved through the updating of accounting standards, the more stringent capitalisation and provision requirements and the revision of credit portfolio rating rules. New accounting standards came into force in January 1997, bringing Mexican rules closer to internationally-accepted principles. The main features include changes in the definition of past due loans, so that the whole amount of a delinquent loan is registered as such. Previously, only the unpaid portion of the loan was recorded as past due. In October 1999 the standards were updated and disclosure rules broadened. Capitalisation ratios in the Mexican banking system are sufficient to comply with prudential requirements. However, the quality of banks' capital is inadequate for a number of reasons: a high proportion of Tier 1 capital is backed up by deferred taxes, non-financial non-traded companies or convertible subordinated debentures. Furthermore, credit portfolios are under-provisioned and fixed assets overvalued. To address these problems, new rules were published in September 1999, requiring a gradual increase in the capitalisation and provisions of credit institutions prior to the full implementation of new capital adequacy requirements in 2003. This measure will be complemented later in 2000 by the issuance of new rules concerning the appraisal of fixed assets and the treatment of deferred taxes. Credit portfolio rating rules have also been strengthened to allow enhanced risk-based differentiation of banks' portfolio in determining required provisions.

At the start of 1999, overdue loans were still a significant problem to the banking system, even though the government had launched several debtor

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Box 6. 1998-99 financial reforms

The package of reforms concerning the financial sector, approved in December 1998, included the creation of the Institute for Bank Deposit Insurance (*Instituto para la Protección del Ahorro Bancario*, IPAB), the easing of foreign ownership restrictions, the gradual reduction in the coverage of the deposit guarantee scheme, and the clarification of the legal status of the liabilities arising from the financial rescue package:[1]

- The new Institute for Bank Deposit Insurance became operational in June 1999. Its main roles are to administer the various financial support programmes and manage the deposit guarantee scheme, while implementing a programme to maximise the recovery value of assets, by disposing of these and collecting overdue loans Until the creation of IPAB, asset sales had been slow and very few of the bad loans were regularly serviced. IPAB has succeeded in selling the collection rights to several loan packages through public bidding processes and reprivatising several banks that had been under intervention. It has also started to refinance rescue-related liabilities with the aim of improving their maturity profile and lowering debt servicing costs.
- Restrictions which barred majority foreign stakes on large financial institutions – defined as those with more than 6 per cent of total capital in the banking system[2] were lifted and replaced by non-discriminatory restrictions on individual holdings. This measure has opened the way for further consolidation of the banking sector. This is expected to reduce the overall fragility of the system and lower the risk of a systemic crisis. Foreign-controlled (majority-owned) banks accounted for 22.1 per cent of assets in the Mexican banking in December 1999, up from 4 per cent in 1994. With the easing of restrictions, this share is expected to increase further in the next few years.
- The elimination of blanket coverage on bank deposits and the capping of guarantees at about US$100 000 are meant to reduce risks of moral hazard.[3] The deposit insurance fund is to be financed by insurance quotas paid by commercial banks and is expected to induce more prudent behaviour by depositors and lead to better financial management practices by banks – since quotas will vary according to the level of individual bank consolidation. Three-quarters of funds collected from these levies, which are relatively high by international standards, will be used to pay the current fiscal cost of the post-1995 rescue package. The remaining quarter will be accumulated on a contingency fund for future rescue operations.[4]
- In July 1999, IPAB securities with a sovereign guarantee started to be issued in replacement of old liabilities. As of 2000, the government is legally committed to complement IPAB's own resources through budgetary transfers so that the real component of its debt is fully serviced. Until then, liabilities associated with the rescue programmes did not have a regular service schedule and interest payments were recapitalised. As a result, these liabilities

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Box 6. **1998-99 financial reforms** (*cont.*)

continued to grow, reaching 27 per cent of commercial banks' total assets in November 1999, inhibiting fresh lending to the private sector. The issuance and regular service of new guaranteed securities is expected to lead to a pick up in lending to the private sector and lower IPAB's debt servicing costs (as yields are reduced and changes are made to the term structure of the debt). It should also allow for more efficient liquidity management by commercial banks (as securities are traded in the secondary market), helping to strengthen their balance sheets by enhancing profitability.

1. Other parts of the package, sent to Congress in March 1998, have not been approved by the legislature, namely, the proposals for: *i*) changing the Bank of Mexico Basic law to give it full autonomy for exchange-rate policy; and *ii*) transferring most functions pertaining to regulation, supervision and control of the financial system to the supervisory agency for banks and securities (*Comisión Nacional Bancaria y de Valores*, CNBV), while giving it operational independence from the Finance Ministry.
2. In practice, these restrictions applied to the three largest banks in terms of capital: Banamex, Bancomer and Serfin. Serfin was taken-over by IPAB in July 1999 and sold in May 2000.
3. This measure will be implemented gradually. Until January 2002, several instruments, including liabilities arising from derivative operations, will no longer be guaranteed. From 2003 to 2005, the coverage on remaining operations, mostly savings, checking, time deposits and loans, will be gradually reduced until it is capped at 400 000 UDIs (an inflation-indexed instrument), equivalent to US$100 000.
4. Insurance quotas may vary between 0.4 and 0.8 per cent of banking institutions' liabilities. They have been initially set at 0.4 per cent, independently of the characteristics of the liability. IPAB has reserved the right to differentiate quotas by risk in the future, but this is not expected to occur until the system reaches greater stability.

support programmes, *via* the lengthening of maturities, discounts on debt payments and reductions in principal.[91] The expectation of further concessions to debtors, together with existing impediments to the seizing of collateral and to the application of legal sanctions on bad debtors had worsened the "non-payment" problem. To reverse this situation, the government announced that, after a last programme (*punto final*), there would be no additional debtor relief measures. *Punto final*, implemented from January to September 1999, applied to three categories of loans – agricultural, housing mortgage and small and medium enterprises – providing discounts ranging from 45 to 60 per cent of outstanding principal. About a million debtors signed up, leading to a marked reduction in overdue loans; these had fallen by 30 per cent in real terms by year end. Finally, the new bankruptcy and secured lending (*i.e.* foreclosure and guarantee) legislation have been approved, clarifying the legal procedures for the recovery of bad loans. The new

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framework provides lenders with tighter loan guarantees, which should decrease debt service non-compliance and eventually encourage a resumption of bank lending.

Remaining problems and the path ahead

The 1998 package of financial reforms and the complementary measures described above have laid the basis for durably solving the problems that have impinged on the Mexican banking sector. The decline in non-performing loans has been accompanied by an acceleration of the consolidation process, now embracing the largest banks.[92] Moreover, rescue-related liabilities have been serviced and IPAB has been given the instruments to dispose of assets and generate some of its own resources. In time, this should reduce the relative importance of its liabilities in commercial banks' balance sheets.

The main problems arise from the very gradual pace of reform. The approval of new bankruptcy and guarantee laws was held up in Congress until April 2000 and the restructuring of IPAB liabilities has been slow. Delays in the issuance of new debt instruments have hampered the financial sector restructuring process by preventing banks from disposing of unwanted assets – existing liabilities being illiquid. It has also prevented a faster reduction of IPAB debt servicing costs, with present liabilities still paying a significant premium over direct government debt.[93] Finally, the announced pace of debt retirement may be too slow. IPAB's strategy consists of paying the "real" component of the debt every year (the debt being indexed to inflation). This means that the debt/GDP ratio falls as output grows, but even under relatively optimistic assumptions about growth, inflation and interest rates, the fall will only be gradual and the real component of debt service is expected to still amount to a non-negligible 0.7 per cent of GDP per year in 2010. Although the "IPAB spread" is expected to narrow, it is not likely to fully close, since it is not legally recognised as government debt.[94] As a result, servicing IPAB's liabilities will remain more costly than servicing public debt *stricto sensu*. It would be appropriate that IPAB's debt be given priority for prepayment in case of windfall gains, under the budget rules for 2000.

Enhancing product-market competition

Starting in the mid-1980s, the Mexican authorities have pursued a policy of wide-ranging structural reforms, transforming a relatively closed and inward-looking economy into one that is now more open, flexible and responsive to market forces. In the first phase, ending roughly in 1994, reforms were mostly aimed at re-directing the role of the state away from the production of goods through a large-scale privatisation programme, as well as at widespread trade and investment liberalisation. Since then, the privatisation process has been deepened by the partial liberalisation of public services such as transportation and energy, and the development of a regulatory framework necessary to ensure effective competition in sectors where natural monopolies exist (Table 17). A new competition law

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Table 17. **Main steps in the liberalisation of public services**

	Petrochemicals and natural gas	Electricity	Seaports, highways, railroads	Air transportation	Telecommunications	Competition policy
1989-91			Building of toll roads by the private sector (1989-95)	Privatisation of AeroMexico and Mexicana. Deregulation leading to new entry and increased competition	Privatisation of TELMEX. Liberalisation of wireless (mobile) telephone services	
1992-94		Reforms of the Electricity Law opening generation to private initiative	New legal framework for the operation of seaports, leading to port autonomy (1993-94)	AeroMexico takes over Mexicana. Tighter enforcement of financial criteria and safety regulations leads to low entry		Creation of The Federal Competition Commission (CFC) (1993)
1995	Sale of PEMEX petrochemicals division announced. Plans scaled back due to political opposition	Establishment of an independent regulatory agency (CRE)	Bail-out of toll road operators. Re-nationalisation of highways	Nationalisation of AeroMexico, Mexicana and two smaller airlines, consolidated under a single holding company (CINTRA). New Civil Aviation Law liberalising rate-setting	Federal Telecommunications Law establishes new regulatory regime	
1996			Restructuring of railroads, splitting the national railway in five regional companies			

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Table 17. **Main steps in the liberalisation of public services** (*cont.*)

	Petrochemicals and natural gas	Electricity	Seaports, highways, railroads	Air transportation	Telecommunications	Competition policy
1997	Establishment of regulatory and legal framework for the private distribution of natural gas. Sale of concessions (1997-99)		Privatisation of railroad starts (1997-99)		Expiry of TELMEX fixed-line monopoly. Privatisation of satellite-fixed services leading to entry and competition on long-distance calls	
1998			Privatisation of most ports (1998-99)		Auctioning of bands for local services	
1999	Auction of petrochemical plants attracts no bidders	Reform proposals sent to Congress, foreseeing widespread liberalisation. Restructuring of state-owned CFE starts		Sale of concessions for the operation of airports (1998-2000)	Entry of new operators on local services	

Source: OECD.

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was adopted in 1993, leading to the creation of the Federal Competition Commission (*Comisión Federal de Competencia*, CFC). The process of regulatory reform started as an explicit national policy about ten years ago, creating a more rational and transparent regulatory framework. Reform has continued over recent years. In March 2000, the Federal Administrative Procedures Law was amended to increase the degree of public participation and transparency in the drafting of federal regulations and to enhance legal certainty with regard to existing formalities and obligations imposed by government. The Law generally seeks to improve the quality of regulations through strengthening mechanisms of analysis and review.[95]

The extension and deepening of the reform process have led to a further retrenchment of the public sector from productive activities, as noted on Chapter III. There is evidence that this has already produced some results, including reductions in prices and increases in consumer choice and quality of services. Much remains to be done, however: *i*) some important sectors remain largely closed to private initiative, including oil, petrochemicals and electricity; *ii*) state ownership is still significant in sectors such as air transportation and highways ; and *iii*) the incumbent retains significant market power in the telecommunications sector, requiring the imposition of additional regulations by the regulatory agency. The issues involved in opening up these sectors are discussed below.

Barriers to progress in the energy sector

The oil sector remains one of the most regulated in Mexico, with significant restrictions affecting private and/or foreign ownership: the sector is controlled by the state-owned monopoly Petróleos Mexicanos (PEMEX) and there are no official plans to change the *status quo*, which would involve a constitutional revision. The privatisation of part of PEMEX's petrochemicals division was announced in 1995, but plans had to be scaled back. The authorities had intended to sell stakes in "secondary" petrochemical plants, (*i.e.* excluding nine basic "strategic" products), but political opposition forced it to offer only minority stakes in existing plants, while allowing private and foreign initiatives to install (and fully own) only new capacity. Technical difficulties arising from the vertically-integrated structure of the industry also narrowed the scope for private initiative: liberalisation concerned only downstream petrochemicals, while PEMEX was left in control of the production, distribution and the import of basic inputs. As a result of these shortcomings, the auction of a minority stake in the *Morelos* petrochemical complex in early 1999 attracted no bidders, and no new auctions have been announced.

The opening up of the natural gas distribution sector has proceeded more smoothly: the private sector can build, operate and own transportation, storage and distribution systems. The legal and regulatory frameworks were established in 1995 and the tenders started soon after, attracting significant foreign investment.[96] Several private companies are now in operation in major urban centres. This liber-

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alisation was complemented in late 1999, by the upgrading of links between the US and Mexican gas pipeline systems, which in time should allow the creation of a competitive and integrated gas market in the border areas. Elsewhere, the outlook for competition is less bright. Even though there are no import restrictions and the gas transport sector is open to private firms, PEMEX controls primary sales, and has a monopoly over domestic production of natural gas production. Moreover, the absence of adequate competition in gas brokerage services has hampered the development of the market.

The electricity sector is still largely closed to private initiative, notwithstanding the pressing needs for extra capacity. Demand for electric power is expected to grow by about 6 per cent per year in the future. As a result, electricity-generating capacity needs to be increased and transmission and distribution systems modernised, or bottlenecks are likely to appear. While private investment in the electricity sector is vital to sustain output growth in the medium to longer run, especially since the public sector has been under severe budgetary constraints, liberalisation has been slow and limited by significant legal (constitutional) impediments. The sector is controlled by two vertically integrated state-owned enterprises that share the market for the transmission and distribution of energy: *Comisión Federal de Electricidad* (CFE) and *Luz y Fuerza del Centro* (LFC).[97] Since 1992, the generation sector has been open to private investors willing to build new plants, but no privatisation of CFE and LFC plants has been carried out or is planned. This has led to the building of small gas, diesel or ethanol-fired plants (normally by industrial users for self-consumption), as well as some larger-scale thermoelectric plants, often built by multinational concerns.[98] But the additional capacity has been modest. Private investment has been hampered by legal and regulatory inadequacies and the absence of a wholesale market for electricity: the sale of electricity to third parties is restricted and surpluses have to be offered to CFE at regulated prices. Regulations clarifying the procedures and conditions for CFE's purchase of power from independent generators were published only in 1997. Electricity prices in Mexico remain high by international standards, especially for industrial users – residential users enjoy significant subsidies (Figure 30).

Aware of the need to upgrade infrastructure, the government proposed a series of reforms in February 1999, but these have not been approved by Congress. Proposals included the splitting of the two state-owned companies into several independent units, including distribution firms at the local level and generation firms at the plant level. The transmission grid would have remained as a single national company. This restructuring would have been accompanied by the establishment of a new legal and regulatory framework, including the creation of an independent agency with responsibility for system and market operations. Following this, power generation and sales would be completely open to private initiative and all firms would be able to buy and sell energy. Distribution would start to be concessioned and would operate under regulatory benchmarks, while

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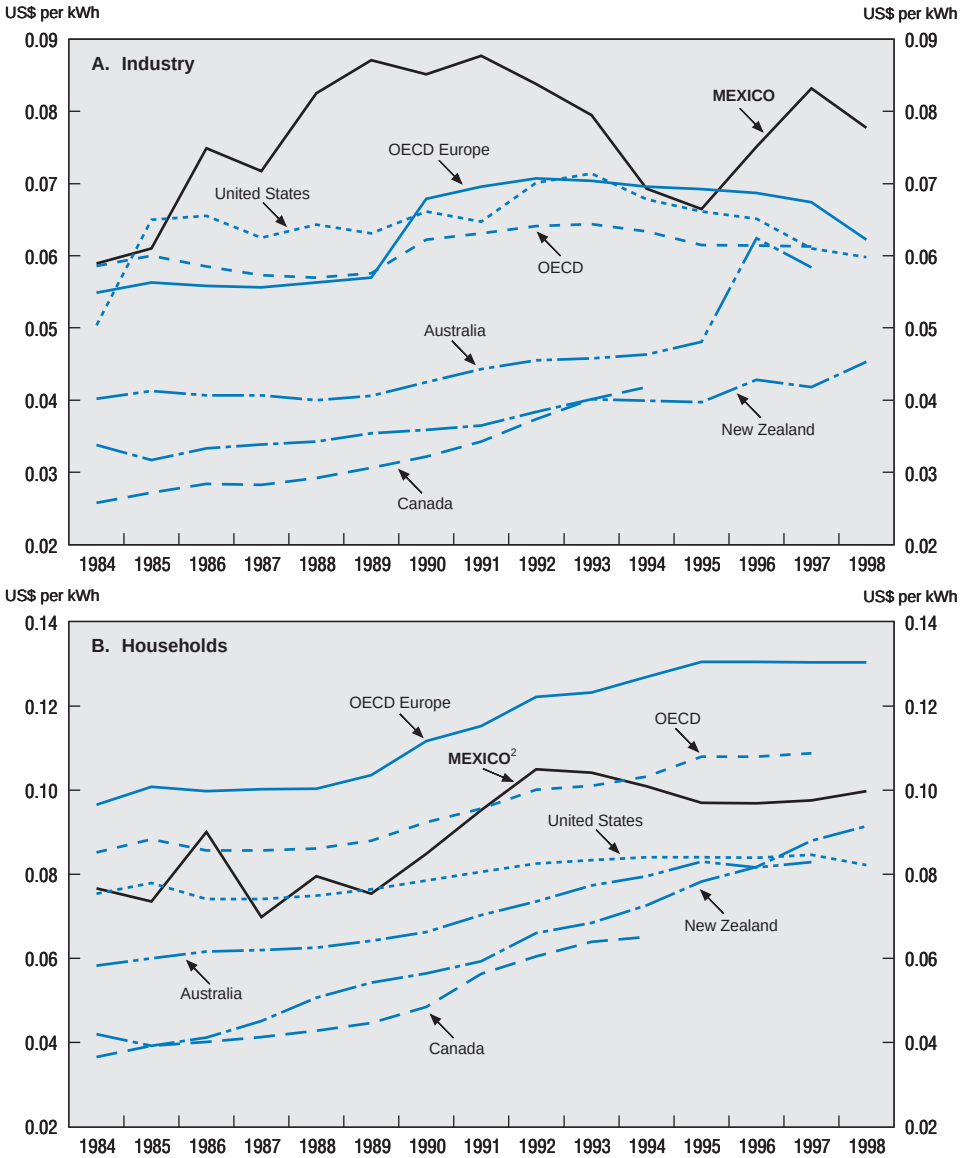
Figure 30. **Electricity prices**
In US Dollars/kWh, using PPPs[1]



1. Prices excluding tax for Australia and the United States.
2. Residential users enjoy significant subsidies.

Source: International Energy Agency, *Energy prices and taxes.*

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consumers would be allowed to choose their supplier (at a first stage, only larger consumers would have a choice). These reforms were expected to be implemented over about two years (up until the end of 2000), after which the privatisation of state-owned enterprises would be considered.

Notwithstanding the stalling of their proposals, the authorities have proceeded with a series of reforms that do not require congressional approval, through which they hope some of their liberalisation goals will be accomplished. With the main objective of creating a "shadow" energy market where all participants function under the same commercial principles and operating requirements, a process of internal reorganisation has started at CFE (approved by the CFE board in October 1999). This involves the splitting of the generation and distribution divisions into smaller autonomous units, which will buy and sell energy through internal transfer pricing mechanisms. The collective experience of other OECD countries shows that best practice reform of state-owned electricity sectors creates multiple generators privatised to separate owners, while giving consumers the freedom to change supplier, so as to provide incentives for generators to compete; transmission, distribution and tariffs for captive consumers are regulated by an independent authority/agency with enough resources.[99] The on-going reorganisation of CFE is probably not enough to make the electricity sector substantially more efficient, since simple accounting separation of supposedly competitive generators is unlikely to instigate real competitive behaviour.[100] Experience also shows that it is important to address regulatory issues before privatisation of natural monopolies, since their dominant position, if not checked, can continue to hamper competition.

Successes in opening the transportation sector

The transportation sector has been gradually opened to the private sector, either through concessions or direct ownership. For railroads and seaports, minor problems remain concerning, respectively, weak competition in inter-modal transfers and the insufficient integration of individual harbour service providers with the overall port authority. The liberalisation process of those two sectors is largely complete however, and has been broadly successful, with private initiative leading to the emergence of a competitive environment. In the case of *ports*, there have already been significant efficiency gains and handling prices have fallen by more than 40 per cent in real terms between 1995 and 1999. For *railroads*, it is too early to assess the effects of liberalisation on efficiency (most privatisations took place between 1997 and 1999), but service seems to have become more reliable, with timeliness of delivery improving.[101] Concerning *airports*, partial privatisation through the sale of concessions for the operation of most airports has also advanced rapidly since 1998, and this process is expected to be broadly complete by mid-2000. Considerable investment is required in this sector, since many hubs suffer from significant congestion, especially Mexico City.

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The liberalisation of the highway and air transportation sectors has run less smoothly. The private sector built over 5 000 km of *toll roads* between 1989 and 1995, but a series of problems led to the bankruptcy of concessionaires and re-nationalisation (Box A5 in Annex V). In these bailed-out road projects, extensive cross-subsidies exist and prices are among the highest in the world. At the same time, the road system remains inadequate; especially those used by long-haul trucking to and from the US. Although public investment in the maintenance, modernisation and building of new highways has been substantial, further efforts are necessary to bring the highway system to international standards.

In the *air transportation* sector, liberalisation started in the late 1980s, with the privatisation of the two state-owned airlines – *Mexicana* and *Aeroméxico* – and de-regulation, which led to a substantial number of new entrants. Increased competition and the effects of the peso crisis led to the re-nationalisation of four airlines, including the two mentioned above, and their consolidation in 1995 within a single holding company (*Controladora Internacional del Transporte Aéreo*, (CINTRA)).[102] A civil aviation law (1995) and related bylaws (1998) have subsequently been enacted, as a result of which rate-setting has been liberalised. However, market forces have been subdued by limited entry to the industry, so that domestic prices remain relatively high. The authorities have decided to re-privatise the airlines, but there is considerable debate on how to structure these sales. Decisions need to be made on a number of regulatory and industrial organisation issues, including on whether CINTRA should be split up before privatisation. The competition authorities justifiably defend the break-up on the grounds that CINTRA airlines have a dominant position in the domestic market and that the hub status of Mexico City airport would significantly hamper new entry. The Ministry of Communications and Transports (SCT), on the other hand, has advocated the sale of CINTRA airlines as a single entity, in order to create a "national champion". The Ministry has also argued against an "open skies" policy entailing free access to Mexican markets by international carriers. Whatever decision is made, the competition authorities will need to ensure that slots at temporarily congested airports, especially Mexico City's, are allocated on an open and transparent basis, while additional capacity is built.

The liberalisation of telecommunications

The liberalisation process in the telecommunications sector started in 1990, with the partial privatisation of TELMEX (*Télefonos de México*). In exchange for specific obligations, including the provision of a universal service, TELMEX was given the monopoly of long distance services until 1996 and ownership of the original network until 2026.[103] Competition in wireless (mobile) telephone services has been allowed from the early 1990s, when cellular concessions were granted to one new entrant in each of nine regional markets. This has led to significant price

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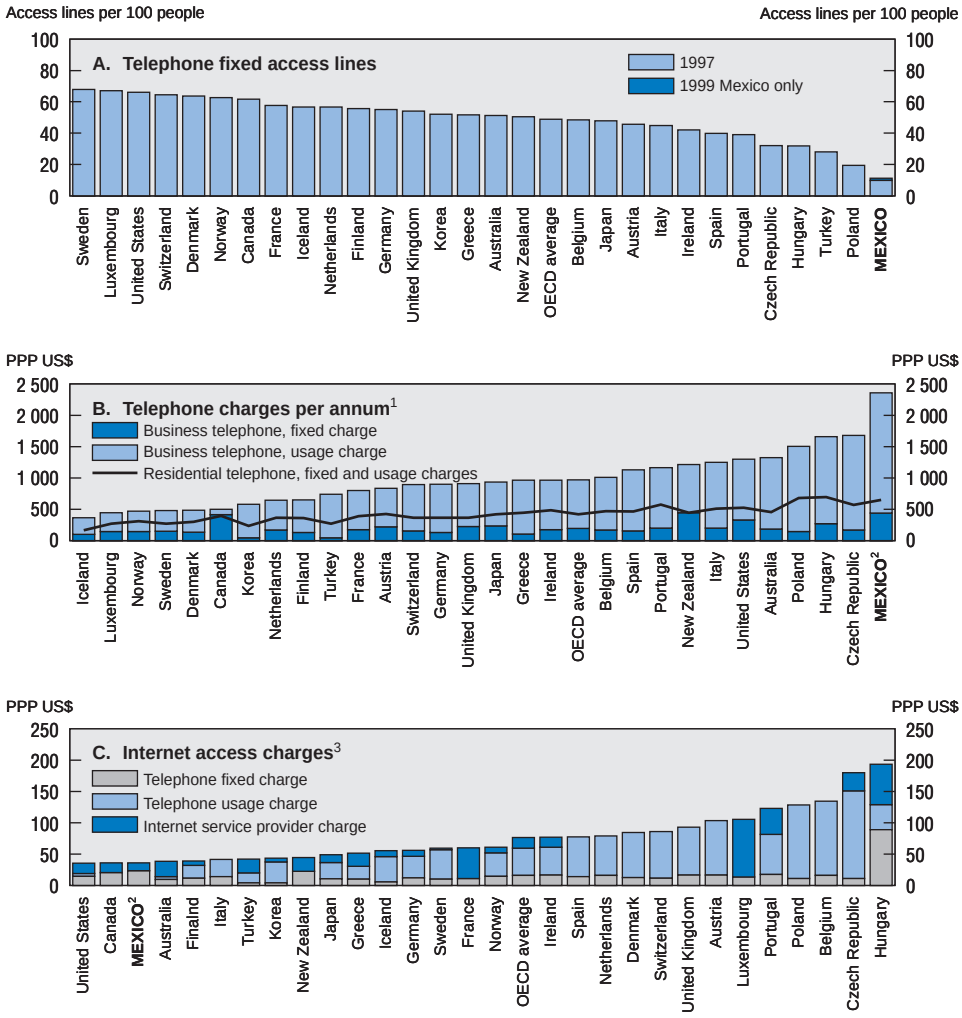
Figure 31. **Performance indicators in communications**

Per cent



1. Average annual spending expressed in US$ PPP. Business charges excluding tax; residential taxes including tax. The usage charge includes a basket of 3 449 calls. Information available in February 2000.
2. For Mexico, users receive 100 free local calls per month as part of the standard subscription; calculated in dollar terms, charges for residential use are close to the OECD average.
3. OECD Internet access basket for 40 hours at peak times (equivalent to 40 calls of one hour), including VAT, expressed in US$ PPP. Information available in February 2000.

Source: OECD, *Communications Outlook*; OECD, *Internet and Electronic Indicators*.

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competition, as new entrants have subsequently gained about 40 per cent of the wireless market. Competition has also increased gradually in the fixed-line segment since 1997, when the TELMEX exclusivity period expired, starting with long distance services, both international and domestic. In that year, the Mexican satellite system and its related orbital slots and control centres were privatised through a bidding process. New operators have gained over a third of the market, leading to lower prices. Progress in introducing competition into local markets has been more recent. The auctioning of bands for local services was completed in July 1998, and a significant number of new operators entered the market about one year later.

Despite this evident progress, the regulatory process has been hampered by legal disputes, among other factors, leading to an insufficient degree of competition. The independence of the sector-specific regulator, the *Comisión Federal de Telecomunicaciones* (Cofetel), and the transparency and accountability of its decisions, do not go as far as is desirable. Moreover, TELMEX's concession pre-dates the establishment of an antitrust authority and the specification of a regulatory framework.[104] Consequently, and despite significant new investment in the sector, network expansion has been insufficient and prices remain relatively high (Figure 31).[105] More recently, the FTL regulatory regime has begun to attract new competition and some promising decisions opening local calls to competition and lowering interconnection fees have been taken.[106] In addition, the Federal Competition Commission (CFC) has found that TELMEX enjoys a dominant position in five markets, including on local and interconnection services. This finding provides a basis for Cofetel to instigate procedures to impose additional obligations on TELMEX concerning pricing, quality of service and information disclosure. But to achieve the goals of universal service and higher levels of penetration, new market-based instruments should be introduced, including the establishment of a universal service fund which would subsidise network expansion. This fund should be explicit, transparent and neutral with respect to incumbents and new entrants.

Creating a favourable environment for business[107]

Moving towards a knowledge-based economy

The capacity to create, distribute and exploit knowledge and information is an important factor underlying economic growth and the improvement of standards of living, but despite some recent progress, Mexico's performance in terms of R&D and innovation systems is still lagging in the OECD area in this respect. This only partly reflects its low level of per capita income. Total R&D spending stood at less than 0.4 per cent of GDP in 1997, which is much below the OECD average. Mexico, with Turkey, also has the lowest proportion of persons employed in R&D activities. On the other hand, in common with Ireland, it is a country where

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the share of high (and medium-high-) technology goods in total exports is predominant – and growing quickly (Figure 32). Progress made in diversifying the export base towards higher technology goods reflects the strong role of foreign affiliates and international outsourcing (importing intermediate goods to re-export finished products), rather than the domestic R&D effort. Since the beginning of the 1990s, foreign direct investment (FDI) has played a major role in furthering the international integration of the Mexican economy and helping the diffusion of innovations. This channel has gained importance with the FDI boom resulting from NAFTA. A substantial part of FDI has corresponded to the acquisition or capacity widening of existing firms. But there has also been creation of new business enterprises. Foreign ownership of inventions was particularly high in Mexico in 1993-95 – as in other countries which are catching up – highlighting the heavy reliance on international technology flows. Since then, the internationalisation of Mexico in science and technology is likely to have increased further.[108]

Such research and development activity as is undertaken domestically relies heavily on the government, contrary to the situation in other OECD economies.[109] Moreover, while in other OECD countries, industry's share of financing has been rising, in Mexico it has remained very low. As a result, the R&D intensity of industry (business R&D spending in proportion of industry domestic product) is the lowest in the OECD area. Regardless of the origin of funding, R&D performed in the business enterprise sector is also the lowest, all these indicators suggesting that Mexico's competitiveness has relied on factors other than investment in knowledge. Innovation does not depend solely on how the various actors (firms, universities, research institutes) perform independently, but increasingly on how they co-operate. Firms have co-operation arrangements with university or government research institutes in many OECD countries; in Mexico the share of firms participating in such arrangements is relatively high, but such co-operation is mostly confined to larger firms. These firms, which have easier access to financing and can employ highly qualified labour, are leaders in innovation in Mexico as elsewhere, carrying out large-scale innovations, but also playing a significant role in co-ordinating smaller firms. Some medium-sized firms are also involved to some extent in innovation processes – about 40 per cent of business R&D is carried out in firms of less than 500 employees, the proportion falling to about 25 per cent for firms of less than 250 employees, which by Mexican standard are still rather large enterprises (in Mexico the vast majority of firms is made of small and micro-enterprises of less than ten employees). This has implications for public policies, since small enterprises typically face more problems than larger ones in accessing funds, markets and skilled labour.

Mexico's advance towards a knowledge based economy is hindered not only by the scarcity of financial and human resources, but also by structural biases. To foster investment in knowledge and strengthen Mexico's innovative capacity, the Mexican government has taken a number of initiatives. More financial

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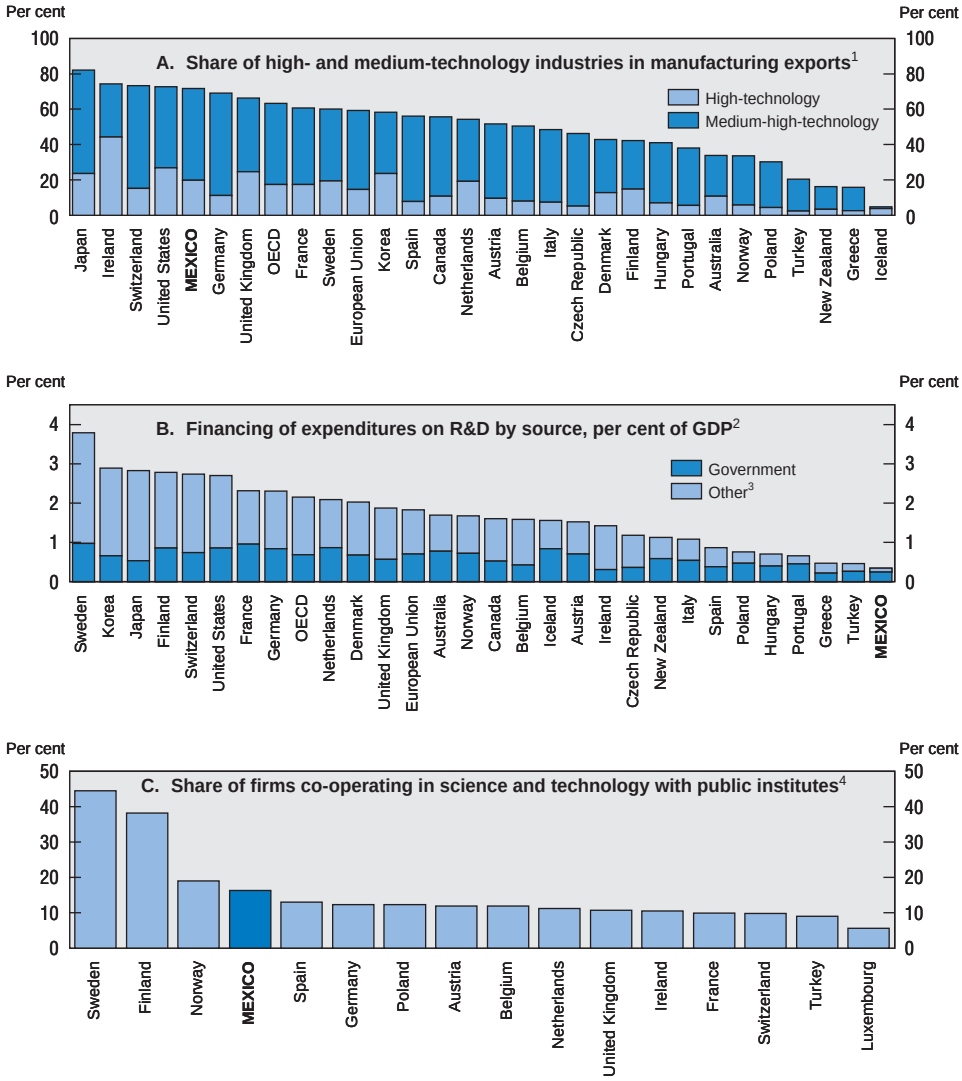
Figure 32. **Science and technology indicators**

Per cent



1. 1996.
2. 1997 or latest year available.
3. Business enterprise, other national sources and abroad.
4. University or government research institutions, 1994-96. Based on survey data; in the case of Mexico, the survey sample is biased towards larger firms.

Source: OECD, *Science, Technology and Industry Scoreboard.*

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autonomy has been granted to public research institutions, thus facilitating the development of research contracts with the business sector. The 1999 *Law to Enhance Scientific and Technological Research* provides for better co-ordination of government R&D activities and establishes mechanisms to enhance the diffusion of knowledge between public and private institutions; it includes new provisions for tax incentives for R&D investment by the private sector.[110] To the extent that they are transparent and non-discriminatory, measures to enhance the diffusion of technologies and introduction of new forms of business organisation, feed through to the quality of human resources, helping to accelerate the process of real income convergence.

Human capital development and other labour market issues

The 1997 OECD *Economic Survey* pointed to the further upgrading of skills and competencies as one of the most important labour-market challenges faced by Mexico in adapting to a competitive environment. As evidenced in the detailed review of labour markets published in that *Survey*, the country fares relatively well in respect of relatively low labour costs, a limited tax wedge and a high degree of real wage flexibility. There is also a significant degree of flexibility in the labour market. This does not, however, exclude the need to adjust the institutional settings of the labour market so as to further improve performance.

Human capital development: continuing to upgrade

To strengthen the potential for sustained output and employment growth, action has been taken to upgrade skills and competencies. Resources allocated to the education sector have reached a historical record, as a share of public spending, in relation to GDP, and per pupil. Considerable progress has been achieved in basic education in particular, where all quality indicators show an improvement. There has also been a significant increase in capacity at the intermediate education level, in the technological branch especially, to meet increasing demand at that level. This is an appropriate pattern of response, given the past weaknesses in technical and vocational education. The 1997 OECD *Review of national policies for education – Mexico* underlined the weaknesses in these branches and the relative over-emphasis on general academic programmes.[111] Overall, the education level of the workforce has increased significantly: the proportion of workers with secondary schooling or above has been recording the fastest growth in recent years; during the 1990s the number of workers with primary education or less fell to just below half of the labour force.[112]

Efforts to modernise the whole system and to increase the range of training services, both formal and on-the-job, are contributing to an upgrading of skills and competencies. The ministries involved – Education, for formal vocational training, and Labour, for on-the-job training and training of the unemployed –

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have increasingly co-ordinated their efforts, and the business sector is more closely involved in the design of training plans.[113] However, private training is not very developed. Initiatives are confined to the largest firms in the modern sector of the economy, while many smaller enterprises (and micro-enterprises, who are the most in need of upskilling) do not comply with legal training requirements. There are two major government programmes aimed at enhancing recruitment and promoting the adaptability of the workforce in smaller enterprises, one providing short-term grants and courses to the unemployed and displaced workers and another oriented towards micro, small and medium-sized enterprises, providing them with financial and technical training support.[114] A major step towards modernising the training system has been achieved with the development of a national system of standards and certification developed in co-ordination with the business sector. Five years after its launch, the project has started to be operational: norms and competencies have been defined and mechanisms have been established to certify skills for workers and vocational school-leavers, irrespective of how they have been acquired. Pilot projects have been introduced and an increasing number of trainees are now benefiting from courses based on the new norms. The existence of norms and certification is a key step towards enhancing the flexibility of the overall training system. To the extent that the competencies that are certified adequately reflect requirements of the productive sector, the new system will increase job mobility and contribute to a more efficient allocation of labour.

Moving towards "a new labour culture"

The social partners signed an agreement in 1996 defining principles of a "new labour culture". It underlines the need for enforcing flexibility of the labour market to adjust to rapid changes in the economy, but also stresses the responsibilities of employers towards the workforce, such as providing training opportunities. This agreement should provide the basis for a review of institutional arrangements and regulations in the labour market. The labour market has demonstrated its flexibility in coping with changes, and formal unemployment is low; at the same time, there is a large informal sector where legislation and regulations are difficult to enforce. Initiatives to deregulate the labour market and make the tax and transfer system more effective could help reduce some of the barriers that keep many activities in "informality". The tax wedge is not large in Mexico, compared with other OECD countries (Figure 33), but measures to further lower the cost of labour can give an incentive to job creation in the formal sector.[115] Moreover, institutional arrangements will need to continue to evolve: in a number of cases, formal regulations should be brought closer to actual practices. Some easing of job protection for permanent workers, in particular, can facilitate employment creation in the formal sector. It can be argued nonetheless that, since Mexico has no unemployment insurance, the existence of severance payments could be

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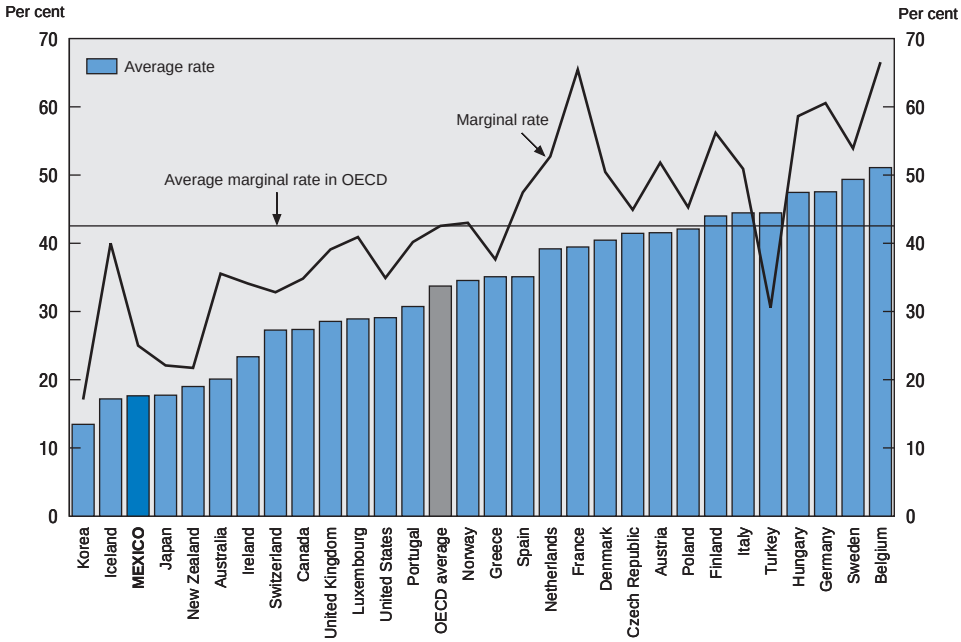
Figure 33. **Average and marginal tax wedges**[1]
1998



1. Refers to a single person receiving 67% of an average production worker's income. The average wedge is the sum of employees' and employers' social security contributions and personal income tax as a percentage of gross labour costs, *i.e.* gross wages plus employers' social security contributions. The marginal tax wedge is the increase in employees' and employers' social security contributions and personal income tax relative to the increase in gross wages.

Source: OECD.

considered as a substitute for unemployment benefits.[116] Other measures that enhance the flexibility of employment include the broadening of the scope for short-term contracts – which are recognised in the law for specific tasks and jobs of temporary nature – and allowing probationary periods for long-term contracts.

Addressing social safety net issues

A major reform of the social security system was achieved with the adoption of the IMSS Law in 1997.[117] IMSS is the largest social security institution, catering to insured workers in the formal sector. In parallel, the administration has launched a comprehensive, long-term reform of the health-care system. Some of the measures aimed at improving the health care and pension systems have implications for public spending. These have been discussed already in

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Chapter III; the paragraphs below focus on the other issues related to the social welfare system. Besides the improvements to the safety net resulting from the reforms of social security and health care, there are, as noted above (Chapter III), a number of initiatives that serve as a safety net for specific population groups: the Natural Disaster Fund (Fonden), PROGRESA, and the Temporary Employment Programme (PET).

Reforms in health care and social security

The 1998 OECD *Economic Survey* included a detailed review of the health care system, which highlighted the need for reform and identified the most promising lines of action. Although, a number of important structural changes have been made in the second half of the 1990s within each of the two major segments of the health system, the IMSS and the Ministry of Health (SSA), efforts have largely been confined to the existing fragmented framework. At the federal level, the SSA has focused its efforts on extending coverage and improving quality, while organising the devolution of spending responsibilities to states (see Chapter III). This process has been accompanied by improvements in the allocation of funds across states and the development of a set of health indicators that will enable the federal government to monitor results at the state level. Strategies have been designed to develop the autonomy of SSA hospitals, and modernise their budgeting and administration; but progress has been slow. The IMSS for its part has also decentralised its operations (into seven administrative regions) and has moved further ahead in modernising management and budgeting.[118] Changes in the financing of health insurance have increased general budget funding while lowering required contributions (employers' and employees'). This measure, by reducing payroll taxes, is expected to widen the coverage of IMSS services and induce a shift from the informal to the formal sector – as noted above.

Until recently, the health care system left a large segment of the population (10 million) with no access to health services. Moreover, there has been dissatisfaction with the quality of health services provided and a large recourse to private services, of uneven quality, by people from all income categories. Altogether, efforts to widen the coverage of health services have been broadly successful, and health outcomes are improving. However, progress has been uneven. The national system currently operating is made of parallel sub-systems, each catering to a specific population group, with a number of health insurance schemes on the one hand and the Ministry of Health facilities (SSA) for the uninsured population. The reform should seek to transform this segmented health care system into an integrated system organised by key functions – where the dual functions of SSA and IMSS as purchaser and provider of health services would be split. The transition can only be gradual and a step-by-step approach is clearly desirable. Although much preparatory work has already been done, there are areas where precise actions to be taken have yet to be defined. Table 18 provides a synopsis of measures taken and what remains to be done.

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Table 18. **Measures aimed at reforming the health care system**

Area	Action taken	OECD assessment/recommendations
Providing universal health services	– Delivery of a clearly-defined basic health package	– A major step has been accomplished: with access provided to the quasi totality of those without health coverage in 1994 (10 million)
	– Bonus introduced in doctors' (nurses') pay in less-developed areas	– Can improve equity across regions
Reforming health insurance financing (IMSS)	– Employers/employees contributions are reduced; while general budget funding is increased	– Can be effective in increasing the formal economy and extending health insurance
	– Voluntary affiliation scheme was created for families and self-employed	
	– Medium-term budget planning has been strengthened	– A key requirement to limit financial risks
Decentralisation of IMSS and SSA	– Decentralisation process is largely completed in both institutions	– It should promote more efficient use of resources
	– Formulae introduced for allocating resources to each state (SSA) or region (IMSS) based on population needs	– Can improve equity across regions and states
	– There is increased focus on results achieved at state levels, using health indicators	– Enhanced control
	– There is increased provision of basic health to uncovered population	– SSA shares responsibility with IMSS-*Solidaridad* in17 out of 30 states
Improving efficiency and the incentive structure	– Pilot programmes are in place allowing free choice of family doctor and introducing capitation component in earnings (IMSS)	– A step forward; the scope for implementation should be broadened
	– General practitioners' role as gatekeepers can be reinforced	– Proper incentives must be introduced to avoid "excessive"referral
	– The market for generic pharmaceuticals is expanding	– An appropriate step to reduce costs
	– IMSS is developing a system of Diagnostic Related Groups (DRGs) to measure costs	– Proceed with implementation in IMSS hospitals as planned

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Table 18. **Measures aimed at reforming the health care system** (*cont.*)

Area	Action taken	OECD assessment/recommendations
Moving away from the segmented system in place (with parallel sub-systems)	– Separating provider from purchaser functions is under study and IMSS is preparing the ground – Private providers are already operating without regulations – IMSS co-operation with alternative suppliers including private ones is under consideration – Increasing the autonomy of hospitals and budget transparency – Strengthening the regulatory and supervisory role of SSA	– Required to allow purchasing of services from one institution to another – A pertinent regulatory and supervisory framework is required – This move is desirable provided that appropriate regulations reduce moral hazard risks to protect IMSS from undue financial risk – Progress has been made in IMSS and in several hospital units in the SSA sub-system – Progress has been made in supervising states' results; but more should be done in general

Source: OECD.

Pension reform

The pension reform is the second major plank of the IMSS reform. By creating a compulsory fully-funded capitalisation system, the reform has addressed potential problems of financial viability over the longer-run; and by making pension rights fully portable for affiliated workers in the private sector, it has strengthened the links between workers' contributions and benefits, thereby increasing the attractiveness of formal activity and full income declaration.[119] The new system, which has been applied since mid-1997, operates with individual pension accounts, managed by private fund managers (AFORES) who invest the retirement savings through specialised pension funds (SIEFORES), subject to regulation and supervision by the National Commission for the Retirement Savings System (CONSAR). Increased transparency and competition are expected to deliver efficiency gains in the management of funds. Workers can make voluntary deposits on their accounts in addition to the tripartite contributions (Table 19), an option which in the longer run may foster private saving. However, the extent to which compulsory savings will increase total private savings rather than substitute for other forms of savings is uncertain. The principal short-run impact has been a shift from public to private saving, as the government pays the cost of transition from a pay-as-you-go to a capitalisation system.[120]

By December 1999, the fund managers, AFORES, had 15.6 million workers registered; resources deposited in individual accounts amounted to US$19.5 billion,

Table 19. **Main features of the new private sector pension scheme**
Contributions to the IMSS pension scheme and disability insurance

	Premium (per cent of wage)	Cap (multiple of the minimum wage)	Financing
1. Disability and life insurance	2.5	15-25[1]	Tripartite[2]
2. Retirees' medical care	1.5	15-25[1]	Tripartite[2]
3. Retirement and old-age severance	4.5	15-25[1]	Tripartite[2]
4. Government's contribution	529 pesos[3]	..	Government
5. Retirement saving (SAR)	2.0	15-25[1]	Employer
6. INFONAVIT (housing scheme)	5.0	10	Employer
7. Voluntary contributions	..	..	Employee or employer

Note: Contributions to the retirement account, both compulsory (lines 3 and 4) and voluntary (line 7) are invested by private fund managers (AFORES), through specialised funds (SIEFOREs); the contributions to the public housing scheme, INFONAFIT, are registered in separate accounts and continue to be managed by INFONAVIT. Funds transferred from previous SAR accounts (line 5) are split between the two accounts.

1. Rising from 15 minimum wages in 1997 to 25 minimum wages in 2007.
2. Employer 70 per cent, worker 25 per cent and government 5 per cent.
3. At 1997 constant prices, annual amount equivalent to 5.5 per cent of the minimum wage in the Federal district, indexed to this minimum wage.

Source: OECD.

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equivalent to 4 per cent of GDP. Of this amount a little more than half corresponded to retirement savings and was invested in financial markets through specialised pension funds (SIEFORES). This has contributed to the deepening of financial markets, with SIEFORES holding about 38 per cent of long-term financial instruments. The regulatory regime has been set up with the objective of ensuring an adequate rate of return with a limited risk. For the first years, AFOREs have been allowed to manage only one mutual fund, which helped give more certainty and security to workers.[121] The average real rate of return of SIEFORES investments over the past three years has been 9.7 per cent per year, which compares favourably with alternative investments, and administrative costs have been relatively low.[122] The possibility of giving more flexibility to the investment regime, with the creation of a second-tier fund to diversify investment options, is now being considered. While the overall implementation of the pension system for the private sector is progressing satisfactorily, the reform needs of the social security institutions applying to public sector employees remain to be addressed.

Tax reform

While the low tax wedge has advantages from a labour-market viewpoint, the analysis of public spending in Chapter III makes a strong case for increasing the tax take in order to finance expenditure with high marginal economic and social benefits, particularly in the areas of human capital and health care. Any increase should be limited, so as to preserve a small-sized government and a low tax burden, focusing on adjustments to the tax system which would strengthen the revenue-raising capacity of the government without having adverse effects on efficiency. An increase in tax revenue of some 3 percentage points of GDP would seem to be a reasonable benchmark for Mexico in the medium term. No progress has been made in the desired direction since the 1999 *Economic Survey*, which made specific proposals in this respect, although steps have been taken to increase the neutrality and equity of the tax system. The corporate income tax rate for retained earnings was reduced – to 30 per cent, compared with 34 per cent in 1998 – while the rate for dividends was increased to 35 per cent. The likely net impact on revenue of these changes will depend on the effect of the other measures taken in the corporate tax regime, namely: *i*) the elimination of the immediate deduction for investment; and *ii*) the tightening of consolidation rules.[123] At the same time, revenue and distributional considerations prompted increases in the top statutory rates of personal income tax.[124]

An area where action would clearly be appropriate is the existence of numerous preferential regimes pertaining to the taxation of consumption, individual income and corporate income. For instance, under the VAT regime, extensive zero-rating of goods and exemptions for entire sectors make for a very narrow base. If zero rating needs to be retained for the reform to be politically acceptable,

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Box 7. Recommendations for further structural reform

Making product markets more competitive*

- *Petrochemicals*. Pursue efforts to privatise PEMEX's petrochemicals division, including perhaps through the sale of majority stakes in existing plants. Consider extending the liberalisation process to all petrochemical products.
- *Electricity sector*. Reform proposals presented to Congress in February 1999 should be approved. Barring that, CFE reorganisation should be stepped up and independent generators should be allowed to sell electricity to third parties.
- *Airlines*. Resolve pending regulatory and industrial organisation issues that have delayed the privatisation of CINTRA airlines. Splitting CINTRA before privatisation may be preferable on competition grounds. Ensure that slot allocation systems are transparent.
- *Telecommunications*. Impose additional regulations on the incumbent to achieve a "level playing field". Use market-based mechanisms to ensure universal access.

Completing the financial sector reform

- Consider a faster pay-down of *rescue-related debt of* IPAB (the Institute for Bank Deposit Insurance, which administers the financial support programmes) the use of revenue windfalls could be used for this purpose.
- Step-up the restructuring of IPAB's *liabilities*, *via* issue of tradeable bonds.

Enhancing labour-market capacity to adapt

- Continue to invest in *human capital*, strengthening vocational/technical education in particular and fully implementing the newly-developed system of skills standardisation and certification.
- Ease *employment protection provisions* and broaden the scope for using short-term contracts to help reduce barriers to job creation in the formal sector, especially by SMEs.
- Allow probationary periods so as to facilitate job creation through *long-term contracts*.

Addressing social safety net needs

- Continue efforts to provide *universal health coverage* (including targeted programmes for poverty alleviation (chapter III)).
- PROGRESA, *the integral programme to fight extreme poverty*, should be extended to urban areas, after adjustments to maintain work incentives.

* A chronology of the liberalisation process in the service sectors is presented in Table 17.

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Box 7. **Recommendations for further structural reform** (*cont.*)

- Prepare the ground for reorganising the overall *health system* (see Table 18).
- Advance in the reform of the *public sector retirement funds*.

Strengthening tax revenue

- Widen the tax base under the VAT *regime*: eliminate exemptions for land transportation, agriculture and fishing; limit zero-rated goods to a few basic staples; compensate low-income groups by direct transfers;
- Under the *corporate tax regime*, abolish the simplified taxation regime for land transportation and the special rate for agriculture, publishing, etc.; further tighten consolidation rules;
- *Widen the personal income tax base*: tax fringe benefits and eliminate the fiscal subsidy;
- *Widen the tax base for local governments*: regarding property taxes, in particular, increase real estate taxes, primarily by encouraging local governments to revise valuation of assets and enhance collection effort; introduce inheritance and gift taxes above a minimum amount.
- *Tax administration* and control should be strengthened at the federal and local levels; in combination with the elimination of special regimes, this would help eliminate tax evasion through the informal sector by firms established in the formal sector.

then its application should be concentrated on a small basket of basic staples (such as milk, bread, *tortilla* and eggs). Some compensation could then be provided through direct transfers to low-income families, which would be a more efficient mechanism for redistribution of income.[125] In any case, there is scope to raise tax revenue while reducing the dead-weight welfare losses which arise from discriminatory tax rates. In addition, the revenue-raising capacity of local governments must be strengthened in order to reduce their dependency on federal transfers. In order to fully achieve the revenue potential of such measures over the medium term, they should be complemented with actions aimed at strengthening tax administration and compliance. At the same time, the substantial degree of neutrality of the tax system achieved over past years should be preserved.

Summing up, Mexico needs to move ahead in a number of areas with a view to deepening the reform process: Box 7 presents a summary of OECD policy recommendations for structural reform. Specific recommendations pertaining to public spending and administration are included in Box 5 of the previous chapter, while a review of measures taken and options for further reform in the health care sector are shown in Table 18.

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Notes

1. Developments reviewed in the following paragraphs refer to national accounts data at constant 1993 prices; quarterly series have been seasonally adjusted by the OECD. Unless otherwise stated the discussion focuses on changes from one half year to the next (at annual rates).
2. Direct information on household appropriation accounts and savings are not available; indirect information is, however, available from data collected by the social security institute for the private sector (IMSS), which show both employment and real wage rates in the formal sector of the economy increasing in 1999. The figures are Banco de México estimates.
3. During the earlier phase of the recovery, non-durables, which include food, clothing and other necessities, were growing at a much slower rate than durables, which make up 10 per cent of private consumption and are highly concentrated in higher income categories. Sales of durable goods boomed in 1997 and most of 1998, but were affected by uncertainties prevailing in the latter part of 1998 and into 1999.
4. One of the factors contributing to the rise in the private saving ratio in the wake of the 1995 crisis could have been the shift in the composition of household income from lower to higher income categories: in Mexico, household saving is concentrated in the top income categories (deciles 8 to 10). As disposable income recovers and spreads to a broader base a fall in the saving ratio would normally be expected. (Table 3 below shows developments of aggregate private domestic saving from 1994 to 1999, based on estimates).
5. Public investment was cut in 1998, in response to the decline in world oil prices and consequential fall in budget revenue. It fell again in the first half of 1999; the development projects undertaken by private contractors for state-owned PEMEX (the oil company) and CFE (the main electricity company) are recorded as private investment in national accounts (cf. Annex Box A4 below about these so-called "PIDIREGAS" schemes). Based on budget data, public sector investment, which is financed by the public sector itself, has been declining since 1997, and only a small upturn is projected for 2000. However, including public sector projects financed by the private sector (PIDIREGAS), total public investment was 20 per cent higher in 1999 than two years earlier (at constant prices).
6. In particular, large enterprises and exporters which have easier access to bank credit, both domestic and foreign, have been financing their suppliers. According to a survey conducted by the central bank with a sample of enterprises of various sizes across the country, nearly half the enterprises were financed through suppliers' credit in 1999, particularly small and medium size enterprises. The reasons for not using bank credit were, by order of importance, *i*) the level of interest rates, *ii*) the reluctance of banks to

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engage in credit operations, *iii*) uncertainties related to the economic situation, although the last factor became less important after the first quarter of 1999.

7. The discussion of recent labour market trends is based on the Urban Employment Survey, which is the only high-frequency (monthly) survey available to track employment and labour force trends; the social security registers provide complementary information regarding the formal segment of the labour market. The level of the official unemployment rate in urban areas does not provide an accurate measure of the degree of under utilisation of labour. In the absence of unemployment insurance, the majority of the working-age population needs to undertake some type of work when a job in the formal labour market is not available. There are broader measures of unemployment which also include part-time workers and part-time employees; they have been declining in parallel to open unemployment.

8. While gasoline and electricity prices increased as programmed, liquid petroleum gas (LPG) increased by almost twice as much, in line with world prices. Contrary to other oil-related products, in Mexico, LPG has a significant import content.

9. The gap between *maquiladoras* and non-*maquiladoras* results in part from the specificity of jobs in in-bond industries – traditionally less skilled, mostly female and subject to a higher turnover.

10. Effective exchange rates (nominal and real) are calculated by the OECD, based on trade weights for 40 countries.

11. Because of trade liberalisation, it is difficult to reach definitive conclusions regarding changes in price and income elasticities of trade over the last fifteen years. Econometric estimates point to differences in responsiveness of various manufacturing sectors to foreign demand and real exchange rate movements, starting in the mid-1980s: *maquiladora* exports appear to be much more sensitive to growth in the United States than non-*maquiladora* exports, but less sensitive to real exchange rate movements (Ministry of Finance estimates).

12. About 90 per cent of Mexican exports go to its NAFTA partners (1.5 per cent only going to Canada). The predominance of trade with the United States is also visible on the import side, where three-quarters of Mexican imports originate from NAFTA countries, Canada again accounting for less than 2 per cent.

13. Another example of trade integration is in the textiles sector. Cotton from the United States enters Mexico for processing, returns to the United States as fabric, comes back to Mexico as parts for garment assembly, and is re-exported to the United States as a finished product.

14. Less than 25 per cent of all goods imported by Mexico are from countries with which it has no trade agreement, so a tariff surcharge is likely to have induced a "diversion" effect rather than reduce imports in any significant way.

15. Developments reviewed here refer to the capital account based on the latest IMF methodology for balance-of-payments accounting, as reported by the Bank of Mexico.

16. Net domestic credit is defined as the monetary base less net international assets. From 1996, to reinforce the framework in view of unforeseen developments affecting net international assets, and to further guarantee that the central bank did not deliberately generate inflationary pressures, quarterly limits to domestic credit variation have been incorporated into the programme.

17. According to the bank, structural factors may also have played a role in increasing demand for base money. These included the increased issuing of higher-denomination

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(500-peso) bills and changes in consumer preferences leading to a movement from checks towards cash balances. This may have been in part related to efforts by some banks to close low-balance checking accounts, as well as to earlier-than-expected political activity associated with the primary elections for selecting presidential candidates. Normally, bank deposits are transformed into cash in election years, as campaign spending is usually cash-intensive.

18. Net international reserves are defined as gross international reserves *minus* external liabilities of Banco de México with maturities under six months, while net international assets are defined as gross international reserves *plus* credit agreements with central banks with maturity of more than six months, *minus* liabilities with the IMF and those from credit agreements with other central banks with maturity of less than six months. Net international assets have been rising faster than reserves in large part due to the fact that the bank has repaid some longer-term foreign liabilities, such as IMF loans. See Box 1 for a description of the various mechanisms through which the central bank participates in the foreign currency markets.

19. As in 1999, the commitment in 2000 is not to reduce net international reserves.

20. The private sector social security reform in 1997 included changes to IMSS health insurance financing, as well as a move from a pay-as-you-go pension system to a fully-funded capitalisation system. Its implementation has been putting pressure on budget balances through three main channels: a reduction on IMSS health contributions; lower revenues from pension contributions now channelled to private fund managers, and higher expenditures to fill the gap between accumulated individual savings and pension rights for workers choosing the old system.

21. Although general government balances are not directly affected by decentralisation, it has an incidence on the public accounts discussed in this section, since these refer only to the public sector, which includes the federal government and public enterprises under budget control (Annex Table A1). Consolidated accounts including state and local governments are available for the period 1993-97 only.

22. At the end of 1999, IPAB estimated its assets at about 3.7 per cent of GDP, leaving net liabilities of about 10.7 per cent of GDP.

23. PEMEX contributions to the federal government budget (excluding VAT and excises) have accounted for between 15 and 25 per cent of federal government revenues in recent years.

24. The average price of the Mexican oil export mix reached 15.62 US dollars in 1999, way above the 9.25 US dollars assumed in the budget. Export volumes were reduced in the context of an agreement with other oil exporters to restrict supply. Exchange rate appreciation also mitigated the effects of higher oil prices for budgetary purposes by lowering the peso value of oil exports. Budgetary revenues from the sale of oil products in the domestic market were also lower than expected.

25. The top marginal rate for personal income tax was raised, as were import tariffs. The lowering of corporate income tax rates on retained earnings was approved in the budget for 1999, taking effect in two steps: the rate was brought down from 34 per cent in 1998 to 32 per cent in 1999 and 30 per cent in 2000. The rate for dividends was increased from 34 to 35 per cent in 1999.

26. The exchange rate was projected to reach an average of 10.4 pesos to the US dollar, which would represent a nominal depreciation of about 8 per cent from the average in 1999.

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27. Windfall provisions are negotiated with every budget. The 2000 budget was the first that included a stabilisation fund. In 1998 and 1999, windfall revenues above a certain level were automatically used for debt redemption. See Box 2 in Chapter III for a description of windfall and shortfall provisions in the budget.
28. The lowering of corporate income tax rates applied only to retained earnings, while the rate for dividends was actually increased in 1999. At the same time, the immediate deduction scheme for investment outside the three major metropolitan areas, as well as for small and medium-sized firms, was abolished and consolidation rules were tightened (see Chapter IV). The complexity of the set of corporate tax changes and their uncertain impact on evasion and avoidance make it difficult to estimate their impact on revenues. The net impact on revenues in 2000 is estimated to be negative (by about 0.13 of GDP).
29. These have gradually replaced both external debt and shorter maturity domestic debt, especially one and three-month fixed-rate notes (*Cetes*).
30. Until then, the longest-term fixed-rate peso-dominated paper was for one year. In February 2000, the World Bank issued a similar 3-year fixed-term bond for 1 billion pesos. The almost concomitant issue by the Treasury and the World Bank is expected to help increase liquidity for this type of instrument, serving as benchmark for the private sector and encouraging longer-term fixed-rate corporate lending in pesos.
31. In the past few years, the authorities have favoured the replacement of maturing non-market debt by longer-term market loans, including by swapping them for placements in international financial markets. In August and October 1999, two swap operations involving the retirement of Brady bonds led to an overall net debt reduction of over 200 million US dollars, while improving the maturity profile of external public debt and increasing liquidity – as the collateral on Brady bonds were freed.
32. Obligations for 400 million euros and 30 billion yen were issued in July and November 1999, respectively.
33. The 1999 *Economic Survey* presented a detailed review of Mexico's tax system and proposals for reform. Chapter IV reviews recent progress in this area
34. International comparisons as a rule are based on general government accounts, compiled on a national-accounts basis (including state and municipal governments), which are available over the period 1988-97. Because of the limited data availability, longer-term trends are based on the public sector accounts presented in the budget for Mexico, which cover the federal government and public enterprises under budgetary control (see Annex, *Table* A1 on the "Structure of the Public Sector"). Federal government spending is often used instead of that of general government, but this does not have a very significant impact on the outcome because the states have very little power to tax and derive the bulk of their revenue from federal government transfers.
35. Outside the OECD area, in other Latin American countries with a level of development comparable to that of Mexico, the share of capital outlays in total spending is typically higher than in the industrialised economies (IDB, 1997).
36. In the case of Mexico, the functional classification of government spending is available only for final consumption expenditure. So the comparison among countries in the text (as in *Figure* 19) refers to this sub-component only, not taking account of other types of spending, such as investment and transfers.
37. Federal government spending has also been affected (since the early 1990s) by the progressive devolution of responsibilities to sub-national levels of government (states and municipalities). But the process has affected the composition of federal spending

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rather than its level, since the federal government is the main source of financing of sub-national levels of government, funds being channelled as federal transfers. The decentralisation process (fiscal federalism) and related policy issues are reviewed in a section below.

38. The budgetary cost of the financial sector bail-out was estimated at 20 per cent of GDP in 1999 – an assessment that is subject to revision. Appropriations to pay down the real component of debt service are provided in each year's budget (for more details see Chapter IV).

39. E. Jimenez (1994) notes that during the periods of adjustment, between 1979 and 1989, the governments of a number of developing countries had a tendency to maintain spending on social services (at least in relative terms), with infrastructure suffering the bulk of the cuts. These funding constraints may have affected sectors in which there had been excess capacity; in some other cases, infrastructure outlays may be carried out by the private sector; but the risk of jeopardising long-term growth potential cannot be excluded. Cf. E. Jimenez (1994), "Human and physical infrastructure", World Bank, *Policy Research Working Paper*, No. 1281, April. In Mexico, to reduce the volatility of infrastructure spending, a trust fund was created at the end of 1997, with part of privatisation revenue (FINTRA). Its first objective was to finance road infrastructure. In 1998, its focus shifted to financing development of the South-East regions and the fund's name was changed to FIDES.

40. On a national-accounts basis, government subsidies were trimmed to 0.5 per cent of GDP in 1997 – a proportion comparable to that of the United States; at the same time, in a number of European countries they represented 1.5 to 2 per cent of GDP (4.7 per cent in Sweden).

41. The programme for direct support to farmers, PROCAMPO, was established in 1993-94, as a result of NAFTA. It provides income support to producers, in proportion to cultivated areas and is largely concentrated on smaller-size production units. Spending on rural development has decreased mainly as a result of the reduction in credit subsidies; but resources channelled to poverty alleviation in rural areas increased considerably between 1994 and 1999.

42. CONASUPO, the public enterprise that had purchased, sold and distributed maize, was shut down in 1999. General subsidies for tortilla prices in urban areas were eliminated. However, the federal government continues to provide support for the marketing of maize (a subsidy paid to producers), and a number of special programmes targeted at families in extreme poverty in urban areas have been maintained: programmes subsidising the acquisition of tortillas and for the distribution of milk.

43. In urban areas, low-income groups are expected to benefit from broader-based social policies, which have been strengthened, notably through a better access to basic education and health care and improvements stemming from the new social security law in effect since mid-1997. These groups can also have access to training programmes; and, with regard to workers in the formal sector, the income tax system performs some redistribution *via* tax credits, introduced in 1994 and expanded in 1996.

44. These estimates refer to implicit subsidies benefiting residential consumers, as a result of the tariff structure in force in 1999. In addition consumers from rural areas reap benefits from electricity subsidies amounting to some 0.1 per cent of GDP (Ministry of Finance, *Presupuesto de Egresos*, November 1999).

45. With regard to the residential use of electricity, official estimates show that families from the lowest three income deciles capture only 23 per cent of the total implicit sub-

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sidy, while the highest three deciles together receive 33 per cent of the value of the subsidy.

46. It should be noted that half of the persons working in rural areas do not own their land, and that among landowners, nearly 46 per cent produce for their own consumption. As a result, only a small minority of consumers benefit from subsidies (direct or indirect) to the sector, whereas it is in rural areas that the poor population is concentrated.

47. Water, sewage and waste water treatment ("social supply" in the Mexican terminology) is a component of urban development. Public investment in rural and urban development has been falling over the years. Details of public investment by sector are shown in *Annex Table* A3. In the year 2000, gross investment by the federal government is expected to increase by 0.3 percentage points of GDP, to reach the highest ratio in a decade.

48. The financial and administrative issues raised by the various contracting out mechanisms for public investment are examined in a section below. The proposed reform of the electricity sector is discussed in Chapter IV.

49. The example of the Chiapas upheaval in January 1994, to the extent that it stemmed from social inequities and contributed to the capital outflows during that year, illustrates the high costs of social unrest for a country, such as Mexico, that is vulnerable to turnarounds in investors confidence.

50. Based on OECD, *The Growth Literature Review* (*forthcoming*).

51. S. Cid has highlighted the complementarity between public investment and private sector growth in Mexico: the crowding-out effect seems mainly short term, but after six to seven years, a significant positive relationship emerges between infrastructure investment (road, airports and drinking water supply) and private sector GDP growth. A similar positive effect was noted by Nazmi and Ramirez (1997) for Mexico and by Jimenez (1994) for several Latin American countries. Feltenstein and Ha (IMF, 1996), using a general equilibrium model, concluded that an increase in real spending on public infrastructure has a positive effect on growth in Mexico; however the increase in spending should remain modest and should preferably be financed by raising tax revenue, so as to limit the negative impact that too high a rise in real interest rates would otherwise have. See S. Cid (1999), "Los efectós de la inversión pública sobre la producción privada en México", No. 8, ITAM, and A. Feltenstein and Jiming Ha (1996), "An analysis of the optimal provision of public infrastructure: a computational model using Mexican data", IMF *Working Paper* 96/13, February.

52. The number of pupils in primary education (6-11 year-olds) was virtually stable between 1996 and 1999, at 13 million, whereas the number of pupils rose by 3 per cent a year in the 12-15 year-old age group, and by 6 per cent a year in the 15-18 year-old age group. Official estimates (made in accordance with the OECD) suggest that on the basis of current costs in Mexico, it would be necessary to spend each year an additional 1.4 per cent of GDP to attain school attendance ratios comparable with the OECD average for compulsory schooling.

53. There is no unemployment insurance system in Mexico. As a partial substitute the government has developed temporary employment programmes in the rural areas. Moreover, training scholarships for urban workers were used to some degree in the aftermath of the 1994-95 peso crisis to provide an emergency safety net to those who had lost their jobs. Since then, the scale of these training programmes was expanded and they have become more focused on their original purpose, which is to facilitate workers' insertion in productive activity. There are public employment services (PES)

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but in the absence of unemployment insurance, job-seekers do not necessarily pass through them. The main role of the PES is to provide information tojob seekers. To allow them to perform this role effectively, PES activities need to be developed, and in particular co-ordination between regional agencies, and co-ordination between the PES and training programmes, need to be strengthened.

54. The reforms of the health system and social security pension scheme were examined in detail in the 1998 *Economic Survey*. The section here touches mainly upon the implications of measures taken for public spending and the outlook for the future. A more complete picture of progress made in the reform of the health sector is given in Chapter IV.

55. Federal spending on health increased by 14.6 per cent overall in the period 1994-2000, with the uninsured population benefiting from the greatest increases. A programme was introduced to extend first-level health coverage to all the population, especially in rural areas. Though combined actions at both federal and state levels, in 2000, the public health system covered 17.4 million persons more than in 1994.

56. Employers and employees' contributions have been lowered, with the full effect of the adjustment coming through in 2007, while the share of federal government funding to the scheme has been raised. The 1998 OECD *Economic Survey*, contains a detailed analysis of the IMSS reform (cf. Boxes 2 and 6 in particular).

57. The estimates were published in the National Development Financing Programme (PRONAFIDE, 1997). The implementation of the new pension scheme was examined in successive OECD *Economic Surveys of Mexico* from 1997.

58. The impact of public expenditure, and recommended policy adjustments, are discussed in particular in D. van de Walle (1995) "Public spending and the poor", (World Bank, *Policy Research Paper*, No. 1476). Also see IDB (1998), *Annual report*.

59. In addition, in the most remote regions, transport costs increase the cost of access to basic public services, such as education and health.

60. The scale of the school breakfast programme doubled its coverage between 1994 and 2000, expanding from 2.1 to 4.6 million children daily when considering federal and state resources channelled to it.

61. Other important features are the fact that: first, the responsibility of beneficiaries is involved, since benefits are conditional on families complying with school attendance obligations and medical visits; second, the recipient of the monetary transfer is the mother. *Annex* II provides more details on PROGRESA, reviewing its main features and achievements.

62. See Federal Executive Power, 1995, "Programme for the Modernisation of Public Administration".

63. "Concentration" and "deconcentration" refer more specifically to the relation between central budgetary institutions, such as the Ministry of Finance, on one hand and line ministries and independent agencies on the other. "Centralisation" and "decentralisation" generally refer to the relation between the federal government and sub-national levels of government (states and municipalities).

64. The reform strategy has been conceived to span over a decade, with the first phase, laying the basis for the modernisation process, ending with the present administration in 2000. The second phase, from 2001 to 2005, has been conceived as to improve and consolidate processes, with the third phase, starting in 2006 and open-ended, leading

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to the strengthening of institutions. For more details of the different programmes in the Budget Reform System, including their degree of implementation, see *Annex* III.

65. The macroeconomic projections underlying the budget are also the exclusive responsibility of the Executive, including that for oil revenue, which normally accounts for over a quarter of total fiscal revenues. These projections have generally been realistic, and may even have tended to err on the side of caution: in recent years, the need for budget revisions has derived mostly from unforeseen circumstances.

66. Another budget entity is the Inter-secretarial Commission of Financing and Expenditure, which plays a consultative role in the drafting process by providing a forum for the setting of overall budget priorities. The Commission is composed of the Ministry of Finance, the Ministry of the Comptroller-General and Administrative Development (SECODAM), the Ministry of Trade and Industrial Development (SECOFI), the Ministry for Labour and Social Security (STPS) and the Ministry of Social Development (SEDESOL).

67. See von Hagen and Hallerberg (1997), "Electoral Institutions and the Budget Process", in *Democracy, decentralisation and deficits in Latin America*, 8th Forum on Latin American Perspectives, IBD/OECD.

68. The regulation for the execution of public expenditure (contained in the Handbook of Budget Rules) has been considerably streamlined. By 2000, rules had been reduced by almost two-thirds relative to the situation in 1997.

69. Internal audit units are empowered to determine the opportunity and scope of audits, and enjoy operational flexibility to design their programmes according to the characteristics of the line ministry or agency of their responsibility. An annual audit and control programme with monthly or quarterly interim reporting requirements is generally prepared for each of ministry or agency. The Ministry of Finance retains some residual responsibility for ensuring that the budget exercise proceeds as planned and deviations are detected and corrected in time.

70. For instance, the "secret expenditures" component of appropriations, which was at the complete discretion of the Presidency and outside the control of auditing authorities, reached a peak of over 0.1 per cent of GDP in 1993, but was gradually reduced thereafter and was eliminated in the 2000 budget. This component, known as the "*Erogaciones contingentes*", was included in the budget appropriation line 23 ("*Ramo* 23"). It was considerably reduced from 1.5 billion pesos in 1993 (0.1% of GDP) to a residual 50 million pesos in 1998 and 1999 (but funds were not spent), before being entirely eliminated in 2000.

71. See *Annex* IV for more details of Mexico's performance evaluation systems for public employees.

72. Besides salaries, most Mexican public servants draw significant fringe benefits. These account for 25 per cent of total payroll expenditures in basic salary of the federal government, a level considerably higher than in most other OECD countries.

73. This includes the foreign service within the Ministry of Foreign Relations, the teaching career within the Ministry of Education, the Electoral Commission, the Central Bank, the National Institute of Statistics and Geography, the Agrarian Professional Service, the Revenue Professional Service (SAT) and the Metrology Professional Service.

74. A discharged public servant is entitled to an indemnity equivalent to three months of salary per every year worked. "Unionised" workers are hired directly by the human resource department of each ministry or agency or appointed by the Public Sector Workers' Trade Union. According to the Federal law applying to Public sector employ-

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ees ("*Ley Federal de Trabajadores al Servicio del Estado*"), half of all entry-level vacancies are filled by candidates fielded by the Union. Union by-laws establish rules for the selection of candidates, with family members of public sector employees sometimes being granted preferential treatment

75. Excluding special categories of public sector workers such as teachers, medical personnel and the military. These enjoy a special status and account, respectively, for 64, 7 and 13 per cent of general government employment.

76. A new saving fund, however, was created in 1998, into which the federal government contributes the same amount that employees save – up to 10 per cent of their salary. This fund serves as a partial substitute for indemnities.

77. *Annex* V provides a more detailed discussion of the use of market-based mechanisms for public spending.

78. The total value of public works tenders amount to several billion dollars annually. In the 1996-97 period, tenders by PEMEX and CFE, the oil and electricity companies, averaged US$2 billion a year.

79. The Mexican administration outlined its reform strategy for fiscal decentralisation in the "Programme for a New Federalism 1995-2000", published in 1997. Conceptual issues related to fiscal federalism were discussed in the 1995 *Economic Survey of Mexico* (Annex 3), including a comparison of practices in various OECD countries. Fiscal federalism issues are also discussed in IDB, *Annual Report*, 1994; IDB, 1997, *Mexico: finanzas subnacionales*; A. Casella, 1999, NBER *Working Paper No.* 7278; T. Ter-Minassien, 1997, "Intergovernmental fiscal relations in a macroeconomic perspective: an overview", in *Intergovernmental fiscal relations*.

80. IDB/OECD Development Centre (1997), "Democracy, decentralisation and deficits in Latin America – Fiscal decentralisation and macroeconomic stability."

81. The total amount of federal contributions under that scheme is included each year in the federal budget of expenditure (appropriation line 33); and clear rules have been established to allocate resources to each state and to the federal district for each of the seven specific funds. For instance, in the case of education and health services, which account for more than three-quarters of the resources transferred to states for a specific use, the allocation is mainly based on the cost of services provided. The distribution formulas between states and municipalities take into account population size and various indicators of poverty and needs.

82. The degree of autonomy of sub-national levels of government remains limited with regard to recruitment and salary adjustments (e.g. in education and health care); but their leeway is getting somewhat wider. For instance, there is now the possibility to introduce pay incentives at state level, and geographic bonuses.

83. Up to 1998 the federal government operated, through the Ministry of Finance, a programme transferring resources to state governments, primarily for amortisation of their debt. As a consequence, the share of states' spending in servicing debt was reduced – from 7.9 cents of every peso they spent in 1995 to 2 cents in 1999. This reduction has helped to enforce a hard budget constraint on states and reduce risks of moral hazard.

84. See Chapter III in the 1999, OECD *Economic Survey of Mexico* for a detailed discussion on why and how to raise tax revenue from its low current level. The issue is taken up again, although in less detail, in Chapter IV.

85. Chapter IV reviews some of these issues, including telecommunications, and the proposed re-organisation of the electricity and petrochemical sectors; until these sectors

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are opened to private initiative, the mechanism permitting the private financing of some projects, as was developed between 1997 and 1999, should be regarded as a "makeshift" solution that risks undermining public finances.

86. Countries that have started experimenting with systems that link budgets with performance in the mid-1960s have taken several years to make performance measurement comprehensive and fully systematic. See "Performance Management in Government: Performance Measurement and Results-oriented Management", OECD, *Public Management Occasional Papers No.* 3, 1994, and "The Measurement of Performance in Government; Issues and Illustrations ", *Public Management Occasional Papers No.* 5, 1994.

87. Averages are calculated for 1999 over 1988. Real income per capita rose at an annual rate of about 1.7 per cent in Mexico and in the OECD.

88. Restrictions to bank's operations in the money and securities markets were eased, deposit and lending rates deregulated and mandatory credit allocations eliminated. Deregulation was followed by large-scale privatisation between 1991 and 1992 and by the partial opening to foreign competition following NAFTA accession in 1994.

89. The total amount is higher than earlier estimates as it incorporates liabilities arising from additional bank take-overs and the latest debtor support programme, *punto final*. The capitalisation of interest at higher interest rates and the revision of assumptions for asset recovery rates also explain part of the additional liabilities.

90. This process was only temporarily reversed with the emerging market crisis of 1997-98; by mid-1999, all financial indicators were again improving.

91. The positive trend in the quality of credit portfolio in 1997 was reversed in 1998, as a consequence of a sharp increase in interest rates, the lengthy discussion in Congress on the financial reform package and the announcement of a possible new debtor relief programme.

92. In the second quarter of 2000, Serfin, the third largest bank, was sold, while Bancomer, the second largest bank, has received merger offers from both a subsidiary of BBV, a Spanish financial group, and Banamex, the largest Mexican bank.

93. Rescue-related liabilities have different returns, some as high as 135 basis points above the 3-month *Cetes*. On average, IPAB liabilities pay a spread of 120 basis points above direct government debt.

94. The 1998 package of financial reforms resolved many legal uncertainties concerning the liabilities arising from the rescue package, but did not officially recognise them as official debt. Appropriations still need to be voted annually for IPAB to service this debt, and there are no guarantees these will be sufficient. However, since 1999, IPAB has access to a special Treasury facility which would allow it to cover any eventual funding shortfall.

95. A technically and administratively independent Federal Regulatory Improvement Commission has been created (under the auspices of the Ministry of Commerce and Industry) to co-ordinate, supervise and give greater continuity to the regulatory reform process. For a detailed review o the reform process over the last decade or so, see, OECD, *Regulatory reform in Mexico*, 1999.

96. As of early 2000, Repsol of Spain, Gaz de France and Tractebel of Belgium had acquired concessions for the distribution of natural gas in Mexico.

97. LFC operates only in the Mexico City area, where it enjoys a monopoly.

98. Since 1997, permits were given to seven "independent energy producers" (*productores independientes de energía*) to build generation capacity. The latest and largest of those was

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awarded to Iberdrola of Spain in late 1999, allowing it to build a 570MW plant in Monterrey.

99. Where vertical integration has to be retained, an independent system operator can provide some protection for non-integrated generators, provided its governance structure appropriately reflects the interests of the independent generators and consumers.

100. Accounting separation of parts of a firm remaining under common ownership does not guarantee competition, be the firm publicly- or privately-owned.

101. See OECD, *Regulatory Reform in Mexico*, 1999.

102. The four airlines were not directly nationalised. Outstanding debt – to both public private sectors – was capitalised and turned into equity holdings of CINTRA. At the time, the public sector took only a minority holding in the company, but the state's equity share rose above 50 per cent subsequently as some private banks were taken over by the public sector.

103. TELMEX's title of concession included an exclusivity period for long distance domestic and international services until 1996. The title of concession is a legal instrument that imposes specific obligations on the incumbent that are not required in the titles of concession given to new entrants. These obligations include outlines for quality of service, network development, and modernisation to increase density and advance towards a universal service. It also establishes a pro-competitive regulation which prohibits cross-subsidies, requires accounting separation and establishes a price cap system.

104. These were only put in place with the creation of the Federal Competition Commission (CFC) in 1993 and the adoption of the Federal Telecommunications Law (FTL) two years later.

105. Cross-country comparisons of telephone charges are subject to some uncertainty, since they may not reflect accurately the consumption patterns of each particular country. Furthermore, comparisons based on purchasing power parity (PPPs) reflect essentially differences in service prices (non-tradeables). Expressed in US dollars, telephone charges for residential use in Mexico are broadly in line with the OECD average.

106. COFETEL has undertaken other regulatory actions to strengthen the competitive environment in the telecommunications sector, including the revision of "calling party pays" schemes, the consolidation of local service areas and the analysis of the proportional return system and uniform settlement rate tariffs.

107. This section is based on a comprehensive set of indicators (related to the knowledge base, national research and developments effort, international exchange of knowledge…) constructed and published by the OECD *Science, technology and industry scoreboard – Benchmarking knowledge-based economies*, 1999.

108. The catch-up in lagging countries is illustrated by the fact that Mexico has, like Korea and Turkey, the lowest level – but the fastest growth – of scientific publications (relative to population size).

109. The government funds more than 71 per cent of total R&D spending and industry 17 per cent, while the rest comes from other national sources, such as non-profit organisation, and foreign sources. R&D financing from foreign sources has declined in recent years. In addition to direct R&D financing, the government supports industrial technol-

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ogy by providing science and technology infrastructure: it assists industrial development in institutes and universities and supports the diffusion process of innovations.

110. All OECD countries (except New Zealand) have special tax schemes for R&D expenditure, and most of them offer various types of R&D tax credits. Tax credits as a policy instrument for R&D have been on the rise during the 1990s, in Mexico as elsewhere in the OECD.

111. The OECD *Review* included detailed recommendations for improving the education system. It also stressed the need to develop a proper short-cycle education course that provides intermediate qualifications.

112. In 1993, workers with primary education or less still accounted for more than half of the labour force. By 1998, this proportion had changed: of the 39.5 million people in the labour force, 10.6 million had no instruction or incomplete primary schooling and 8.2 million had only finished primary education, while 20.5 million had reached the secondary level, of which 9 million had gone into post-compulsory levels of education.

113. Committees involving businesses and workers representatives have been established to identify training needs and help design plans. The bulk of training programmes is then offered in public institutions; but several large companies, including multinationals, have also jointly created training centres.

114. By 1999, the PROBECAT programme was granting around 550 000 scholarships, while some 340 000 enterprises benefited from CIMO programmes. In the absence of unemployment insurance, some of the components of these programmes have been the only kind of income support available in Mexico. Specific emergency programmes were also set up in the wake of the peso crisis to deal with situations of extreme distress and provide support in the most affected areas. A temporary employment programme, which was maintained after 1997, provides temporary jobs in remote areas where work opportunities are scarce and often seasonal. It is used as an instrument of poverty alleviation policies (*Annex* II).

115. This is one of the considerations that has led to a reform of the IMSS financing, as noted in the section below.

116. Various options to provide some kind of temporary income support would need to be considered, as and when job regulations are eased. Any scheme would have to be carefully designed to avoid creating disincentives to work, as experience in other OECD countries has shown.

117. IMSS is the largest social security institution, catering to insured workers in the formal sector; there are other distinct insurance schemes: ISSSTE for civil servants (with a federal institute and six state institutes), PEMEX for its employees and two institutions for the armed force – each institution performing its own functions of financing and delivery of services to its target population.

118. Diagnostic related groups (DRGs) have started to be introduced within the IMSS, to measure costs, helping to determine transfers to medical zones and from zones to hospitals.

119. Historically, the IMSS was plagued by evasion as well as under-declaration of income.

120. Workers no longer pay their contributions to the IMSS but rather to their individual pension saving accounts. During the transition, the government is paying the gap between what the worker has accumulated on his account and what he is entitled to get under the old scheme – workers already in the old system have the option to choose under which scheme they will receive benefits.

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121. The mutual funds can invest 100 per cent of their portfolio in government securities; there is a 35 per cent limit set on private enterprise securities and 10 per cent on government instruments denominated in foreign currency. In practice, by December 1999, 97.4 per cent of the total SIEFOREs portfolio was invested in government securities.

122. Commissions charged by AFOREs are generally lower than those for other savings instrument, and lower than in Argentina, Chile, Peru, Uruguay which have similar pension systems. The favourable result for Mexico reflects to a large extent the fact that workers are only allowed to change fund manager once a year, as against twice a year in the other Latin American countries.

123. Until the change, consolidation rules were more lax than in most other OECD countries: in particular, transfers of negative income from a subsidiary to a parent company could take place even when the ownership of voting shares in the subsidiary was less than 50 per cent.

124. Tax rates of 37.5 and 40 per cent were introduced at the top (for annual income above 1.5 million pesos and 2 million pesos, respectively). And the threshold for the 35 per cent tax rate was raised to 0.5 million pesos. (See 1999 OECD *Economic Survey*, Annex III for details on the tax system).

125. In practice, several channels would have to be considered to offer compensation to low-income families: *i*) for workers employed in the formal sector, the government could make direct transfers on individual pension savings account (AFOREs) under the social security system (IMSS); *ii*) for the poorest families outside the formal sector, specific compensation schemes would have to be created, unless they are eligible for the targeted poverty alleviation programme (PROGRESA) – in which case that programme could be adjusted. (Extending the existing tax credit for the lowest income brackets may not be the most appropriate channel).

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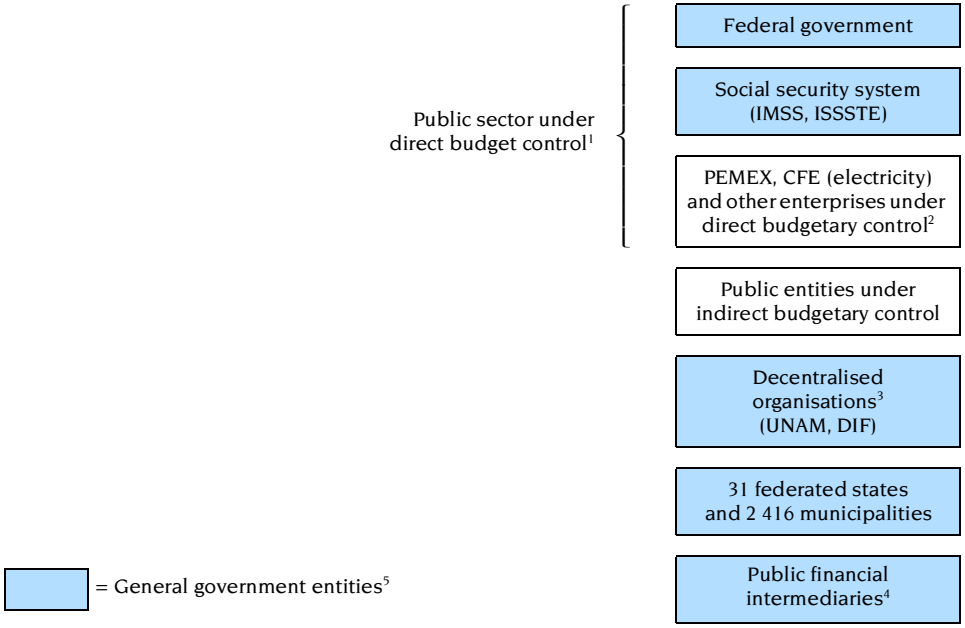
Annex I

Background Tables to Chapter III

Table A1. **Structure of the public sector**



1. The public sector under direct budget control comprises the federal government and the social security system (IMSS and ISSSTE) – as well as a number of public enterprises, the oil company PEMEX and the electricity companies being the largest ones.
2. The number of public entities under direct budget control was reduced, through privatisation, to seven at the start of 2000. Besides the social security institutes and PEMEX, the largest ones are the two electricity companies (CFE and Luz y Fuerza del Centro). The national paper producer has been privatised. The national marketing corporation CONASUPO has been closed. By 2000, the privatisation of railroads and airports was also completed.
3. Producers of social and community services, including the university UNAM, and the national system for the integral family development (DIF).
4. Public financial intermediaries comprise development banks and development trust funds. They are taken into account in the calculation of the broad debt of the public sector (under the central bank's definition).
5. The federal government, state and local governments and the social security system constitute the general government on a national-accounts basis. Consolidated government accounts are available for the period 1988-97 only.

Source: OECD.

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Table A2. **Structure of general government expenditure in OECD countries**[1]

Per cent of GDP

	Consumption		Transfers[2]		Subsidies		Property income[3]		Investment[4]		Total expenditure	
	1993	1997	1993	1997	1993	1997	1993	1997	1993	1997	1993	1997
Mexico	**11.0**	**9.9**	**1.9**	**3.4**	**0.9**	**0.5**	**2.9**	**3.8**	**3.0**	**3.4**	**19.7**	**21.0**
United States	16.8	15.2	13.3	12.9	0.6	0.4	4.6	4.2	1.9	1.9	37.1	34.6
Japan	9.4	9.7	12.5	14.5	0.7	0.7	3.7	3.7	7.8	6.7	34.2	35.4
Germany	20.1	19.4	20.8	20.8	2.0	1.8	3.3	3.7	4.4	3.2	50.5	49.0
France	19.8	19.3	26.4	26.4	1.6	2.1	3.7	3.8	5.1	4.4	56.6	56.0
Italy (1993-1996)	17.6	16.4	20.9	20.5	2.2	1.5	12.4	11.0	6.6	4.8	59.8	54.2
United Kingdom	20.5	18.4	26.6	23.9	0.8	0.6	3.8	4.2	5.2	2.3	56.9	49.4
Canada	23.9	20.0	15.0	13.0	1.5	1.0	9.3	8.9	2.6	2.2	52.2	45.0
Australia (1993-1996)	17.7	16.7	13.4	13.3	1.5	1.4	3.7	3.4	2.6	2.5	39.0	37.2
Austria (1993-1996)	19.1	18.5	22.2	22.6	3.2	2.7	4.3	4.4	3.2	2.8	52.1	50.9
Belgium	14.7	14.4	26.4	26.0	2.1	1.6	10.7	7.8	2.8	2.7	56.7	52.6
Czech Republic (1993-1994)	22.1	22.2	12.7	13.0	3.3	3.6	1.8	1.4	33.0	11.8	73.0	52.2
Denmark (1993-1995)	26.3	25.2	23.0	24.1	4.1	3.7	7.8	6.7	3.1	2.8	64.3	62.4
Finland (1993-1996)	23.3	22.1	27.5	25.5	3.4	2.9	4.6	5.8	2.8	2.8	61.7	59.0
Greece (1995-1997)	15.3	14.7	22.9	23.5	0.4	0.1	12.7	9.6	6.0	6.0	57.4	53.8
Iceland (1993-1996)	20.6	20.7	8.0	7.6	2.6	2.1	3.7	3.7	6.3	5.0	41.1	39.0
Ireland (1993-1996)	15.6	13.6	17.0	15.7	1.4	1.2	6.4	4.4	2.2	2.3	42.5	37.1
Korea (1993-1996)	10.8	11.1	3.3	4.8	0.8	0.2	0.4	0.5	5.5	6.1	20.8	21.8
Netherlands (1993-1996)	14.8	14.0	31.5	28.5	3.0	1.9	6.2	5.6	3.2	2.9	58.8	52.8
New Zealand	15.6	15.2	18.4	17.7	0.4	0.3	5.1	3.2	1.7	2.1	41.1	38.6
Norway	21.8	20.2	19.3	16.9	4.4	3.1	3.4	2.2	3.6	3.5	52.6	45.9
Poland (1993-1996)	19.5	16.1	21.3	19.6	2.1	1.1	8.7	4.6	3.7	4.2	55.2	46.0
Portugal (1993-1995)	17.9	17.7	15.9	16.0	1.3	1.1	6.2	6.3	6.8	6.2	48.1	47.3
Spain (1993-1996)	17.6	16.4	18.7	17.6	2.1	1.8	5.2	5.3	6.0	5.1	49.6	46.3
Sweden (1993-1996)	28.1	26.2	27.2	24.8	5.9	4.7	6.3	7.2	5.6	2.5	73.0	65.4
Switzerland	14.5	14.2	15.0	16.0	2.1	2.2	2.0	2.2	4.9	4.2	38.6	38.7
Total of above OECD countries[5]	18.2	17.2	18.5	18.0	2.1	1.7	5.5	4.9	5.4	4.0	49.7	45.8
Total of above European countries[5]	19.4	18.4	21.2	20.5	2.5	2.1	6.0	5.3	6.0	4.2	55.2	50.4

1. Based on SNA93 for Mexico, United Kingdom, Greece and Poland. SNA68 for other countries.
2. Social security and current transfers.
3. Including interest payments.
4. Gross fixed capital formation plus other capital outlays.
5. Unweighted average.

Source: OECD.

Table A3. **Public investment by sector**[1]

	Breakdown, per cent of total			Annual percentage changes, in volume		
	1982-87	1988-93	1994-98	1982-87	1988-93	1994-98
Development	22.9	30.7	24.6	1.9	3.9	–11.4
Human capital	10.2	9.4	12.8	–5.1	4.3	3.0
Energy and industry	37.9	38.4	43.3	–3.3	–5.6	6.0
Communications and transport	23.0	15.4	12.7	6.7	–8.4	–4.1
Other	5.96	6.1	6.6	–31.9	8.0	–6.0
Total	100.0	100.0	100.0	–3.4	–1.4	–1.2

1. Including public enterprises.
Source: Ministry of Finance.

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Annex II

Poverty alleviation programmes

Poverty alleviation is an integral part of the development strategy of Mexico. Since the mid-1990s, the strategy for poverty alleviation has followed three main lines of action: i) investment in human capital; ii) creation of income opportunities, and iii) development of basic infrastructure. First, to enhance human capital, the government has promoted simultaneously programmes that strengthen supply and demand. This has been achieved through the development of CONAFE education and health programmes (IMSS-Solidaridad and PAC), on the supply side, and the implementation of PROGRESA on the demand side. PROGRESA, the Programme for Education, Health and Nutrition (*Programa de Educacion, Salud y alimentacion*, PROGRESA) started to operate in 1997.* It is targeted at families in rural and semi-urban areas, and integrates actions in the three complementary fields of basic education, health care and nutrition (Box A1). Second, to create employment opportunities, the main instruments have been the Temporary Employment Programme (PET) and the new productive programmes for low income producers. The Temporary Employment Programme has replaced emergency measures taken just after then peso crisis. Its aim is to reduce income instability in given regions where poverty is most acute by offering jobs, according to the farming season, for the construction of productive assets (irrigation systems and rural roads). The programme works by self-selection since the pay offered is below one minimum wage – the poverty line is close to twice the minimum wage. The development of infrastructure, the third pillar of the strategy, is now mainly done by municipalities which receive transfers earmarked for that purpose that they can allocate according to their own priorities. Over the last five years, the resources channelled to combat extreme poverty have increased regularly. Transparency has improved; the operation rules for all these programmes are now published in a Federal Register of Rules. PROGRESA and PET are mainly targeted at the most disadvantaged population groups in marginalised rural areas, where most of the families in acute poverty are located – which makes regional targeting effective. As noted in Chapter III, there are also a number of programmes to alleviate poverty in urban areas.

* In the past specific programmes to fight extreme poverty had already been introduced to reach segments of the population which were too marginalised to benefit from broad social policies. In particular, the programme *Solidaridad*, PRONASOL, which was developed in the period 1988-94 probably had a favourable impact on living conditions for some population groups. However, in the opinion of several analysts, the *Solidaridad* programme suffered from shortcomings both in its design and implementation (OECD, *Economic Survey of Mexico*, 1995; G. Martinez, 1997, *Pobreza and politica social en México*, ITAM, Lecturas 85.

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Box A1. An integral approach to poverty alleviation: PROGRESA

The Education, health and nutrition Programme, PROGRESA was established in 1997 to fight the main factors that cause extreme poverty. The rules of the programme are defined by the Federal Government, which transfers to states earmarked grants, the allocation being based on transparent and uniform criteria.[1] The states are responsible for operating the programme. The Ministry of social development (*Secretaria de Desarrollo Social, Sedesol*) is responsible for the co-ordination of the programme through an independent agency created in August 1997.

Targeting: The programme is targeted at population groups which cannot benefit from general public spending because of their geographic isolation or extreme level of poverty. The targeting mechanism, which represents a significant innovation in Mexico, selects programme beneficiaries through a transparent three-stage process:

- Poor communities are identified as "eligible" according to an index of "marginality" that establishes ranking on the basis of their level of poverty.
- A survey of all households in the "eligible" communities is carried out to select "eligible families" according to various socio-economic variables : income levels, availability of running water, dependency ratios, ownership of durable goods, of animals and land or the presence of disabled individuals.
- Finally, once households have been selected, an assembly is organised in the relevant communities and an agreement is reached to select beneficiaries in the community.

Operation: In the *education* area, monetary grants are provided to children so as to promote school attendance; the amounts increase with the year of schooling and are higher for girls than boys because drop out rates among them tend to be higher. In *health care*, the programme provides basic health services for all members of the beneficiary families with particular emphasis on preventive care. Services are provided by the Ministry of Health (at the federal and state levels) and by IMSS-Solidaridad.[2] The third pillar is *nutrition*: a fixed monetary transfer is provided to improve food consumption conditional on children's school attendance and regular visits to health care facilities by all the family members. The target groups are children between the ages of four months and two years (five years if signs of malnutrition are detected), as well as pregnant and breast feeding women. At the end of 1999, a pilot programme was launched to widen PROGRESA'S scope in order to help hearing- and sight-impaired children to improve their school performance.

Achievements: By the end of 1999, the programme was covering almost 2.6 million families in some 53 000 localities from all states, a coverage approaching the totality of families in extreme poverty in rural and semi-urban areas.[3] For beneficiary families, the monthly benefits contribute to a significant increase in the income level: 22 per cent of the monthly income,[4] through monetary benefits; 26 per cent when considering also in-kind benefits. Monetary benefits include nutritional support and education grants, while in-kind benefits include medical

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Box A1. **An integral approach to poverty alleviation: PROGRESA** (*cont.*)

visits (Basic Package of Health Services) and food supplements.[5] Monetary benefits are given to women, through the services of the public telecommunications company (Telecomm) in offices and modules installed nearby the communities. School attendance and frequency of medical visits are verified through school and clinic records.

1. Funds are transferred through the general budget items for education, health and social development.
2. IMSS-*Solidaridad* is a branch of the Social Security Institute, IMSS, which provides health services to the uninsured rural population.
3. PROGRESA does not encompass quite the totality of extreme poverty, mainly because of geographic isolation of some communities that prevents access to services such as health and education.
4. In 1999 the average family was receiving monthly payments amounting to a cumulative $US322 for the year. There is a cap on benefits so as to discourage families from having additional children.
5. Monetary benefits account for three-quarters of PROGRESA budget (most of it for education grants and nutritional support, but also purchases of school supplies). In-kind benefits account for about 14 per cent of PROGRESA budget (medical consultations and nutritional supplements). The cost of operation amounted to 5.4 per cent of the budget in 1999 and to 4.4 per cent in 2000.

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Annex III

The budget reform system (RSP)

The New Programmatic Structure (NEP)

The NEP has been designed as a framework to evaluate and improve the efficiency of public spending through the determination and codification of the main public sector objectives. Each objective is described in terms of functions and sub-functions, with subsequent disaggregations allowing a three-level match between objectives, their respective programmes and individual administrative units in charge of their implementation. This programmatic organigramme is designed as a tool to facilitate the planning, drafting, approval and implementation of the budget. In the budget planning and drafting stage, the NEP is designed to foster closer co-operation between budgetary authorities in the Ministry of Finance and officials in line ministries and independent agencies – either managers responsible for spending decisions or executives in charge of strategic planning. At the budget approval stage, it is an important input into discussions in Congress, as it allows a better link between government objectives and functions and approved appropriations. Finally, at the implementation stage, it has facilitated the introduction of performance indicators, enhancing the evaluation and monitoring of governments' programmes and activities and feeding into the new performance evaluation system (SED) described below. The NEP was first implemented with the 1998 budget and is at present at its consolidation phase. Results have been positive, especially in the drafting and approval stages. Its usefulness as a tool for strategic planning has been below initial expectations, however, leading to a review of some aspects of the methodology applied.

The Performance Evaluation System (SED)

The SED is being developed as a system of budgetary monitoring and evaluation. It is designed to measure the performance of the administration and to evaluate the effectiveness and the social impact of public spending. It is also expected to lead to better overall accountability. The SED encompasses the use of performance indicators, introduced by means of performance agreements signed between budgetary entities (SECODAM, Ministry of Finance) and other ministries or independent agencies. In exchange for signing these agreements, ministries and agencies obtain enhanced flexibility in managing their budgets. By 2000, several important public entities had signed performance agreements – including IMSS, ISSSTE and parts of PEMEX – representing about a third of total budget expenditures.

The SED is also meant to serve as a planning instrument. For that purpose, the introduction of performance indicators has been complemented by new information systems that incorporate costing and strategic planning techniques. The SED should also feed back into the control cycle, as performance audits become part of the annual control and evaluation programmes of SECODAM's internal auditing units – they will verify the strategic planning

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process and determine whether it is in conformity with their programmatic objectives.[1] The SED was first introduced in 1997, but early performance indicators, often borrowed from the private sector, turned out to be poorly adapted to the characteristics of the Mexican public administration. Moreover, institutional barriers prevented the creation of a well-designed incentive mechanism of sanction and rewards. Finally, the absence of an ingrained administrative culture and simple resistance to change led to an overall rethinking of the system. A new conceptual and methodological framework is now being developed, while pilot programmes have started with several agencies and ministries.[2]

The Integral System of Public Income and Expenditure (SIAFF)

The SIAFF represents an effort to improve financial management and is operated in conjunction by the Ministry of Finance, the Bank of Mexico and SECODAM. Through the introduction of a more modern budgetary and payment information system, the registration and control of financial operations is being simplified. The principal objectives of SIAFF are to promote a more efficient management of resources, providing better information regarding the execution of spending, while at the same time ensuring timely payment to suppliers. The system is in the pilot programme stage; its completion is scheduled for the next administration (whose term in office runs from 2001 to 2006). When completed, an electronic communication network will link all participants in spending decisions, who will have access to all relevant information about the different processes and phases of disbursement approval. The SIAFF is also meant to provide up to date information on public finances to the Executive and Legislative branches, enhancing their control function.

The Integral System for Human Resource Administration (SIARH)

The SIARH is designed as an instrument to enhance human resource management (HRM) and budgetary control of payroll costs. When fully operational, it will contain relevant information on public servants and provide for the harmonisation across ministries and agencies of certain HRM practices. For instance, a unified "national affiliation system" for public servants will be created and a single payroll will be introduced, including a single pay and grade scale. The SIARH is also expected to enhance transparency on payroll and other HRM practices and facilitate personnel mobility within the public sector. The system is still in its early stages – only seven Ministries have implemented it.

Other electronic systems

Several other programmes have been (or are being) implemented to improve the efficiency of the budget process. By introducing more modern information technology, they are designed to expedite processes, while making procedures more transparent. Programmes include:

- SICP. The integral system of budgetary control registers all budgetary modifications that affect the federal budget.
- SIP. The integral system of payments of the Federal Treasury registers all expenditure that affects the federal budget.
- SICGP. The integral control system for budgetary procedures started operation in 1999, transmitting *via* Internet all the budgetary procedures between the Ministry of Finance and line ministries and agencies. This has allowed a reduction of the average response time for a budgetary procedure from 35 days in 1997, to 5.5 days in 2000.

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– SIPEF. The integral system for the elaboration of the federal budget, created in 1999, has reduced by 60 per cent the time spent in preparing the budget proposal.
– SII. The integral system of information on revenues and public spending is operated by the Bank of Mexico and the Ministries of Finance and Comptrollership and Administrative Development, and registers financial and budgetary information on line ministries and agencies.

Deregulation of budget procedures

A process of deregulation was initiated in 1997 to increase the efficiency, effectiveness and transparency of public expenditure, while transferring many spending decisions to line ministries and agencies. Regulations concerning the execution of public expenditure (Handbook of Budgetary Rules) have been considerably simplified (the number of rules have been reduced by two-thirds between 1997 and 2000). Furthermore, line ministries and agencies have acquired increased flexibility in authorising appropriations for capital projects and other investment projects.

Notes

1. They will also verify the consistency of objectives of different hierarchical levels with those that are overall for line ministries or agencies.
2. Indicators have started to be used to measure performance in a number of ministries and agencies. For the 1999 budget, the number of indicators in the federal budget that are subject to a specific follow-up programme reached 73 – up from 39 in 1998. Agreements have been signed in the health, education and agricultural sectors, but their use is still not widespread. The new pilot programmes have put great emphasis on training of managers, who take courses on strategic planning, costing, and the development of basic information before signing performance agreements. Over two years, 6 000 high and mid-level managers/public servants have been trained.

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Annex IV

Performance evaluation systems and incentive schemes for public sector employees

The systematic evaluation of public servants' performance is relatively new in Mexico. Until recently, the absence of such a system and the limited incentives to improve performance were determining factors leading to the low efficiency and unaccountability of public servants. Related problems of unethical behaviour and insufficient effort were also seen to occur. To address these problems, a series of initiatives have been taken. A system to evaluate spending programmes is being put into place gradually through the performance evaluation programme (SED). This will eventually be linked to the evaluation of managers' performance and be built into incentive schemes. Managers' remuneration already incorporates a variable component, although this is not linked to a systematic performance evaluation scheme. Another programme in a "pilot programme" stage allows managers to grant cash bonuses or extra vacation days for well-performing operational personnel. All in all, performance-related incentives have been introduced or broadened for several categories, including teachers and medical personnel, which account for about three-fourths of the total number of public servants.

Performance-related incentives have been in operation for primary school teachers since 1992. A grid system of steps and grades apply, with five steps to each grade. Step advancements generally depend on a myriad of factors such as seniority, professional performance, the following of training courses and the engagement in extra-classroom school activities.[1] This system introduces a significant element of performance-related incentive and has led to a general increase in primary teachers' real income. Although better than a system of automatic step advancement, this scheme does not guarantee continued good performance, since steps cannot be taken back. Furthermore, there are no limits on the number of step advancements by school, which encourages a certain degree of "step inflation" among many managers.

In 1997 and 1998 respectively, performance-related incentive schemes were introduced for secondary and tertiary education teachers and for medical personnel, the latter on a voluntary basis. These new schemes seem better designed than the one for primary teachers. Both new schemes operate through a point system that is used to calculate cash bonuses given in reward for good performance. In the case of teachers, bonuses go from 1 to 14 minimum wages, while for doctors, they can add between 20 and 40 per cent to base salaries. For teachers, points are given for seniority and statutory working hours. The quality of teaching performance carries the heavier weight however, generally accounting for 60 or 70 per cent of the total number of points. Medical personnel are evaluated in terms of the level of responsibility and competencies, human relations and working attitudes, and professional development. These schemes work on an annual evaluation cycle, where salaries (including bonuses) can actually be reduced in the case of deteriorating performance. In the case of medical personnel there are limits to the number of bonuses given – an added feature used to avoid "bonus inflation".[2]

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Notes

1. With the decentralisation process, the criteria to determine step advancement vary among States, although most include a mixture of seniority and performance-related incentives. The criteria established to evaluate performance also vary among States.
2. In a single universe (such as a hospital or clinic), no more than 3 per cent of personnel can receive the maximum bonus of 40 per cent and no more than 24 per cent of personnel can receive any type of bonus.

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Annex V

The use of market-based mechanisms to improve the efficiency of public spending

Market-based mechanisms have been used in several countries to introduce market behaviour in the provision of public goods or services. The experience of many OECD countries shows that, by increasing the role played by market principles in public spending decisions, these mechanisms have tended to enhance public sector performance. Often, their introduction has also led to better accountability of public agents, increasing their flexibility and responsiveness. Instruments used for that purpose have included vouchers, user charges, intra-governmental contracts and contracting-out (including public-private partnerships).

Vouchers

Vouchers are issued to beneficiaries, so that they can "purchase" a good or a service to which they are entitled.[1] Often, recipients have the possibility of going directly to the market, rather than having the good or service delivered by the public sector.[2] Voucher schemes work as an earmarked transfer, where the recipient is limited to spending funds on a certain category of goods or services. As a result, consumer choice is enhanced in comparison with benefits "in kind", but not necessarily in comparison with non-earmarked cash transfers, such as those deriving from the negative income tax system in Mexico. For that reason, this type of scheme has generally been used to replace benefits "in kind", which have not always reflected consumer choice and have often implied large administrative costs. As such, in most cases the introduction of vouchers has led to an improvement in the efficiency of government programmes, increasing the real benefits to the targeted population while lowering administrative cost. Moreover, voucher schemes have also stimulated supply-side improvements in the provision of goods and services.

Voucher schemes can be particularly useful in circumstances where governments want to guide transfer recipients' spending towards the consumption of "socially desirable" goods or services, such as housing, food and education. On the other hand, some governments have encountered difficulties with voucher schemes, related either to the lack of adequate consumer information or to issues of co-ordination between service providers, which have led to increased administrative costs. The success of voucher-type schemes hinges in part on the level of effective competition between service providers. Success also depends on the possibility of circumvention and the extent of information problems. Mexico does not have voucher schemes in operation at present, but this type of scheme deserves to be considered, especially in the case of education and training, where the problems encountered in other countries can be more easily minimised.

User charges

User charges for the provision of public services have also been used by many OECD countries, including Mexico, with the objective of reducing excess demand and improving

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Box A2. Best practice guidelines for user charging for government services

1. A *clear legal authority should be defined*. It is important that the legal authority for the organisation to charge for its services be clearly defined. This should be done through a general framework and not by setting the precise amount of the charges to be applied.
2. *Users should be consulted about the best manner to implement charges*. Consultation should serve to communicate to the users the rationale for charges. The views of users can be useful in designing and implementing an effective charging system.
3. *Full costs should be determined*. The degree of subsidy involved in providing the service should be transparent, even in cases where there is no intention to recover the full cost of services. Full costs should include indirect costs, including depreciation and the cost of capital.
4. *An effective and efficient collection system should be established*. Responsibility for collection should rest with the organisation levying the charge, even if the collection itself is contracted out. Efforts should be made to minimise collection costs, while enforcement mechanisms should be in place.
5. *The performance of organisations implementing user charges needs to be improved and monitored*. Specific financial, service quality and other performance targets should be set. The views of service users need to be regularly solicited. Organisations should be given sufficient time to plan for the introduction of user charges, including for the adaptation of human resources and information technology.
6. *Receipts should be retained by the organisation*. This should reinforce the notion that users are paying a charge in return for a specific service and that responsibility for revenue management rests with the organisation itself. Budgetary arrangements should be flexible to allow organisations to respond to increase volume by permitting commensurate increase in expenditures and user charging receipts.
7. *Appropriate pricing strategies should be in place*. Charges should be based on competitive market prices and on full cost recovery to enhance the efficient allocation of resources in the economy. Fee structures should be simple and transparent. Consideration should be given to charging for substitute services.
8. *Equity considerations should be recognised*. Consideration should be given to reduced charges for users where full cost recovery would represent an excessive financial burden on individual users, even though measures through the tax and benefit system may be a more efficient means of ensuring equity. The criteria for applying reduced charges should be clear and explicit and the degree of subsidy should be transparent to those providing and monitoring the service.
9. *Competitive neutrality should be ensured*. If an organisation is supplying a commercial service in competition with the private sector while retaining a monopoly provision of another service, care should be taken to ensure that there is no cross-subsidisation. When pricing those services, costing should be accurate and should incorporate all items faced by the private sector competitor.

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services through the introduction of market signals. Although privatisation is in many cases a better way to achieve these goals, user fees are justifiable where market failures exist or when it is socially desirable to keep the provision of a good or service in the public sector. The closer user charges are to the full cost of providing the service (including depreciation and the cost of capital), the more they serve to reduce distortions and improve resource allocation economy-wide. In Mexico, user charges apply especially in the health sector, where services provided in Ministry of Health (SSA) facilities and in State hospitals draw fees. Revenue from those charges have been increasing rapidly and, by 1994, they accounted for about 10 per cent of total SSA spending (need update). Some user fees also exist in the education sector, but these are generally insignificant.

The OECD Public Management Committee has published "Best practice guidelines for user charging for government services", a summary of which is included in Box A2.[3] Among these guidelines is the need for equity considerations to be recognised before the introduction of user charges. When cost recovery represents an excessive financial burden on individual users, it is important to establish compensatory mechanisms. Preferably, these would consist of measures through the tax and benefit system. In Mexico however, where a large number of the poor are not reached by the tax and benefit system, reduced (or zero) charges, would be appropriate. The user fees that exist in parts of the Mexican health sector seem well designed in this regard; to the extent that in principle, fees are proportional to patients' payment capacity. User charges, with built-in compensatory mechanisms, can also be useful in augmenting the progressivity of public spending. In Mexico, as in many other OECD countries, subsidies to higher education and certain types of cultural events are regressive in nature, since they tend to benefit the wealthy, who consume relatively more than the poor. As a result, the establishment of means-tested user fees would serve to enhance both equity and efficiency.

Internal markets

Other reforms aimed at improving the performance of the public sector in the provision of services have included the introduction of intra-governmental contracts, also known as internal markets. This generally involves giving budgetary appropriations to the "consumer" ministry or agency, which can then determine the type and amount of service they require. As with contracting out, supplies can then be open for competition, including the private sector, and the "consumer" agency can keep the savings arising from lower bids. To ensure fair competition with the private sector, public sector suppliers are often subject to financial and other performance targets. Some of the guidelines described in Box A3 for contracting out also apply to internal markets, including the need to specify well the service requirements and to ensure valid comparisons and foster competitive markets.

Several OECD countries have experience with these schemes for the provision of internal services, such as printing, automobile fleet operations and real estate management, as well as consulting and legal services. The creation of internal markets becomes more feasible within the context of the devolution which is taking place in Mexico. In other countries, it has led to productivity increases as well as to more efficient resource allocation within the public sector.

Based on member countries' experiences, the OECD Public Management Committee has published "Best practice guidelines for contracting out government services", a summary of which is included in Box A3.[4] Guidelines include the recommendation that service requirements are specified in terms of outcomes and outputs and that internal skills are developed to deal with contracting out requirements. The failure of many contracting out schemes has often derived from the escalating administrative costs associated with the process itself. This

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Box A3. Best practice guidelines for contracting out government services

1. *Secure top management involvement and encourage re-engineering.* Contracting out should be integrated with the overall corporate strategy of the organisation. It requires the active leadership of top management if it is to achieve its full potential. The ownership and oversight of the contracting out exercise should therefore rest with the very top of the organisation. Contracting out should be used as an opportunity to re-evaluate both the rationale for tasks and the processes used to carry them out.
2. *Focus on staff issues.* It should be recognised that contracting out is not only a financial and performance issue; it is also a people issue. It is essential to demonstrate a high degree of sensitivity in this area, consulting staff and trade unions and acting with transparency. While the process requires proper analysis, it must proceed rapidly in order to minimise any period of uncertainty for staff.
3. *Specify service requirements in terms of outcomes and outputs.* This means specifying what the activity is, not how the activity is to be performed. Operational flexibility is essential for the contractor to be innovative in performing the activity, and thereby securing efficiency gains. These outcomes or outputs should be specified as fully as possible, and include appropriate service quality measures.
4. *Monitor performance and foster co-operative relationships.* The organisation contracting out should regularly and formally monitor the performance of the contractor to ensure that the performance standards stated in the contract are fulfilled. When performance information originates from the contractor, it should be audited to ensure its accuracy. A co-operative relationship should be developed and contracts should incorporate provisions regarding contractor non-performance, dispute resolution mechanisms, and the smooth hand-over of the activity to another contractor.
5. *Ensure valid comparisons.* It is important when considering proposals for contracting out that all alternatives, which may include in-house provision, be comprehensively evaluated. This involves considering both the costs and outcomes or outputs, including comparative quality. All risks should also be systematically assessed. This includes the risk of dismantling in-house capabilities and possible dependence on a single supplier.
6. *Give consideration to in-house bids.* An in-house bid occurs when the staff presently performing an activity bids against an outside contractor for an activity being considered for contracting out. These bids should in all respects be treated the same as outside bids. Special care needs to be taken to ensure that the costing of the bid is complete, *i.e.* that it incorporates all items of cost faced by private sector contractors. A winning in-house bid should be awarded to the staff on the basis of a formal document that obligates the staff to meet the terms of the bid. The performance of in-house staff should be monitored using the same processes and criteria used for outside contractors.

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Box A3. **Best practice guidelines for contracting out government services** (*cont.*)

7. *Foster competitive markets.* Competitive supplier markets are key to achieving the benefits of contracting out. The government should foster competitive markets by recognising that its contracting out practices can play a major role in the development of markets for the relevant services. This relates especially to the scope and duration of the contracts. Contracts should not be so small and short that they do not stimulate interest, neither so large and lengthy that only the largest suppliers can participate. The bidding process should be simplified and shortened, so a greater number of valid bidders participate.
8. *Develop and maintain the necessary skills.* Recruitment and staff training need to take account of contracting out requirements. Organisations that contract out activities need to maintain their knowledge of the market and their technical knowledge of the activity to be able to communicate with the contractor on equal terms, and to be in a position to effectively tender the activity again.

suggests that in principle, the activities best suited to contracting out are those for which the transactions costs of outsourcing are low. This tends to be the case for services with clearly definable outputs, such as waste collection, road maintenance, street cleaning and computer services.

Contracting out and private-public partnerships

Contracting out is generally used as a means of reducing costs and increasing efficiency, although it can also be useful when limited resources prevent the public sector from expanding the supply of a service. In many OECD countries contracting out has led to substantial savings to the public purse – in the order of 15 to 25 per cent of related spending – with a concomitant improvement in the quality of services provided. In Mexico, contracting out of cleaning and security services is widespread in government offices, but more complex functions are not generally contracted out, in part because the contract process involves a considerable amount of red tape and significant administrative costs.

Concerning private-public partnerships, Mexico has had one of the broadest experiences of any OECD country. In such partnerships, the private sector shares the risk of providing infrastructure and its involvement extends through the entire life of capital projects, such as design, financing, construction and operation. These schemes are now often used to accelerate capital investment programmes in the context of tight budgets. In Mexico, this has included "build, operate, transfer" (BOT) and "build, lease, transfer" (BLT) schemes in power generating plants, substations, transmission lines, petrochemical processes and oil refineries.[5] More recently, a hybrid scheme for financing infrastructure building, known as PIDIREGAS, has been widely used. Under that scheme, the private sector finances and builds infrastructure, with no payment due by the public sector until completion (Box A4).

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Box A4. The PIDIREGAS scheme[1]

Since 1997, some infrastructure development in Mexico has been financed through a scheme known as PIDIREGAS. This scheme has been conceived as an alternative means of financing public infrastructure projects in sectors where legal barriers prevent private investment and at a time when funding to the public sector was either too costly or unavailable. Under the scheme, the private sector finances and builds infrastructure, with no payment due by the public sector until completion. Only then, is the project recorded as investment spending in the public sector financial accounts. In theory, the revenues generated by the project will suffice to reimburse the cost of its construction overtime, so it should be budget-neutral. In practice, there are no contractual guarantees that this will be the case, with the public sector assuming the risk of eventual failure. In the meantime, the annual budget does not incorporate the build-up of contingent liabilities, which introduces an unhealthy element of lack of transparency in public accounts.[2]

Projects built under the PIDIREGAS scheme are not private-public partnerships. Although the private sector builds infrastructure for the public sector, it does not share the financial risk of the project. Although payment for the rendered service is deferred until the project is completed, implying an implicit financing from the private sector, the public sector is legally obliged to pay for the full cost of building the infrastructure project, regardless of its eventual rate of return.

1. "Proyectos de Infrastructura Productiva de Largo Plazo de Impacto Diferido en el Registro del Gasto" (Long-term projects for productive infrastructure, with deferred impact in recording of expenditure).
2. Even though no appropriations are immediately required when a PIDIREGAS project is initiated, it still needs to be examined and approved by Congress. Expenditures on PIDIREGAS projects have a *de jure* preferential status concerning future disbursements, not unlike standing appropriations. This derives from the fact that funding for the entire project is legally approved by the Lower House at the time the project is launched, even if its impact on financial accounts is deferred.

The private sector has played a prominent role in the large-scale highway building programme of 1989-1994, although that experience met with mixed success. Abstracting from the unforeseen circumstances of the 1995 economic crisis, it is now clear that this contracting out process contained flaws (Box A5). First, specifications should have corresponded better to economic needs. For instance, the quality of the highways constructed was higher than actually required: high building costs led to relatively high toll rates, which in turn were an important cause of lower-than-expected traffic. Second, commercial or operating guarantees should have been better designed, so the investment risk would have been clearly shared with the private sector. In that context, the financial structure of bids should have been better scrutinised to avoid high leverage.[6] A longer term for the concessions (in the case of toll

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Box A5. **The experience of Mexico with the contracting out of highway development and operation**[1]

In 1989, the government started contracting out its network of national highways through toll-based private finance initiatives. Through a concession system, the private sector signed contracts for the building, operation, maintenance, and exploration of new highways, with ownership remaining in the public sector. Given the tightness of the budget, this programme was conceived in order to free government resources for the construction of rural roads, which had a significant economic and social impact in remote areas of the country. Nine main highway axes, divided into sections, were commissioned. The call-for-tender notice and general conditions for the bidding process included, among other documents, detailed engineering studies, the project of the concession title, appraisal studies and the required maintenance standards. The winning bid was awarded the construction, the right to operate the project for the term of concession, and the obligation to carry out maintenance work. Competition was introduced for the overall project and not for each of the main activities.

Between 1989 and 1995, about US$ 8 billion were invested by the private sector and more than 5 000 km of toll roads were built under this scheme. However, the volume of traffic on the highways was less than estimated, in part as a result of the high toll fares and the drop in domestic demand associated with the economic crisis of 1995. The problem was exacerbated by a large jump in interest rates, which increased the financial burden of the projects, leading to the bankruptcy of many concessionaires. Although the government was under no contractual obligation to bail out the concessionaires, some concession titles had guaranteed a minimum of traffic on the toll roads, as well as an extension of the term of concession until a certain rate of return was obtained on the investment. As a result, the government had to implement a bailout programme that cost the equivalent of 0.5 per cent of GDP. The bailout was also explained in the overall context of a systemic threat to the domestic banking system, which resulted from a multitude of factors.[2]

1. For details of Mexico's experience with contracting out highway development, please refer to *Occasional Papers* No. 20, PUMA, OECD.
2. See past *Economic Surveys* and Chapter IV for a description of the situation in the financial system.

roads, the maximum term stipulated by law was 30 years) would also have helped ensure the financial viability of projects. Finally, competition should have been introduced separately at each stage of the process, including construction, operation, exploration, and maintenance. This would have allowed a better spreading of financial risk and would have led to a reduction in overall costs.

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Notes

1. See "Voucher programmes and their role in distributing public services", PUMA, OECD (1998) for conceptual issues and more details on the experience of OECD countries with voucher schemes.
2. Occasionally, recipients' choice falls exclusively within the private sector, since the public sector does not directly provide the good or service in question.
3. For details of the guidelines as well as for a series of case studies on the introduction of user charging, please refer to *Occasional Paper* No. 22, PUMA, OECD, 1998.
4. For details of the guidelines as well as for a series of case studies on the introduction of contracting out, please refer to *Occasional Paper* No. 20, PUMA, OECD, 1997. For a more detailed assessment of public-private partnership arrangements for the provision of infrastructure, please see *Occasional Paper* No. 6 PUMA, OECD, 1994.
5. The total value of public works tenders amount to several billion dollars annually. In the 1996-97 period, tenders by PEMEX and CFE, the oil and electricity companies, averaged US$2 billion a year.
6. In the case of toll roads, construction was financed mostly with short-term resources, so that the average bank loan term was six years, against an average concession of twenty years.

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Annex VI
The financial rescue package

To shore up the financial system in the aftermath of the 1994 peso crisis, the administration acted on three main fronts: *a*) debtor support programmes; *b*) the take-over of some banks, putting them under direct supervision; and c) the introduction of measures to strengthen the remaining banks, including both a temporary capitalisation programme and a loan purchase mechanism to promote permanent capitalisation.

- Debtor support programmes mainly involved incentives for debt restructuring. Loan maturities were lengthened and the real interest rate was fixed through an indexation mechanism based on UDIs (a unit of account indexed to inflation).
- Since 1995, sixteen banks (some of which were capital deficient, some management deficient) were taken over by the government, the last in 1999. Many of them have been closed or resold after being recapitalised and "cleaned" of their bad loan portfolio.
- A temporary capitalisation programme (PROCAPTE) injected capital into the banking system in the form of mandatory convertible subordinated debentures. These were temporary loans (5-year maximum term) convertible into equity (if not repaid). Another programme involved "permanent capitalisation" for viable banks and consisted mainly of net loan purchases. In effect, the loan purchase was a swap in which the flows on a 10-year government bond were exchanged for the flows on part of the banks' loan portfolio.

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Annex VII

Calendar of main economic events

1999

January

The minimum wage is raised by 13 per cent.

Auctioning of a minority stake in the Morelos petrochemical complex attracts no bidders.

The Bank of Mexico increases the *Corto* from 130 to 160 million pesos.

The Bank of Mexico publishes the monetary programme for 1999.

February

The Bank of Mexico imposes mandatory deposits for commercial banks

Government proposals to liberalise the electricity sector are sent to Congress

April

The draft law on credit guarantees (foreclosure) is sent to Congress.

June

The new Institute for Bank Insurance Protection (IPAB) becomes operational.

Banca Serfin is taken over by IPAB. Adding Serfin's 16 per cent equity holding, the public sector becomes a majority owner of Cintra (the airline holding company).

August

The authorities announce the concession to the private sector of thirteen airports on the Pacific coast. Only Mexico City airport remains publicly managed.

September

Publication of new rules requiring gradual increase in capitalisation and provision by credit institutions.

Further privatisations in the petrochemicals sector are suspended.

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October

The board of the main public sector electricity company, CFE, approves the process of internal reorganisation.

November

Primary elections (the first in history) designate candidates for the July 2000 presidential elections.

December

The price of the Mexican oil export mix averages $15.5 a barrel over the year 1999, against $9.25 assumed in the budget.

The 2000 budget is approved on the 31st December. It creates a contingency fund to deposit a proportion of potential revenue windfalls.

2000

January

The minimum wage is raised by 10 per cent.

The Bank of Mexico increases the *Corto* from 160 million pesos to 180 million pesos

The Bank of Mexico publishes the monetary programme for 2000.

March

A free-trade agreement is signed between Mexico and the European Union (coming into effect as of 1 July).

Moody's Investment Services upgrades Mexico sovereign rating to investment grade.

April

Publication of first Bank of Mexico quarterly report on inflation.

May

The Bank of Mexico increases the *Corto* from 180 to 200 million pesos.

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BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1996	18 289	8 060	10 157	29 964	10 316	5 262	5 125	58 380	81 877	10 465
Inhabitants per sq. km	Number	1996	2	96	333	3	131	122	15	106	229	79
Net average annual increase over previous 10 years	%	1996	1.3	0.6	0.3	1.3	0	0.3	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	8 344	3 737 (94)	3 675 (95)	13 676	4 918	2 593	2 087	21 951	35 360	3 824 (95)
of which: Agriculture	% of TCE	1996	5.1	7.2 (94)	2.5 (95)	4.1	6.3	4	7.1	4.6	3.3	20.4 (95)
Industry	% of TCE	1996	22.5	33.2 (94)	26.7 (95)	22.8	42	27	27.6	25.9	37.5	23.2 (95)
Services	% of TCE	1996	72.4	59.6 (94)	71.4 (95)	73.1	51.7	69	65.3	69.5	59.1	56.4 (95)
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	398.9	228.7	268.2	579.2	56.2	174.9	125.1	1 536.6	2 353.5	91.2 (95)
Per capita	US$	1996	21 812	28 384	26 409	19 330	5 445	33 230	24 420	26 323	28 738	8 722 (95)
At current prices using current PPPs[3]	Bill. US$	1996	372.7	172.4	222	645.1	..	118	96.7	1 198.6	1 736.1	133.5
Per capita	US$	1996	20 376	21 395	21 856	21 529	..	22 418	18 871	20 533	21 200	12 743
Average annual volume growth over previous 5 years	%	1996	3.9	1.6	1.2	2.2	2	2.2	1.6	1.2	1.4	1.3 (95)
Gross fixed capital formation (GFCF)	% of GDP	1996	20.3	23.8	17.3	17.7	33	16.7	16.1	17.4	20.6	17 (95)
of which: Machinery and equipment	% of GDP	1996	10.2 (95)	8.8 (95)	7.5 (95)	6.6	..	7.9 (95)	6.4 (95)	7.8	7.6	7.7 (95)
Residential construction	% of GDP	1996	4.6 (95)	5.9 (95)	4.6 (95)	5.4	..	3.2 (95)	3.5 (95)	4.4	7.3	3.3 (95)
Average annual volume growth over previous 5 years	%	1996	5.6	2.1	0.3	2.2	9.4	2	–4.1	–1.5	0.2	0.5 (95)
Gross saving ratio[4]	% of GDP	1996	18	21.9	22.2	17.8	..	17.6	19.6	18.7	20	16 (95)
General government												
Current expenditure on goods and services	% of GDP	1996	17	19.8	14.5	18.7	21.5	25.2	21.9	19.4	19.8	20.8 (95)
Current disbursements[5]	% of GDP	1995	35.6	48.6	52.2	45.8	..	59.6	55.9	50.9	46.6	52.1
Current receipts	% of GDP	1995	34.9	47.4	49.9	42.7	..	58.1	52.8	46.9	45.9	45
Net official development assistance	% of GNP	1995	0.36	0.33	0.38	0.38	..	0.96	0.32	0.55	0.31	0.13
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	12 596	12 152	13 793	12 959	..	12 027	10 282	12 506	12 244	9 473
Passenger cars, per 1 000 inhabitants	Number	1994	460	433	416	466	282	312	368	430	488	199
Telephones, per 1 000 inhabitants	Number	1994	496	466	449	576	209	604	551	547	483[8]	478
Television sets, per 1 000 inhabitants	Number	1993	489	479	453	618	476	538	504	412	559	202
Doctors, per 1 000 inhabitants	Number	1995	2.2 (91)	2.7	3.7 (94)	2.2	2.9	2.9 (94)	2.8	2.9	3.4	3.9 (94)
Infant mortality per 1 000 live births	Number	1995	5.7	5.4	7.6 (94)	6.3 (94)	7.7	5.5	4	5.8 (94)	5.3	8.1
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	1.7	5.2	2.7	2.4	..	3.2	3.8	2.6	4.2	11.8
Consumer prices	%	1996	2.4	2.9	2.2	1.4	11.9	1.9	1.5	2	3.1	11.6
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	60 288	57 870	170 223[7]	202 320	21 910	51 030	40 576	288 450	521 263	11 501
As % of GDP	%	1996	15.1	25.3	63.5	34.9	39	29.2	32.4	18.8	22.1	12.9 (95)
Average annual increase over previous 5 years	%	1996	7.5	7.1	7.6	9.7	..	6.2	12.1	6.3	5.4	5.8
Imports of goods, cif*	Mill. US$	1996	61 374	67 376	160 917[7]	170 931	27 721	44 987	30 911	271 348	455 741	27 402
As % of GDP	%	1996	15.4	29.5	60	29.5	49.3	25.7	24.7	17.7	19.4	30.4 (95)
Average annual increase over previous 5 years	%	1996	9.7	5.9	5.9	7.7	..	5.6	7.3	3.9	3.3	6.6
Total official reserves[6]	Mill. SDRs	1996	10 107	15 901	11 789[7]	14 202	8 590	9 834	4 810	18 635	57 844	12 171
As ratio of average monthly imports of goods	Ratio	1996	2	2.8	0.9	1	..	2.6	1.9	0.8	1.5	5.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
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Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1996	10 193	270	3 621	57 473	125 864	45 545	418	96 582	15 494	3 640
Inhabitants per sq. km	Number	1996	77	3	52	191	333	458	161	48	380	14
Net average annual increase over previous 10 years	%	1996	–0.3	1.1	0.2	0	0.4	1	1.3	2	0.6	1.1
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	3 605	142	1 307	20 036	64 860	20 764	212 (95)	32 385 (95)	6 983	1 688
of which: Agriculture	% of TCE	1996	8.4	9.2	10.7	7	5.5	11.6	2.8 (95)	23.5 (95)	3.9	9.5
Industry	% of TCE	1996	33	23.9	27.2	32.1	33.3	32.5	30.7 (90)	21.7 (95)	22.4	24.6
Services	% of TCE	1996	58.6	66.2	62.3	60.9	61.2	55.9	66.1 (90)	54.8 (95)	73.8	65.9
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	43.7 (95)	7.3	70.7	1 214.2	4 595.2	484.8	17	329.4	396	65.9
Per capita	US$	1996	4 273 (95)	27 076	19 525	21 127	36 509	10 644	40 791	3 411	25 511	18 093
At current prices using current PPPs[3]	Bill. US$	1996	..	6.3	68.8	1 148	2 924.5	618.5	13.5	751.1	324.5	63.6
Per capita	US$	1996	..	23 242	18 988	19 974	23 235	13 580	32 416	7 776	20 905	17 473
Average annual volume growth over previous 5 years	%	1996	–2.4 (95)	1.5	7.1	1	1.5	7.1	4.8	1.7	2.3	3.7
Gross fixed capital formation (GFCF)	% of GDP	1996	19.3 (95)	17.5	17.2	17	29.7	36.8	20.8	18	19.7	20.9
of which: Machinery and equipment	% of GDP	1996	..	6.7	5.5 (95)	8.8	10.1 (95)	13	..	8.8	9.4	10
Residential construction	% of GDP	1996	. .	3.9	4.9 (95)	4.5	5.3 (95)	7.6	..	4.7	5	5.6
Average annual volume growth over previous 5 years	%	1996	–0.9 (95)	–1.4	6	–1.4	1.3	6.9	0.2	–0.7	2.2	9.6
Gross saving ratio[4]	% of GDP	1996	..	15.6	21.7	20.5	31.4	34.2	37.5	22.7	25.7	16
General government												
Current expenditure on goods and services	% of GDP	1996	24.9 (95)	20.8	14.1	16.4	9.7	10.6	13.6	9.7[10]	14	14.4
Current disbursements[5]	% of GDP	1995	..	35.1	39.2 (94)	49.5	28.5	15.1	..	..	51.8	..
Current receipts	% of GDP	1995	..	36	39.3 (94)	44.5	32	25.1	..	..	50	..
Net official development assistance	% of GNP	1995	..	..	0.29	0.15	0.28	0.03	0.36	..	0.81	0.23
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	..	14 244	10 020	12 224	13 912	7 354	17 811	5 045	12 477	10 895
Passenger cars, per 1 000 inhabitants	Number	1994	212	434	264	517	342	115	544	91	383	457
Telephones, per 1 000 inhabitants	Number	1994	170	557	350	429	480	397	564	93	509	470
Television sets, per 1 000 inhabitants	Number	1993	427	335	301	429	618	215	261	150	491	
Doctors, per 1 000 inhabitants	Number	1995	3.4	3.9 (94)	3.4	3.0 (94)	1.7	1.6 (92)	1.8 (94)	1.1	2.2 (93)	1.6
Infant mortality per 1 000 live births	Number	1995	11	6.1	6.3	6.6 (94)	4.3	9	5.3 (94)	17 (94)	5.5	7.2 (94)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	..	..	3.7	3.5	1.8	..	..	–1.6	2.4	1.5
Consumer prices	%	1996	23.2	2.6	2.2	4.5	0.7	5.3	2.4	19.7	2.5	2
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	15 674	1 891	48 416	250 842	411 067	129 715	..	96 000	203 953	14 316
As % of GDP	%	1996	35.9	26	68.5	20.7	8.9	26.8	..	29.1	51.5	21.7
Average annual increase over previous 5 years	%	1996	8.9	4	14.8	8.2	5.5	12.5	..	17.6	8.9	8.2
Imports of goods, cif*	Mill. US$	1996	18 105	2 032	35 763	206 904	349 149	150 340	..	89 469	184 389	14 682
As % of GDP	%	1996	41.4	27.9	50.6	17	7.6	31	..	27.2	46.6	22.3
Average annual increase over previous 5 years	%	1996	9.6	3.4	11.5	2.5	8	13.9	..	12.4	7.8	11.8
Total official reserves[6]	Mill. SDRs	1996	6 812	316	5 706	31 954	150 663	23 670	..	13 514	18 615	4 140
As ratio of average monthly imports of goods	Ratio	1996	..	1.9	1.9	1.9	5.2	..	..	1.8	1.2	3.4

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6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
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BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1996	4 370	38 618	9 935	39 270	8 901	7 085	62 695	58 782	265 557
Inhabitants per sq. km	Number	1996	13	123	108	78	20	172	80	240	28
Net average annual increase over previous 10 years	%	1996	0.5	0.3	–0.1	0.2	0.6	0.8	2	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1996	2 110	14 977	4 475	12 394	3 963	3 803	20 895	26 088	126 708
of which: Agriculture	% of TCE	1996	5.2	22.1	12.2	8.7	2.9	4.5	44.9	2	2.8
Industry	% of TCE	1996	23.4 (95)	31.7	31.4	29.7	26.1	27.7	22	27.4	23.8
Services	% of TCE	1996	71.5 (95)	46.2	56.4	61.6	71	67.4	33.1	71	73.3
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1996	157.8	117.9 (95)	103.6	584.9	251.7	294.3	181.5	1 153.4	7 388.1
Per capita	US$	1996	36 020	3 057 (95)	10 425	14 894	28 283	41 411	2 894	19 621	27 821
At current prices using current PPPs[3]	Bill. US$	1996	106.7	..	130.1	587.2	171.4	180.6	383.3	1 095.5	7 388.1
Per capita	US$	1996	24 364	..	13 100	14 954	19 258	25 402	6 114	18 636	27 821
Average annual volume growth over previous 5 years	%	1996	4.1	2.2 (95)	1.5	1.3	1	0.1	4.4	2.2	2.8
Gross fixed capital formation (GFCF)	% of GDP	1996	20.5	17.1 (95)	24.1	20.1	14.8	20.2	25	15.5	17.6
of which: Machinery and equipment	% of GDP	1996	8.4	..	11.7 (93)	6.1 (95)	7.9	9.3	11.9	7.6	8.3 (95)
Residential construction	% of GDP	1996	2.6 (94)	..	5.2 (93)	4.3 (95)	1.9	11[9]	8.4 (95)	3	4.1 (95)
Average annual volume growth over previous 5 years	%	1996	2.8	5.4 (95)	2.2	–1	–2.6	–0.8	6.9	1.3	6.9
Gross saving ratio[4]	% of GDP	1996	29.9	..	21.6	20.7	16	27.1	22.3	14.6	16.6
General government											
Current expenditure on goods and services	% of GDP	1996	20.5	16.9 (95)	18.5	16.3	26.2	14.3	11.6	21.1	15.6
Current disbursements[5]	% of GDP	1995	45.8	..	42.5 (93)	41.2	63.8	47.7	..	42.3 (94)	34.3
Current receipts	% of GDP	1995	50.9	..	39.8 (93)	37.9	57.5	53.8	..	37.2 (94)	32.1
Net official development assistance	% of GNP	1995	0.87	..	0.27	0.24	0.77	0.34	0.07	0.28	0.1
Indicators of living standards											
Private consumption per capita using current PPPs[3]	US$	1996	11 593	..	8 522	9 339	10 096	15 632	4 130	11 865	18 908
Passenger cars, per 1 000 inhabitants	Number	1994	381	186	357	351	406 (93)	451	47	372	565
Telephones, per 1 000 inhabitants	Number	1994	554	131	350	371	683	597	201	489	602
Television sets, per 1 000 inhabitants	Number	1993	427	298	190	400	470	400	176	435	816
Doctors, per 1 000 inhabitants	Number	1995	2.8	2.3	3	4.1 (93)	3.1	3.1 (94)	1.2	1.6 (94)	2.6 (94)
Infant mortality per 1 000 live births	Number	1995	4	13.6	7.4	6 (94)	4	5	46.8 (94)	6.2 (94)	8 (94)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1996	3.2	..	..	5.8	4.8	..	..	4.9	2.7
Consumer prices	%	1996	1.9	..	5.6	4.7	2.7	2.2	81.6	2.7	2.9
Foreign trade											
Exports of goods, fob*	Mill. US$	1996	49 576	24 417	24 614	102 067	84 836	79 581	23 301	259 941	625 075
As % of GDP	%	1996	31.4	20.7	23.8	17.5	33.7	27	12.8	22.5	8.5
Average annual increase over previous 5 years	%	1996	7.8	..	8.6	11.2	9	5.3	11.1	7	8.2
Imports of goods, cif*	Mill. US$	1996	35 575	37 185	35 192	121 838	66 825	78 052	43 094	287 033	795 289
As % of GDP	%	1996	22.5	31.5	34	20.8	26.5	26.5	23.7	24.9	10.8
Average annual increase over previous 5 years	%	1996	6.9	..	6.1	5.5	6	3.2	15.1	6.5	10.3
Total official reserves[6]	Mill. SDRs	1996	18 441	12 409	11 070	40 284	13 288	26 727	11 430	27 745	44 536
As ratio of average monthly imports of goods	Ratio	1996	6.2	..	3.8	4	2.4	4.1	3.2	1.2	0.7

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